Linkage Assurance Plc

Annual report

31 December 2025

Contents

Corporate Information

Company Registration Number	162306
Date of Incorporation	Tuesday, March 26, 1991
Tax Identification Number:	01334256-0001
Company Type	Public Limited Liability Company
Mission Statement	To use best in class technology, competent & engaged workforce to deliver superior services and returns to our stakeholders.
Board of Directors	
Chairman	Chief Joshua Bernard Fumudoh
Other Directors	Mr. Daniel Braie Mrs. Olayimika Philips Mr. Razak Olugbenga Falekulo Mr. Suaye Banigo Mr. Anthony Kanayo Katchy Mr. Okanlawon Adelagun Mrs. Funkazi Koroye-Crooks Mr. Pius Otia Mrs Valentina Marinho Mr. Maxwell Ebibai
Managing Director	Mr. Daniel Braie
Company Secretary	Mr. Moses Omorogbe
Registered Office	Linkage Plaza Plot 20, Block 94, Providence Street Off Adewunmi Adebimpe Street Lekki-Epe Expressway, Lekki, Lagos
Registrars	Apel Capital Registrar No. 8 Alhaji Bashorun Street Ikoyi, Lagos.
Auditor	KPMG Professional Services KPMG Tower Bishop Aboyade Cole Street Victoria Island, Lagos Tel: (01) 2718955 www.kpmg.com
Reinsurers	African Reinsurance Corporation, Lagos, Nigeria Swiss Reinsurance Company Ltd, Zurich, Switzerland Continental Reinsurance Plc, Lagos, Nigeria WAICA Reinsurance, Sierra Leone Chubb European Group SE, London, UK Berkley Offshore Underwriting Managers UK FBS Re Lagos, Nigeria MS Amlin, London UK Navata Global Underwriting Agency Limited UK ZEP-RE (PTA Reinsurance Company), Nairobi, Kenya Atrium Underwriting Limited @ Lloyd's Underwriter Syndicate, UK Hannover Ruck SE, Hannover, Germany
Principal Bankers	Access Bank Plc. Ecobank Nigeria Plc. FCMB Limited. Fidelity Bank Plc. First Bank of Nigeria Limited. Guaranty Trust Bank Plc. Keystone Bank Limited. Polaris Bank Limited. Stanbic IBTC Bank Limited. Union Bank Plc. United Bank for Africa Plc. Zenith Bank Plc.
Actuary	O & A Hedge Actuarial Consulting
FRC Registered No.	FRC/2012/0000000000339

FINANCIAL HIGHLIGHTS	**31 Dec 2025**	**31 Dec 2024**	**Changes**
	₦'000	**₦'000**	**(%)**
Comprehensive income statement			
Insurance revenue	27,630,687	22,229,099	24
Insurance service expenses	(15,082,454)	(14,971,588)	1
Insurance service result before reinsurance contracts held	12,548,233	7,257,511	73
Insurance service result	3,457,906	766,967	351
Investment and other income	5,836,722	9,631,542	(39)
Profit before taxation	4,032,423	5,282,084	(24)
Profit after taxation	3,126,111	5,551,631	(44)

Statement of financial position	**31 Dec 2025**	**31 Dec 2024**	**Changes**
	₦'000	**₦'000**	**(%)**
Total assets	76,899,095	65,677,300	17
Insurance contract liabilities	18,277,740	17,386,988	5
Total equity	46,686,252	42,844,829	9

Our Performance

Insurance revenue grew by 24% to N27.6billion as at Dec 2025 from N22.2billion recorded in prior year. The insurance service result also increased to N3.5billion as at Dec 2025 from N766.9million reported in prior year. The profit before tax, PBT reduced by 24% to N4billion as at Dec 2025 from N5.3billion in prior year.

Outlook

As an organization, we shall continue to refine our strategy inline with our strategic focus for the year and theme. Our theme for 2025 is "Driving Sustainable Growth, Profitability & Operational excellence", and this informs our strategic intent along the four pillars of Business growth, Operational excellence, financial excellence, and Customer & People. Consequently, during the year the identified strategic focus will guide as compassin our quest to navigate through the highly competitive insurance market to increase our market share in the most profitable sectors and offer excellent customer experience to all our clients.

Product offering & Fintech

As part of our agile strategy, we shall leverage on the technology to improve our products and services especially to our direct and personal clients. This is also part of digital transformation initiatives. Also, having recognized the impact of certain products lines like motor insurance on our portfolio, we are positioned to offer to our client's different options of motor insurance according to their risk exposure(s) willingness and ability to pay.

Brand Development

We shall continue to leverage on the positive impact of our ongoing brand rejuvenation and awareness campaign to the insuring public. This will be reinforced by our customer value propositions.

Work Life Balance & Manpower Development

Linkage Assurance PLC is committed to ensuring a work-life balance for our employees and reduction in the cost of doing business. As a result of these, we embarked on Work-from-Home. (WFH) which allows us to adopt a hybrid work regime.

Directors' Report

For the year ended 31 December 2025

It is the pleasure of the Directors to submit their annual report on the affairs of Linkage Assurance Plc ('the Company') together with the audited financial statements and independent auditor's report for the year ended 31 December 2025.

1 Legal form and principal activity

The Company was incorporated on the 26th of March 1991 as a private limited liability company - Linkage Assurance Company Limited. It was registered by the National Insurance Commission on the 7th of October, 1993 to transact general insurance business and commenced operations in January, 1994. The Company became a Public Limited Liability Company in 2003 and the Company's shares, which are quoted on the Nigerian Stock Exchange, were first listed on 18 November, 2003. In compliance with regulatory directives on re-capitalization in the Insurance Industry in 2007, the Company merged with the former Central Insurance Company Limited.

The registered office of the Company is: Plot 20 Block 94 Providence street, Off Adewunmi Adebimpe Street, Lekki Phase 1, Lekki, Lagos.

The Company provides all classes of non-life insurance business.

Operating results

Highlights of the Company's operating results were as follows:

	2025	2024
	N'000	N'000
Insurance revenue	27,630,687	22,229,099
Insurance service expenses	(15,082,454)	(14,971,588)
Profit before tax	4,032,423	5,282,084
Income tax (expense)/credit	(906,312)	417,541
Profit for the year	3,126,111	5,551,631
Earnings per share -basic (in kobo)	17k	30k

2 Proposed Dividend

The Directors did not recommend the payment of any dividend for the financial year ended 31 December 2025 (2024:N1.54 billion bonus share dividend).

3 Directors and their Interests

The Directors of the Company who held office during the year were as follows:

Name	Designation	
Chief Joshua Bernard Fumudoh*	Chairman	Nigerian
Mr. Daniel Braie	Managing Director	Nigerian
Mrs. Olayimika Phillips	Independent Director	Nigerian
Mr. Razack Olugbenga Falekulo	Independent Director	Nigerian
Mr. Okanlawon Adelagun	Executive Director	Nigerian
Mrs. Funkazi Koroye-Crooks*	Non-Executive Director	Nigerian
Mr. Maxwell Ebibai*	Non-Executive Director	Nigerian
Mr. Pius Otia*	Non-Executive Director	Nigerian
Mrs. Valentina Marinho	Independent Director	Nigerian
Mr. Bernard Nicholas Griesel**	Non-Executive Director	South African

*Bayelsa State Ministry of Finance Incorporated (BSMFI) representatives
**Stanbic IBTC Nominees Nigeria Limited's representative, resigned 15 August 2025

Directors' Report
For the year ended 31 December 2025

4 Directors and their Interests (continued)
Directors' Interests

There were no directors with direct/indirect interest in the issued share capital of the Company as at 31 December 2025.

According to the register of members as at 31 December 2025, no individual shareholder held more than 5% of the issued capital of the Company except the following:

Major shareholdings

	31 December 2025		31 December 2024	
	No. of shares	**% holding**	**No. of shares**	**% holding**
Bayelsa State Ministry of Finance Incorporated (BSMFI)	9,874,639,562	53	8,228,866,302	53
Stanbic IBTC Nominees Nigeria Limited	-	0	1,944,716,810	13
Apel Asset Limited	1,090,037,427	6	876,723,566	6

5 Analysis of shareholders structure
According to the Register of Members, analysis of shareholders based on geographical location is provided below:

31 December 2025
Number of holdings

	Volume of shares	**Number of shareholders**	**Percentage shareholding**
Local shareholders:			
1 - 1,000,000,000	7,516,014,891	25,012	41
1,000,000,001-99,999,999,999	10,964,094,442	2	59
	18,480,109,333	25,014	100

6 Analysis of shareholders structure (continued)
31 December 2024

	Volume of shares	**Number of shareholders**	**Percentage shareholding**
Number of holdings			
Local shareholders:			
1 - 1,000,000,000	5,226,507,999	22,627	34
1,000,000,001-99,999,999,999	10,173,583,112	2	66
	15,400,091,111	22,629	100

Directors' Report

For the year ended 31 December 2025

7 Contracts

In accordance with Section 303 of the Companies and Allied Matters Act (CAMA) 2020, all contracts with related parties were conducted at arms length. Information relating to related parties transactions are contained in Note 46 to the financial statements.

8 Property and equipment

Information relating to changes in property and equipment during the year is given in Note 16 to the financial statements.

9 Employment and Employees

(a) **Employment of physically challenged persons**

As a matter of policy, the Company does not discriminate against phycially challenged persons. Full and fair consideration is given to applications for employment received from phycially challenged persons, with due regard to their particular aptitudes and abilities. In the event of any employee becoming phycially challenged in the course of employment, the Company is in a position to arrange appropriate training to ensure the continuous employment of such a person without subjecting him/her to any disadvantage in his/her career development. As at 31 December 2025, the Company had no phycially challenged persons in its employment.

(b) **Employee health, safety and staff welfare**

Health, safety and fire drills are regularly organised to keep employees alert at all times. The Company engages the services of health care providers towards meeting the medical needs of the employees and their immediate families at its expense. The Company also provides adequate transportation and housing facilities for all levels of employees.

(c) **Employee's development and training**

The Company is committed to staff training in order to keep them abreast with new developments in the industry and this cut across all categories of staff. During the year under review, the Company utilized the professional training services of several organizations for the benefit of staff.

(d) **Gender Composition**

Our employment policy shows no discrimination to gender or nationality. In accordance with international best practice, women are well represented at both the Board, Senior Management and the entire workforce.

Gender Distribution for Year Ended December 31, 2025

Composition of Employees	Number	Percentage
Female	72	48%
Male	77	52%
Total	149	100%
Board composition by Gender		
Female	3	30%
Male	7	70%
Total	10	100%
Top Management Composition by Gender (Executive Director- CEO)		
Female	0	0%
Male	2	100%
Total	2	100%
Top Management Composition by Gender (GM- Principal Manager)		
Female	7	44%
Male	9	56%
Total	16	100%

Directors' Report

For the year ended 31 December 2025

Gender Composition (continued)

Gender Distribution for Year Ended December 31, 2024

Composition of Employees	Number	Percentage
Female	70	48%
Male	77	52%
Total	147	100%
Board composition by Gender		
Female	2	22%
Male	7	78%
Total	9	100%
Top Management Composition by Gender (Executive Director- CEO)		
Female	0	0%
Male	2	100%
Total	2	100%
Top Management Composition by Gender (GM- Principal Manager)		
Female	2	20%
Male	8	80%
Total	10	100%

10 Statutory Audit Committee

The following persons served as members of the committee during the year

Name	Designation	Status
Mr. Balogun Shamusideen Olalekan	Chairman	Shareholder
Engr. Sunday Orji	Member	Shareholder
Mrs. Esther O. Osijo	Member	Shareholder
Mr. Pius Otia	Member	Non-Executive Director
Mr. Maxwell Ebibai	Member	Non-Executive Director

11 Complaints Management Policy Framework

The Company has developed a Complaints Management Policy Framework in compliance with the Securities & Exchange Commission's Rules on Complaints Management Framework of the Nigerian Capital Market, which guides the Company, being publicly listed Company on the Nigerian Stock Exchange Limited(NGX), on how to handle and resolve complaints arising from issues regarding the Company's operations. The purpose of the Policy is to establish an effective and efficient complaints management system that is responsive, confidential, equitable and transparent.

The Policy :

i Provides an avenue for customers' complaints and dispute resolutions;

ii Recognizes, promotes and protects the customer's right, including the right to comment and provide feedback on service;

iii Provides an efficient, fair and accessible framework for resolving customers' complaints and monitoring feedback to improve service delivery;

iv Informs customers on the customer feedback handling processes; and

v Provides staff with information about the customer feedback process.

The framework functions to enable complaints to be fairly investigated and possible conflicts of interest to be identified and mitigated. The Policy is endorsed by the Board of Directors and ensures full implementation and monitors compliance through Senior Management. The Policy is accessible through the Company's website.

Directors' Report

For the year ended 31 December 2025

12 Fines and Penalties

The Company was fined N69.1million during the year (2024: N4.3 million). See Note 47 for details.

13 Donations

The Company made donations of N22.6 million to charitable, non-political organizations during the year. (31 December 2024: N1million).

2025

Description	**Organization**	**Amount (₦'000)**
Being payment of Donation for ten (10) books on the formal book presentation/launch in honour of Senator Douye Diri- Governor of Bayelsa State - Unilag Consult Ltd	Unilag Consult Ltd	20,000
Being payment for sponsorship of 2025 inter-house sports competition budget (additional t-shirts for partner)	Down syndrome foundation nigeria	2,615

The Company did not make any donation to a political party or political association (2024:Nil).

14 Acquisition of own shares

The Company did not purchase any of its own shares during the year. (2024:Nil)

15 Events after the reporting date

There are no significant events after the reporting date which could have had a material effect on the financial affairs of the Company as at 31 December 2025 and on the profit or loss and other comprehensive income for the year then ended.

16 Auditors

The prior financial statements up to 31 December 2024 were audited by the previous auditors, Messrs. Ernst & Young (EY) Nigeria (Chartered Accountants), whose tenure subsequently expired. Following this, KPMG Professional Services were appointed on 31 July 2025 to fill the vacancy.
Messrs. KPMG Professional Services, having satisfied the relevant corporate governance rules on their tenure in office, have indicated their willingness to continue in office as auditors to the Company. In accordance with Section 401(2) of the Companies and Allied Matters Act (CAMA) 2020 of Nigeria, therefore, the auditors will be re-appointed at the next annual general meeting of the Company without any resolution being passed

17 Securities Trading Policy

The company has a Securities Trading Policy which governs the trading of the Company's securities by insiders. The policy has been circulated to all the Directors and employees and also uploaded on the Company's website.
The Company has contacted the Directors and they confirmed complying with the Policy during the quarter under review.

BY ORDER OF THE BOARD OF DIRECTORS

Mr Moses Omorogbe
Company Secretary
FRC/2017/NBA/00000017141
11 March 2026

Corporate Governance Report

Linkage Assurance Plc ("Linkage") is committed to implementing the best practice standards of Corporate Governance. The Board of Linkage is mindful of its obligations under the National Insurance Commission Corporate Governance Guidelines, the Securities & Exchange Commission Corporate Governance Guidelines as well as the Post Listing Rules & Requirements of the Nigerian Exchange Limited.

The Company's high standard in Corporate Policies and Governance are designed to encourage transparency in all its activities as well as ensure the protection of the long term interest of all Stakeholders. The business of the Company is conducted with high level of Integrity.

Board selection and appointment process

The Board of the Company follows a formal and transparent process for the selection and appointment of Directors. The appointment of executive and non-executive directors to the Board is done through a formal and transparent process and in accordance with the Companies and Allied Matters Act, 2020, Nigerian Code for Corporate Governance, NAICOM Corporate Governance Guidelines, SEC of Corporate Governance Guidelines, and the Company's internal policy for appointment of Directors.

The Board Enterprise Risk Management & Governance Committee oversees the process of the selection and interview of prospective appointees to the Board. The Committee carefully analyses the business and strategic plans of the Company vis-à-vis the existing strengths and weaknesses, the skills and experience gaps in the Board in selecting a suitable candidate for appointment.

External Consultants may be engaged to conduct the search for suitable candidates that meet the criteria set by the Board.

The Committee shortlist and interview candidates with the requisite skills and experience, thereafter conduct formal background check of the prospective candidates to ensure that they are fit and proper persons to be appointed to the Board. Successful candidates are presented to the Board for approval in a meeting duly convened in accordance with the articles of association of the Company. The Candidate(s) name is forwarded to NAICOM for approval. While the Company Secretary notifies the Nigerian Exchange Limited (NGX) and the Securities and Exchange Commission of the appointment and also file the relevant forms with the Corporate Affairs Commission (CAC). The appointment of the candidate(s) by the Board is presented to the Shareholders for ratification at the next Annual General Meeting of the Company.

Induction and Continuous Training of Directors

Newly appointed Directors are familiarized with the operations of the Company through a formal induction program. The new directors are provided with detailed information about the operations of the Company and their roles and responsibilities. The new Directors are also provided with the Memorandum and Articles of Association and other relevant information materials of the Company. Directors are availed with periodic continuous training programs to deepen their knowledge and understanding on emerging trends in the insurance industry and corporate governance. The trainings are usually facilitated by reputable training agencies.

Roles and Responsibilities of the Board

The Board reserves to itself all functions that are likely to have a material impact on the performance and reputation of the Company.

The following matters are specifically reserved for the Board:

- **i.** Provide leadership and setting the strategic objectives of the Company and ensures that the human and financial resources are effectively deployed towards attaining the set goals.
- **ii.** Ensure effective succession planning for the Chairman, the Executive Directors and the MD/CEO.
- **iii.** Overseeing the integrity of the Company's accounting and corporate reporting systems including external audit.
- **iv.** Ensuring the Company has in place an appropriate risk management framework and setting the risk appetite within which the Board expects Management to operate.
- **v.** Approval of the Company's remuneration framework and other Policy documents.

The Board of Directors of Linkage Assurance Plc. has overall responsibility for ensuring the highest standards of corporate governance is maintained and adhered to by the Company. In order to promote effective governance of the Company, the following structures have been put in place for the execution of Linkage Assurance Plc's Corporate Governance strategy:

1 Board of Directors;
2 Board Committees; and
3 Executive Management Committees

Corporate Governance Report

Corporate Governance Structure
The Board

The Board of Directors of Linkage, comprising of Nine (9) members is accountable to the shareholders and also responsible for the control, management and periodic review of the Company's business strategy. The Board of Directors is also committed to ensuring that the Company adheres strictly to the regulations guiding the operations of the Insurance Industry and other financial services sector in Nigeria.

The Board of Directors performs its functions either as a full Board or through the under listed established statutory committee and Committees of the Board:

Statutory Audit Committee
The Committee is composed of 5 members as follows:

S/N	Name	Designation	Status
1	Mr. Balogun Shamusideen Olalekan	Chairman	Shareholder
2	Engr. Sunday Orji	Member	Shareholder
3	Mrs. Esther O. Osijo	Member	Shareholder
4	Mr. Pius Otia	Member	Non-Executive Director
5	Mr. Maxwell Ebibai	Member	Non-Executive Director

This Committee, which is chaired by a shareholder, has the responsibility of ensuring that the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices. The Committee reviews the scope & planning of audit requirements and it is also responsible for other matters reserved for the Audit Committee by Section 404 of Companies and Allied Matters Act (CAMA) 2020 and the Company's Articles of Association.

Finance, Investment & General purpose Committee
The Committee is composed of 4 members as follows:

S/N	Name	Designation	Status
1	Mr. Pius Otia	Chairman	Non-Executive Director
2	Mr. Maxwell Ebibai	Member	Director
3	Mr. Daniel Braie	Member	Director
4	Mrs. Valentina Marinho	Member	Director

This Committee reviews matters relating to the investment of the Company's funds, management of all other assets and makes recommendation to the Board for approval. It also ensures maximum returns on investments and protection of the Company's assets. The Committee periodically evaluates the Company's risk policies and also provides appropriate advice and recommendations on matters relevant to risk management.

Corporate Governance Report

Enterprise Risk Management & Governance Committee

The Committee is composed of 4 members as follows:

S/N	Name	Designation	Status
1	Mrs. Olayimika Phillips	Chairperson	Director
2	Mrs. Funkazi Koroye-Crooks	Member	Director
3	Mrs. Valentina Marinho	Member	Director
4	Mr. Pius Otia	Member	Non-Executive Director

This Committee reviews and recommends for approval to the Board, matters bordering on Board Appointments, Staff Recruitment, Staff Compensation, Welfare and Promotions. Matters relating to the strategy for growth and advancement of the Company are also the responsibility of this Committee.

Audit & Compliance Committee

The Committee is composed of 3 members as follows:

S/N	Name	Designation	Status
1	Mrs. Valentina Marinho	Chairperson	Independent Director
2	Mrs. Olayimika Phillips	Member	Non-Executive Director
3	Mrs. Funkazi Koroye-Crooks	Member	Non-Executive Director

This Committee assists the Board in fulfilling its oversight responsibilities in ensuring the integrity of the Company's financial statements, compliance with legal and regulatory requirements, the performance of the internal audit function, the identification, assessment, management of the Company's risks and adherence to internal risk management policies and procedures.

Executive Management Committees

These are Committees comprising senior management of the Company. They are set to ensure that all risk limits as contained in Board and regulatory policies are complied with at all times. They provide inputs for the respective Board Committees and also ensure that recommendations of the Board Committees are effectively and efficiently implemented. The Committees are risk driven as they are set up to identify, analyze, synthesize and make recommendations on risks arising from within the Company's operating environment. The Committees meet as frequently as risk issues occur to immediately take actions and decisions within the confines of their powers. The Committees include the Executive Management Committee, Management Investment Committee, Business Strategy Committee and the Management Enterprise Risk Committee.

Internal Audit Function

In consonance with the commitment of the Company to be a dynamic world class Company fully accountable to the Board of Directors and shareholders, the Internal Audit Unit has been further strengthened with the recruitment of additional staff to broaden its scope and thus enhance the control and oversight service rendered at Management level.

The Internal Audit is a Control Unit established within the Management to independently examine and evaluate the activities of the Company. The Company's Internal Audit Unit reports to the Audit Committee.

Shareholders' Relationship

The Company is accountable and committed to the shareholders and uses various fora to advise shareholders on the performance of the Company. This includes annual report and accounts, access to the Company Secretary by shareholders for all enquiries and free interactions with the members of the Board during Annual General Meetings.

Corporate Governance Report

Company Secretary

All stakeholders have access to the services of the Company Secretary. The Company Secretary is responsible for facilitating the induction and professional development of Board Members as well as ensuring information flow within the Board, its Committees and Management of the Company. Attendance at the Board and committee meetings during the year ended 31 December 2025 is as follows:

Key:
N/A
X Absent at meetings

S/N	Names of Directors	28-Feb-25	26-Mar-25	30-Apr-25	15-Aug-25	25-Nov-25
1	Chief Joshua Bernard Fumudoh	1	1	1	1	1
2	Mr. Okanlawon Adelagun	1	1	1	1	1
3	Mr. Bernard Nicolaas Griesel*	1	1	1	1	N/A
4	Mr. Daniel Braie	1	1	1	1	1
5	Mrs. Funkazi Koroye-Crooks	1	1	1	1	1
6	Mr. Maxwell Ebibai	1	1	1	1	1
7	Mrs. Valentina Marinho	1	1	1	1	1
8	Mr. Pius Otia	1	1	1	1	1
9	Mrs. Olayimika Phillips	1	1	1	1	1

*Exited the Board effective 15th August 2025

Attendance at The Finance, Investment & General-Purpose Committee Meetings held during the year ended 31 December 2025.

S/N	Names of Directors	27-Feb-25	29-Apr-25	14-Aug-25	20-Nov-25
1	Mr. Bernard Nicolaas Griesel*	1	1	1	N/A
2	Mr. Daniel Braie	1	1	1	1
3	Mr. Maxwell Ebibai	1	1	1	1
4	Mrs. Valentina Marinho	1	1	1	1
5	Mr. Pius Otia	1	1	1	1

*Exited the Board effective 15th August 2025

Attendance at the Statutory Audit Committee Meetings held during the year ended 31 December 2025

S/N	Names of Directors	25-Feb-25	26-Mar-25	28-Apr-25	12-Aug-25	19-Nov-25
1	Mr. Shamusideen O. Balogun	1	1	1	1	1
2	Engr. S. A. Orji	1	1	1	1	1
3	Mrs. Esther O. Osijo	1	1	1	1	1
4	Mr. Maxwell Ebibai	X	1	1	1	1
5	Mr. Pius Otia	1	1	1	1	1

Attendance at the ERM & Governance Committee Meetings held during the year ended 31 December 2025

S/N	Names of Directors	21-Feb-25	29-Apr-25	23-Aug-25	20-Nov-25
1	Mrs. Funkazi Koroye-Crooks	1	1	1	1
2	Mrs. Valentina Marinho	1	1	1	1
3	Mr. Pius Otia	1	1	1	1
4	Mrs. Olayimika Phillips**	N/A	N/A	1	1

** Became a member of the committee in August 2025

Attendance at the Board Audit & Compliance Committee Meetings held during the year 31 December 2025

S/N	Names of Directors	20-Feb-25	29-Apr-25	22-Aug-25	19-Nov-25
1	Mrs. Valentina Marinho	1	1	1	1
2	Mrs. Funkazi Koroye-Crooks	1	1	1	1
3	Mrs. Olayimika Phillips**	N/A	N/A	1	1
4	Mr. Bernard Nicolaas Griesel*	1	1	1	N/A

*Exited the Board effective 15th August 2025

** Became a member of the committee in August 2025

Report of the Audit Committee to the members of Linkage Assurance Plc

In compliance with the Provisions of Section 404(4) of the Companies and Allied Matters Act (CAMA) 2020, we the members of the Audit Committee of Linkage Assurance Plc received the Audited Financial Statements for the year ended 31 December 2025 together with the Management Letter from the external auditors and management responses thereto at a duly convened meeting of the committee and hereby report as follows:

We confirm that;

1 We have received the scope and planning of the audit for the year ended 31 December 2025;

2 We reviewed the external auditor's Management Letter together with management responses; and

3 We ascertained that the accounting and reporting policies of the Company for the year ended 31 December 2025 are in accordance with legal requirement and agreed with ethical practices.

In our opinion, the scope and planning of the audit for the year ended 31 December 2025 were adequate and management responses to the auditor's findings were satisfactory.

We confirm that the internal control system was consistently and effectively monitored through effective internal audit.

The external auditors confirm that they received full cooperation from the management during the course of the statutory audit. The Committee therefore recommends that the audited financial statements for the year ended 31 December 2025 and the Auditor's report thereon be presented for adoption by the Company at the Annual General Meeting.

The following persons served as members of the Statutory Audit Committee during the year:

Name	**Designation**	**Status**
Mr. Balogun Shamusideen Olalekan	Chairman	Shareholder
Engr. Sunday Orji	Member	Shareholder
Mrs. Esther O. Osijo	Member	Shareholder
Mr. Pius Otia	Member	Non-Executive Director
Mr. Maxwell Ebibai	Member	Non-Executive Director

Mr. Shamusideen O. Balogun
FRC/2015/NIM/00000013086
Chairman, Audit Committee
11-Mar-26

Statement of Directors' Responsibilities in Relation to the Financial Statements for the year ended 31 December 2025

The directors accept responsibility for the preparation of the annual financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by Accounting standards and in the manner required by the Companies and Allied Matters Act, (CAMA), 2020, the Financial Reporting Council of Nigeria Act, 2011, (as amended), the Nigerian Insurance Industry Reform Act, 2025 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars.

The directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act, (CAMA), 2020 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The directors have made assessment of the Company's ability to continue as a going concern and have no reason to believe that the Company will not remain a going concern in the year ahead.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:

Chief. Joshua B. Fumudoh	Mr. Daniel Braie
Chairman	Managing Director/CEO
FRC/2018/IODN/00000017911	FRC/2018/CIIN/00000018082
11 March 2026	11 March 2026

Statement of Corporate Responsibility for the Financial Statements for the Year Ended 31 December 2025

Further to the provisions of section 405 of the Companies and Allied Matters Act (CAMA), 2020, we, the Managing Director/CEO and Chief Financial Officer, hereby certify the financial statements of Linkage Assurance Plc ("the Company") for the year ended 31 December 2025 as follows:

(a) That we have reviewed the audited financial statements of the Company for the year ended 31 December 2025

(b) That the audited financial statements do not contain any untrue statement of material fact or omit to state a material fact which would make the statements misleading, in the light of the circumstances under which such statement was made.

(c) That the audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Company as of and for, the year ended 31 December 2025.

(d) That we are responsible for establishing and maintaining internal controls and have designed such internal controls to ensure that material information relating to the Company is made known to us by other officers of the company, during the period end 31 December 2025.

(e)That we have evaluated the effectiveness of the Company's internal controls within 90 days prior to the date of audited financial statements, and certify that the Company's internal controls are effective as of that date

(f)That there were no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective action with regard to significant deficiencies and material weaknesses.
(g) That we have disclosed the following information to the Company's Auditors and Audit Committee:

(i) there are no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and have identified for the Company's auditors any material weakness in internal controls, and

(ii) there is no fraud that involves management or other employees who have a significant role in the Company's internal control.

Chief. Joshua B. Fumudoh
Chairman
FRC/2018/IODN/00000017911
11 March 2026

Mr. Daniel Braie
Chief Financial Officer
FRC/2018/CIIN/00000018082
11 March 2026

Enterprise Risk Management Declaration Statement

In accordance with the requirements of Section 2.10 of NAICOM's guidelines for developing risk management framework of 2012, the Board of Directors of Linkage Assurance Plc. hereby declares that, to the best of its knowledge and belief, and having made appropriate enquiries:

a) the Company has systems in place for the purpose of ensuring compliance with the guideline;

b) the Board is satisfied with the efficacy of the processes and systems surrounding the production of financial information of the Company;

c) the Company has in place a risk management strategy, developed in accordance with the requirements of this guideline, setting out its approach to risk management; and

d) the systems that are in place for managing and monitoring risks, and the risk management framework, are appropriate to the Company, having regard to such factors as the size, business mix and complexity of the Company's operations.

Chief Joshua B. Fumudoh	**Mr. Daniel Braie**
Chairman	**Managing Director/CEO**
FRC/2018/IODN/00000017911	**FRC/2018/CIIN/00000018082**
11-Mar-26	**11-Mar-26**

Certification Pursuant to Section 88 of the Investment and Securities Act, 2025

We the undersigned, hereby certify the following with regards to our unaudited financial statements for the period ended 31 December 2025 that:

(i) We have reviewed the report and to the best of our knowledge, the report does not contain:

- any untrue statement of a material fact, or
- omission to state a material fact, which would make the financial statements misleading in the light of circumstances under which such statements were made;
- to the best of our knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the Company as of, and for the periods presented in the report.

(ii) We:

- are responsible for establishing and maintaining internal controls.
- have designed such internal controls to ensure that material information relating to the Company is made known to such officers by others within those entities particularly during the period in which the periodic reports are being prepared;
- have evaluated the effectiveness of the Company's internal controls as of date within 90 days prior to the report;
- have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;

(iii) We have disclosed to the auditors of the Company and audit committee:

- all significant deficiencies in the design or operation of internal controls which would adversely affect the Company's ability to record, process, summarize and report financial data and have identified for the Company's auditors any material weakness in internal controls, and
- any fraud, whether or not material, that involves management or other employees who have significant role in the Company's internal controls;

We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Mr. Daniel Braie	**Dr. Emmanuel Otitolaiye**
Managing Director/CEO	**Chief Financial Officer**
FRC/2018/CIIN/00000018082	**FRC/2014/ICAN/00000008524**

Linkage Assurance Plc
RC:162306
...protection that counts

Head Office: Plot 20, Block 94, Providence Street
Off Adewunmi Adebimpe Street
Lekki Phase 1, Lagos
07054492984, 0700LINKAGE
01334256-0001
info@linkageassurance.com
www.linkageassurance.com

Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025

The management of Linkage Assurance Plc ("the Company") is responsible for establishing and maintaining adequate internal control over financial reporting as required by the Investment and Securities Act 2025 and the Financial Reporting Council of Nigeria Act, 2011 (as amended).

The management of Linkage Assurance Plc assessed the effectiveness of the internal control over financial reporting of the Company as of 31 December 2025 using the criteria set forth in Internal Control—Integrated Framework (2013 issued by the Committee of Sponsoring Organizations of the Treadway Commission ("the COSO Framework") and in accordance with the SEC Guidance on Implementation of Internal Control over Financial Reporting.

As of 31 December 2025, the management of Linkage Assurance Plc did not identify any material weakness in its assessment of internal control over financial reporting.

As a result, management has concluded that, as of 31 December 2025, the Company's internal control over financial reporting was effective.

The Company's independent auditor, KPMG Professional Services, who audited the financial statements included in this Annual Report, issued an unmodified conclusion on the effectiveness of the Company's internal control over financial reporting as of 31 December 2025, based on the limited assurance engagement performed by them. KPMG Professional Services' limited assurance report is included in the Annual Report.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal control over financial reporting that occurred subsequent to the date of our evaluation of the effectiveness of internal control over financial reporting that significantly affected, or are reasonably likely to significantly affect, the Company's internal control over financial reporting.

Mr. Daniel Braie	Dr. Emmanuel Otitolaiye
MD/CEO	CFO
FRC/2018/CIIN/00000018082	FRC/2014/ICAN/00000008524

Linkage Assurance Plc
RC:162306
...protection that counts

Head Office: Plot 20, Block 94, Providence Street
Off Adewunmi Adebimpe Street
Lekki Phase 1, Lagos
07054492984, 0700LINKAGE
01334256-0001
info@linkageassurance.com
www.linkageassurance.com

I, Mr. Daniel Braie, certify that:

a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Linkage Assurance Plc ("the Company");
b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;
d) The Company's other certifying officer and I:
    1) are responsible for establishing and maintaining internal controls;
    2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, particularly during the period in which this report is being prepared;
    3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
    4) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:
    1) The significant deficiency and confirmed that there are no material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and
    2) That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.
f) The Company's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation including any corrective actions with regard to the significant deficiency.

Name: Mr. Daniel Braie

Designation: Chief Executive Officer

FRC No: FRC/2018/CIIN/00000018082

Signature:____________________

Date: 26/03/2026

Head Office: Plot 20, Block 94, Providence Street
Off Adewunmi Adebimpe Street
Lekki Phase 1, Lagos
07054492984, 0700LINKAGE
01334256-0001
info@linkageassurance.com
www.linkageassurance.com

I, Dr. Emmanuel Otitolaiye, certify that:

a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Linkage Assurance Plc ("the Company");

b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;

d) The Company's other certifying officer and I:

   1) are responsible for establishing and maintaining internal controls;
   2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, particularly during the period in which this report is being prepared;
   3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
   4) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:

   1) The significant deficiency and confirmed that there are no material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and
   2) That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.

f) The Company's other certifying officer and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation including any corrective actions with regard to the significant deficiency.

Name: Dr. Emmanuel Otitolaiye

Designation: Chief Financial Officer

FRC No: FRC/2014/ICAN/00000008524

Signature: ________________

Date: 26/03/2026

KPMG

KPMG Professional Services
KPMG Tower
Bishop Aboyade Cole Street
Victoria Island
PMG 40014, Falomo
Lagos

Telephone 234 (1) 271 8955
234 (1) 271 8599
Internet home.kpmg/ng

Independent Auditor's Limited Assurance Report

To the Shareholders of Linkage Assurance Plc

Report on Limited Assurance Engagement Performed on Management's Assessment of Internal Control Over Financial Reporting

Conclusion

We have performed a limited assurance engagement on whether internal control over financial reporting of Linkage Assurance Plc ("the Company") as of 31 December 2025 is effective in accordance with the criteria established in Internal Control - Integrated Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission ("the COSO Framework") and the Securities and Exchange Commission Guidance on Implementation of Internal Control over Financial Reporting.

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that Linkage Assurance Plc's internal control over financial reporting as of 31 December 2025 is not effective, in all material respects, in accordance with the criteria established in the COSO Framework and the Securities and Exchange Commission Guidance on Implementation of Internal Control over Financial Reporting.

Basis for conclusion

We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* issued by the International Auditing and Assurance Standards Board (IAASB) and the Financial Reporting Council of Nigeria Guidance on Assurance Engagement Report on Internal Control over Financial Reporting. Our responsibilities are further described in the "Our responsibilities" section of our report.

We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants *(including International Independence Standards)* issued by the International Ethics Standards Board for Accountants (IESBA).

Our firm applies International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, issued by the IAASB. This standard requires the firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

KPMG

Other matter

We have audited the financial statements of Linkage Assurance Plc in accordance with the International Standards on Auditing, and our report dated 31 March 2026 expressed an unmodified opinion of those financial statements.

Our conclusion is not modified in respect of this matter.

Responsibilities for Internal Control over Financial reporting

The Board of Directors of Linkage Assurance Plc is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying Management's report on the effectiveness of internal control over financial reporting as of 31 December 2025. Our responsibility is to express a conclusion on the Company's internal control over financial reporting based on our assurance engagement.

Our responsibilities

The Financial Reporting Council of Nigeria Guidance on Assurance Engagement Report on Internal Control over Financial Reporting (“the Guidance”) requires that we plan and perform the assurance engagement and provide a limited assurance report on the Company's internal control over financial reporting based on our assurance engagement.

Summary of the work we performed as the basis for our conclusion

We exercised professional judgment and maintained professional skepticism throughout the engagement. As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provide a basis for our report on the internal control put in place by management over financial reporting.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Definition and Limitations of Internal Control Over Financial reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

(i) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;

(ii) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and

(iii) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Furthermore, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Signed:

Kabir

Kabir Okunlola
FRC/2012/PRO/ICAN/004/00000000428
For: KPMG Professional Services
Chartered Accountants
31 March 2026
Lagos, Nigeria

KPMG

KPMG Professional Services
KPMG Tower
Bishop Aboyade Cole Street
Victoria Island
PMG 40014, Falomo
Lagos

Telephone 234 (1) 271 8955
234 (1) 271 8599
Internet home.kpmg/ng

Independent Auditor's Report

To the Shareholders of Linkage Assurance Plc

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Linkage Assurance Plc (the Company), which comprise:

- the statement of financial position as at 31 December 2025;
- the statement of profit or loss and other comprehensive income;
- the statement of changes in equity; and
- the statement of cash flows for the year then ended, and
- the notes, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2025, and of its financial performance and cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council of Nigeria Act, 2011 (as amended), the Nigerian Insurance Industry Reform Act, 2025 and relevant National Insurance Commission of Nigeria (“NAICOM”) Circulars.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants’ *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code), as applicable to audits of the financial statements of public interest entities, together with the ethical requirements that are relevant to audits of the financial statements of public interest entities in Nigeria. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Actuarial valuation of insurance contract liabilities. Refer to Note 6.2 "Insurance risk section and accompanying disclosures", Note 3.1 in "Material accounting policies, Note 3.21 "Significant accounting judgements estimates and assumptions" and Note 10 "Reinsurance contracts assets and Insurance contract liabilities".	
Key audit matter	**How the matter was addressed in our audit**
The Company had insurance contract liabilities of N18.3 billion representing 61% of the Company's total liabilities. The actuarial valuation of insurance contract liabilities involves high estimation uncertainties and requires management to apply significant judgment and assumptions over uncertain future outcomes. Provisions for insurance contracts primarily comprise premium provisions (liability for remaining coverage, LRC) and claims provisions (liability for incurred claims, LIC). The IFRS 17 (Insurance contracts) premium allocation approach (PAA) is applied for measurement of groups of insurance contracts. The determination of insurance contract liabilities uses an experience-based estimate involving use of historic claims data and adjusted for the effect of current developments and likely trends using complex actuarial methods and models, which involve significant assumptions on the frequency and extent of insurance events relating to the insurance contracts. Measurement of provisions for insurance contract liabilities under IFRS 17 using PAA approach, specifically liabilities for claims that have occurred but are yet to be reported in respect of insurance contracts involve requires significant degree of estimation,	Our audit procedures included the following: • We gained an understanding of the Company's actuarial valuation process, including the approach for classification of insurance contracts for the purpose of measuring insurance contract liabilities, by performing a design and implementation. • We evaluated Management's Premium Allocation Approach (PAA) eligibility assessment to confirm that the contracts are within 12 months and, for the contracts that exceed 12 months, that the results obtained from the PAA approach are not significantly different from the results obtained under the General Measurement Method (GMM approach). • We examined supporting documentation with respect to ascertaining the accuracy of the underlying data used in the valuation of insurance contract liabilities. • We evaluated whether the Company's methodology to determine expected premium receipts including the methodology for allocation of expected premium receipts to periods is appropriate. • We performed recalculation of insurance revenue for groups of contracts under the PAA. • We assessed whether the disclosures in the financial statements related to the provisions

Actuarial valuation of insurance contract liabilities. Refer to Note 6.2 “Insurance risk section and accompanying disclosures”, Note 3.1 in “Material accounting policies, Note 3.21 “Significant accounting judgements estimates and assumptions” and Note 10 “Reinsurance contracts assets and Insurance contract liabilities”.	
Key audit matter	**How the matter was addressed in our audit**
judgement and assumptions such as: adjustment for non-financial risk to compensate the Company for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. the determination of the discount rates, risk adjustments and future cash flows (best estimate cash flows) for which eventual outcomes are uncertain and may deviate from the estimates. the determination of eligibility of the PAA for contracts with a duration of more than one year. The quality of disclosures required by IFRS 17 are also complex and need to provide insight to key judgements and material inputs to the IFRS 17 results. The level of complexity, the significant judgments and assumptions applied by management in estimating these insurance contract liabilities is of significance to our audit. We considered the valuation of insurance contract liabilities to be a key audit matter in our audit of the financial statements as significant judgement and estimation were applied.	for insurance contracts were appropriate and adequate, as required by IFRS 17. •We involved our actuarial specialists to support us in the audit of the valuation of insurance contract liabilities and to challenge the methodology as well as evaluating the significant assumptions and judgments applied by performing the following: •Evaluated the appropriateness of methods/models and assumptions applied and the basis used to determine the fulfilment cashflows for the liability for insurance contracts by performing a walkthrough to understand actuarial models used to project future cashflows. We also assessed that the discount risk curve applied and compared the rates used by management to observable market data. • Assessed and challenged the assumptions used in estimating risk adjustments to evaluate whether it is in line with the requirements of IFRS 17 and industry practices by performing a walkthrough to understand the different risk adjustments factor applied for each portfolio for both insurance and reinsurance contracts, which is in line with market practice and reflects the different non-financial risks. • Evaluated the computation of insurance finance income or expense (IFIE) from insurance or reinsurance contracts. •Assessed whether the method/ model for determining future cash flows is in line with the requirements of IFRS 17 and industry practices by reviewing the accounting policies and the reserve adequacy of 2024 gross reserves.

Actuarial valuation of insurance contract liabilities. Refer to Note 6.2 “Insurance risk section and accompanying disclosures”, Note 3.1 in “Material accounting policies, Note 3.21 “Significant accounting judgements estimates and assumptions” and Note 10 “Reinsurance contracts assets and Insurance contract liabilities”.	
Key audit matter	**How the matter was addressed in our audit**
	•Evaluated the appropriateness of methods/models and assumptions to determine ultimate expected claims including ultimate claims ratios, frequency and severity of claims, payment patterns and estimate discount rate curves by evaluating the trends of ultimate loss in each claims development triangle for underwriting years.

Other matter

The financial statements of the Company as at and for the year ended 31 December 2024, were audited by another auditor who expressed an unmodified opinion on those financial statements on 20 May 2025.

Other information

The Directors are responsible for the other information. The other information comprises the Corporate Information, Financial highlights, Directors' Report, Corporate Governance Report, Report of the Audit Committee, Statement of Directors' Responsibilities in relation to the Financial Statements, Statement of Corporate Responsibility for the Financial Statements, Enterprise Risk Management Declaration Statement, Certification Pursuant to Section 60(2) of Investment and Securities Act, Certification of Management’s Assessment of Internal Control over Financial Reporting, Management Annual Assessment on Internal Control over Financial reporting, Statement of Value Added and Five year Financial Summary which we obtained prior to the date of this auditor's report, but does not include the financial statements and our auditor’s report thereon.

Other information also include About Us, Brand Platform, Service Offerings, Notice of Annual General Meeting, Chairman’s Statement, MD/CEO’s Statement, Sustainability Report, Board Evaluation Report, Board of Directors, Management Team, E-Dividend Mandate Form, Proxy Form, Corporate Directory, together "the outstanding reports", which are expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the outstanding reports, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council of Nigeria Act, 2011 (as amended), the Nigerian Insurance Industry Reform Act, 2025 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Board of Directors and Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Board of Directors and Audit Committee with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Board of Directors and Audit Committee, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Compliance with the requirements of Schedule 5 of the Companies and Allied Matters Act (CAMA), 2020

i. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.

ii. In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books (and proper returns adequate for the purposes of our audit have been received from branches not visited by us).

iii. The Company statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account and returns.

Penalties

The Company paid penalties of N69,114,000 million in respect of contravention of the requirements of the National Insurance Commission Guidelines and Circulars during the year ended 31 December 2025. Details of penalties paid are disclosed in Note 47 to the financial statements.

Compliance with FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting

In accordance with the requirements of the Financial Reporting Council of Nigeria, we performed a limited assurance engagement and reported on management’s assessment of the company's internal control over financial reporting as of 31 December 2025. The work performed was done in accordance with ISAE 3000 (Revised) *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* and the FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting. We have issued an unmodified conclusion in our report dated 31 March 2026. That report is included in the annual report.

Signed:

Kabir

Kabir Okunlola

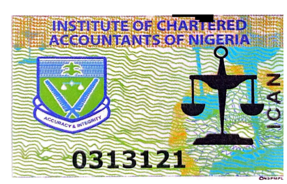
FRC/2012/PRO/ICAN/004/00000000428

For: KPMG Professional Services

Chartered Accountants

31 March 2026

Lagos, Nigeria.



Statement of profit or loss and other comprehensive income
For the year ended 31 December

	Notes	2025 N'000	2024 N'000
Insurance revenue	28	27,630,687	22,229,099
Insurance service expenses	29	(15,082,454)	(14,971,588)
Net expense from reinsurance contracts held	30	(9,090,327)	(6,490,544)
Insurance service result		**3,457,906**	**766,967**
Interest revenue calculated using the effective interest rate method	31(a)	4,755,424	3,567,427
Other Investment Income	32	3,138,689	2,554,001
Net gain on financial assets measured at FVTPL	36(a)	753,459	378,340
Net gain on financial assets measured at FVOCI	36(b)	26,387	-
Other income	35	(670,812)	2,847,692
Impairment write-back on financial assets	33	7,297	131,566
Investment result		**8,010,444**	**9,479,026**
Net finance (expenses)/income from insurance contracts issued	34	(3,640,388)	269,094
Net finance income/(expense) from reinsurance contracts held	34	1,466,666	(116,578)
Net insurance finance (expenses)/income		**(2,173,722)**	**152,516**
Net insurance and investment result		**9,294,628**	**10,398,509**
Other operating expenses	37	(5,262,205)	(5,116,425)
Profit before income tax		**4,032,423**	**5,282,084**
Minimum tax		-	(147,994)
Income tax (expense)/credit	22	(906,312)	417,541
Profit after tax		**3,126,111**	**5,551,631**
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Net fair value gain on equity instruments measured at fair value through OCI	8.2.1	7,259,076	4,971,762
Remeasurement of defined benefit obligation	27.3	20,372	55,660
		7,279,448	5,027,422
Items that are/may be reclassified to profit or loss			
Net fair value loss on debts instruments measured at fair value through OCI	8.2.1	(67,021)	(53,850)
Reclassification of cumulative fair value loss on disposal of FVOCI debt instruments	27.2	(26,387)	-
Related tax	27.2	(6,420,759)	-
		(6,514,167)	(53,850)
		765,281	4,973,572
Total comprehensive income attributable to owners of the Company		**3,891,391**	**10,525,203**
Earnings per share for profit attributable to the equity holders of the Company during the year – Basic/diluted (in kobo)	38	17k	30k

The accompanying notes form an integral part of these financial statements

Statement of financial position

		31 December 2025	31 December 2024
Assets	**Notes**	**N'000**	**N'000**
Cash and cash equivalents	7	4,433,568	5,416,681
Investment securities			
-Fair Value Through Profit or Loss	8.1	4,716,522	2,102,495
-Fair Value Through Other Comprehensive Income	8.2	39,077,796	29,490,446
-Amortised Cost	8.3	16,580,077	16,039,461
Loans and receivables	9	558,245	337,144
Reinsurance contract assets	10.1	4,143,338	5,571,208
Investment property	13	340,000	340,000
Premium receivables	11	251,333	948,117
Other receivables and prepayments	12	2,803,876	1,263,759
Statutory deposits	18	770,000	700,000
Property and equipment	16	3,176,474	3,426,201
Right of use assets	17	22,800	7,880
Intangible assets	15	25,066	33,908
Total assets		76,899,095	65,677,300
Liabilities			
Insurance contract liabilities	10.2	18,277,740	17,386,988
Defined benefit obligations	21	91,413	93,950
Other technical liabilities	19	1,467,869	1,218,863
Other payables	20	733,736	1,507,248
Provisions	20	343,000	343,000
Current tax liabilities	22	295,846	245,563
Deferred tax liabilities	22.3	9,003,239	2,036,859
Total liabilities		30,212,843	22,832,471
Equity			
Ordinary share capital	23	9,240,000	7,700,000
Share premium	24	497,464	547,433
Contigency reserve	25	5,562,642	5,562,642
Retained earnings	26	6,144,404	4,558,293
Fair value reserves	27.2	23,440,308	22,695,399
Re-measurement reserves	27.3	80,143	59,771
Assets revaluation reserve	27.1	1,721,291	1,721,291
Total equity		46,686,252	42,844,829
Total liabilities and equity		76,899,095	65,677,300

These financial statements were approved and authorized by the Board of Directors on 11 March 2026 and signed on behalf of the Board of Directors by the Directors listed below:

Chief Joshua Fumudoh	Mr Daniel Braie	Mr Emmanuel Otitolaiye
Chairman	Managing Director	Chief Financial Officer
FRC/2018/ODN/00000017911	FRC/2018/CIIN/00000018082	FRC/2014/ICAN/0000008524

The accompanying notes form an integral part of these financial statements

Statement of changes in equity
For the year ended 31 December 2025

	Notes	Share capital N'000	Share premium N'000	Retained earnings N'000	Fair value reserves N'000	Contigency Reserve N'000	Asset revaluation reserve N'000	Re-measurement reserve N'000	Total N'000
Balance at 1 January 2025		7,700,000	547,433	4,558,293	22,695,399	5,562,642	1,721,291	59,771	42,844,829
Profit for the period from continuing operations	26	-	-	3,126,111	-	-	-	-	3,126,111
Other comprehensive income:									
Equity investments at FVOCI- net change in fair value	8.2.1	-	-	-	7,259,076	-	-	-	7,259,076
Net fair value changes on debt instrument	8.2.1	-	-	-	(67,021)	-	-	-	(67,021)
Remeasurement of defined benefit obligation	23	-	-	-	-	-	-	20,372	20,372
Reclassification of cumulative fair value gain/loss on disposal of FVOCI debt instruments	27.2	-	-	-	(26,387)	-	-	-	(26,387)
Related tax	27.2				(6,420,759)				(6,420,759)
Total comprehensive income for the year		-	-	3,126,111	744,909	-	-	20,372	3,891,392
Transfer to contigency reserve	25	-	-	-	-	-	-	-	-
Transactions with Shareholders									-
Contributions and distributions									-
Final dividends to equity share holders	26	-	-	-	-	-	-	-	-
Issue of bonus shares		1,540,000	-	(1,540,000)					-
Transaction cost related to the issuance of bonus shares	24	-	(49,969)	-	-	-	-	-	(49,969)
As at 31 December 2025		**9,240,000**	**497,464**	**6,144,404**	**23,440,308**	**5,562,642**	**1,721,291**	**80,143**	**46,686,252**

Statement of changes in equity
For the year ended 31 December 2025

	Notes	Share capital N'000	Share premium N'000	Retained earnings N'000	Fair value reserves N'000	Contigency Reserve N'000	Asset revaluation reserve	Re-measurement reserve	Total N'000
Balance at 1 January 2024		7,000,000	560,294	1,516,988	17,777,487	4,452,316	1,721,291	4,111	33,032,487
Profit for the year	26	-	-	5,551,631	-	-	-	-	5,551,631
Other comprehensive income:									
Unrealised gain/loss on AFS		-	-	-	-	-	-	-	-
Net fair value gain on equity instruments measured at fair value through OCI	27.2	-	-	-	4,971,762	-	-	-	4,971,762
Remeasurement of defined benefit obligation		-	-	-		-	-	55,660	55,660
Unrealised gain or loss on bonds measured at FVOCI	27.2	-	-	-	(53,850)	-	-	-	(53,850)
Total comprehensive income for the year		-	-	5,551,631	4,917,912	-		55,660	10,525,203
Transfer to contigency reserve	25	-	-	(1,110,326)	-	1,110,326	-	-	-
Transactions with Shareholders ***Contributions and distributions***									
Final dividends to equity share holders	26	-	-	(700,000)	-	-	-	- -	(700,000)
Issue of bonus shares	23	700,000	-	(700,000)	-	-	-	-	-
Transaction cost related to the issuance of bonus shares	24	-	(12,861)	-	-	-	-	-	(12,861)
As at 31 December 2024		**7,700,000**	**547,433**	**4,558,293**	**22,695,399**	**5,562,642**	**1,721,291**	**59,771**	**42,844,829**

The accompanying notes form an integral part of these financial statements

Statement of cash flows
for the year ended 31 December

	Note	2025 ₦'000	2024 ₦'000
Cash flow from operating activities			
Premiums received from policy holders	11	27,873,378	24,044,368
Cash received from policyholders in advance	11	75,425	22,374
Cash deposit without details	19	801,361	623,081
Cash premiums paid to reinsurers	40	(11,140,532)	(11,502,519)
Claims paid	10.2	(5,946,533)	(4,578,686)
Cash received from reinsurers on recoveries for claims paid	39	2,237,272	1,463,862
Cash received from salvage recoveries	39	174,073	87,480
Commission paid	41	(9,333,080)	(8,536,607)
Maintenance expenses paid	29	(2,199,857)	(2,115,580)
Commission received	43	2,533,397	1,797,492
Cash payment to and on behalf of employees (excluding maintenance expenses)	45	(1,268,115)	(1,765,707)
Cash paid to suppliers	42	(6,185,758)	(1,058,858)
Corporate tax paid	22	(162,752)	(160,177)
Net cash flows (used in)/ from operating activities		**(2,541,719)**	**(1,679,477)**
Cash flow from investing activities			
Purchase of properties and equipment	44	(225,724)	(466,435)
Purchase of intangible assets	15	-	(9,568)
Proceeds from sale of property and equipment	44.1	16,087	81,163
Purchase of investment securities	43.1	(12,862,096)	(11,520,752)
Proceeds from sale of investment securities - FVTPL	8.1	228,415	1,071,725
Proceeds from sale of investment securities - FVOCI	8.2.1	3,014,903	1,014,903
Proceeds from sale of debt instrument at amortised cost	8.3	4,833,951	5,380,458
Loans disbursed	9.1	(307,147)	(127,315)
Proceeds from repayment of loans	9.1	156,353	198,888
Dividend received	32	2,555,284	2,236,441
Rental income received	35	8,800	3,500
Interest received	31	4,755,424	3,567,427
Net cash flows from/(used in) investing activities		**2,174,250**	**1,430,434**
Cash flow from financing activities			
Dividend paid	26	-	(700,000)
Regulatory costs of bonus share issuance	24	(49,969)	(12,861)
Net cash flows used in financing activities		(49,969)	(712,861)
Net decrease in cash and cash equivalents		(417,438)	(961,902)
Cash and cash equivalents at the beginning of the year	7	5,487,626	5,507,394
Impact of exchange difference on cash held		(622,401)	942,134
Cash and cash equivalents at end of the year	7	**4,447,787**	**5,487,626**

The material accounting policies and accompanying notes to the financial statements form an integral part of the financial statements.

Notes to the financial statements.

1 Reporting Entity

Linkage Assurance Plc. ("Linkage" or "the Company") was incorporated in Nigeria on 26 of March 1991 as a private limited liability company domiciled in Nigeria. It was registered by the National Insurance Commission on the 7th of October 1993 to transact general insurance business and commenced operations in January, 1994. The Company became a public limited liability company in 2003 and the Company's shares, which are quoted on the Nigerian Stock Exchange were first listed on 18 November 2003. The registered office of the Company is Plot 20 Block 94 Lekki-Epe Express way, Lekki, Lagos, Nigeria.

The Company's high standard in corporate policies and governance are designed to encourage transparency in all its activities as well as ensure the protection of the long-term interest of all stakeholders.

"The financial statements were authorized for issue by the Company's board of Directors on 13 March 2026.

1.1 Principal activity

The Company was registered to provide all classes of life and non-life insurance business, insurance claims payment and investments. Subsequently, it disposed its life business in February 2007 and concentrated on the non-life insurance business.

Going concern

These financial statements have been prepared on the going concern basis. The Company has no intention or need to reduce substantially its business operations. Management believes that the going concern assumption is appropriate for the company due to sufficient capital adequacy ratio and projected liquidity. Liquidity ratio and continuous evaluation of current ratio is carried out by the company to ensure that there are no going concern threats to the operations of the Company.

1.2 Basis of Accounting

The financial statements have been prepared in accordance with IFRS® Accounting Standards (IFRS Accounting Standards) as issued by the International Accounting Standards Board and in the manner required by Companies and Allied Matters Act (CAMA), 2020, and the Financial Reporting Council of Nigeria Act, 2011 (as amended), the Nigerian Insurance Industry Reform Act, 2025 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars..

The financial statements comprise the statement of financial position, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows, and the notes to the financial statements.

Historical cost is generally based on the fair value of the consideration given in exchange for assets at acquisition date. In accordance with IFRS 17: Insurance Contracts, the Company has applied existing accounting policies for its non-life insurance contracts, modified as appropriate to comply with the IFRS Accounting

1.3 Functional and presentation currency

These financial statements are presented in Nigerian Naira, which is the company's functional currency; except where indicated, financial information presented in Nigeria Naira has been rounded to the nearest thousands. Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The financial statements are presented in Nigerian Naira which is the Company's functional and presentation currency.

1.4 Significant accounting judgements estimates and assumptions

In the application of the Company's accounting policies, the Directors are required to make judgments, estimates and assumptions about the carrying amounts of assets, liabilities, income and expenses that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

1.5 Critical judgments in applying the Company's accounting policies.

The following are the critical judgments, apart from those involving estimations (which are dealt with separately below), that the directors have made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

a. Judgements

- See note 3.3 - Classification of Financial Assets
- See note 3.1 - Classification of Insurance and Reinsurance Contracts

b. Assumptions and Estimation Uncertainties

- See note 3.3 and 4(g) - Measurement of fair value of financial instruments, investment properties.
- See note 4(f) - Measurement of Defined benefit obligations

2 Changes in material accounting policies and new standards

The Company does not have changes in material accounting policies in the current annual reporting period.

2.1 Standards, Amendments to Standards and Interpretations effective during the reporting period

The effective interpretations and standards that need to be considered for the financial year ended 31 December 2025 are listed below:

a) Lack of Exchangeability - Amendments to IAS 21

Under the amendments, companies will need to provide new disclosures to help users assess the impact of using an estimated exchange rate on the financial statements. These disclosures might include:

the nature and financial impacts of the currency not being exchangeable;

the spot exchange rate used;

the estimation process; and

risks to the company because the currency is not exchangeable.

Notes to the financial statements.

2 Changes in material accounting policies and new standards - continued

2.2 Standards and interpretations not yet effective during the reporting period

A number of new accounting standards are effective for annual reporting periods beginning after 1 January 2026 and earlier application is permitted.
However, the Company has not early adopted the following new or amended accounting standards in preparing these financial statements

a. Classification and Measurement of IFRS 9 and IFRS 7

In May 2024, the IASB issued Amendments to the Classification and Measurements of Financial Instruments, which amended IFRS 9 and IFRS 7.

The requirements will be effective for annual reporting periods beginning on or after 1 January 2026, with early application permitted, and are related to:

(i) recognition and derecognition, including accounting for settlements of financial liabilities using an electronic payments system; and

(ii)assessing contractual cash flow characteristics of financial assets, including those with sustainability-linked features.

The Company has early adopted the amendments to Section B4.1 of IFRS 9, which relates to assessing contractual cash flows, and associated disclosure

requirements in IFRS 7. The Company is in the process of assessing the impact of the rest of the amendments.

b. IFRS 18 Presentation and Disclosure in Financial Statements

IFRS 18 will replace IAS 1 Presentation of Financial Statements and applies for annual periods beginning on or after 1 January 2027. The new accounting standard introduces the following key new requirements.
Entities are required to classify all income and expenses into five categories in the statement of profit or loss, namely the operating, investing, financing,discontinued operations and income tax categories. Entities are also required to present a newly defined operating profit subtotal.
• Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements.
• Enhanced guidance is provided on how to group information in the financial statements.
In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.

The Company is still in the process of assessing the impact of the new accounting standard, particularly with respect to the structure of the Company's statement of profit or loss, the statement of cash flows and the additional disclosures required for MPMs. The Company is also assessing the impact on how information is grouped in the financial statements, including for items currently labelled as 'other'.

c. Other accounting standards

The following amendments to accounting standard are not expected to have a significant impact on the Company's financial statements:
(i) Contracts referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7).
(ii) Annual Improvements to IFRS Accounting Standards- Volume 11

d. Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

In December 2024, the IASB Board issued Contracts Referencing Nature-dependent Electricity (Amendments to IFRS 9 and IFRS 7). The amendments clarify the 'own use', but the guidance permitting hedge accounting have to be applied prospectively to new hedging relationships designated on or after the date of initial application. The amendment include:
• Clarifying the application of the 'own-use' requirements
• Permitting hedge accounting if these contracts are used as hedging instruments
• Adding new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows.

This amendment will become effective on or before 1 January 2026, with early adoption permitted. This standard has no impact on Company's financials.

e. IFRS 19 Subsidiaries without Public Accountability: Disclosures

In May 2024, the IASB issued IFRS 19, which allows eligible entities to elect to apply its reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS accounting standards. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in IFRS 10, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with IFRS accounting standards.

IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted. This standard has no impact on the Company, as it is neither a parent nor a subsidiary of another entity.

Notes to the financial statements

3 Summary of material accounting policies

3.1 Insurance and reinsurance contracts classification

The Company issues insurance contracts in the normal course of business, under which it accepts significant insurance risk from its policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits payable after an insured event with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk. The Company issues non-life insurance to individuals and businesses. Non-life insurance products offered include accident, engineering, marine, motor, fire, oil and gas, aviation, bond, and agriculture. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

The Company does not issue any contracts with direct participating features.

3.2 Insurance and reinsurance contracts accounting treatment

3.2.1 Separating components from insurance and reinsurance contracts

The Company assesses its non-life insurance and reinsurance products to determine whether they contain distinct components which must be accounted for under another IFRS instead of under IFRS 17. After separating any distinct components, the Company applies IFRS 17 to all remaining components of the (host) insurance contract. Currently, the Company's products do not include any distinct components that require separation.

3.2.2 Level of aggregation

IFRS 17 requires a company to determine the level of aggregation for applying its requirements. The Company previously applied aggregation levels under GAAP, which were significantly higher than the level of aggregation required by IFRS 17. The level of aggregation for the Company is determined firstly by dividing the business written into portfolios. Portfolios comprise groups of contracts with similar risks which are managed together. Portfolios are further divided based on expected profitability at inception into three categories: onerous contracts, contracts with no significant risk of becoming onerous, and the remainder. This means that, for determining the level of aggregation, the Company identifies a contract as the smallest 'unit', i.e., the lowest common denominator. However, the Company makes an evaluation of whether a series of contracts need to be treated together as one unit based on reasonable and supportable information, or whether a single contract contains components that need to be separated and treated as if they were stand-alone contracts. As such, what is treated as a contract for accounting purposes may differ from what is considered as a contract for other purposes (i.e., legal or management). IFRS 17 also requires that no group for level of aggregation purposes may contain contracts issued more than one year apart.

The Company has elected to group together those contracts that would fall into different groups only because law or regulation specifically constrains its practical ability to set a different price or level of benefits for policyholders with different characteristics.

The portfolios are further divided by year of issue and profitability for recognition and measurement purposes. Hence, within each year of issue, portfolios of contracts are divided into three groups, as follows:

- A group of contracts that are onerous at initial recognition (if any)
- A group of contracts that, at initial recognition, have no significant possibility of becoming onerous subsequently (if any)
- A group of the remaining contracts in the portfolio (if any)

The profitability of groups of contracts is assessed by actuarial valuation models that take into consideration existing and new business. The Company assumes that no contracts in the portfolio are onerous at initial recognition unless facts and circumstances indicate otherwise. For contracts that are not onerous, the Company assesses, at initial recognition, that there is no significant possibility of becoming onerous subsequently by assessing the likelihood of changes in applicable facts and circumstances. The Company considers facts and circumstances to identify whether a group of contracts are onerous based on:

- Pricing information
- Results of similar contracts it has recognised
- Environmental factors, e.g., a change in market experience or regulations

The Company divides portfolios of reinsurance contracts held applying the same principles set out above, except that the references to onerous contracts refer to contracts on which there is a net gain on initial recognition. For some groups of reinsurance contracts held, a group can comprise a single contract.

3.2 Insurance and reinsurance contracts accounting treatment- continued

3.2.3 Recognition

The Company recognises groups of insurance contracts it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts
- The date when the first payment from a policyholder in the group is due or when the first payment is received if there is no due date
- For a group of onerous contracts, if facts and circumstances indicate that the group is onerous.

The Company recognises a group of reinsurance contracts held it has entered into from the earlier of the following:

- The beginning of the coverage period of the group of reinsurance contracts held. (However, the Company delays the recognition of a group of reinsurance contracts held that provide proportionate coverage until the date any underlying insurance contract is initially recognised, if that date is later than the beginning of the coverage period of the group of reinsurance contracts held.

And

- The date the Company recognises an onerous group of underlying insurance contracts if the Company entered into the related reinsurance contract held in the group of reinsurance contracts held at or before that date.

The Company adds new contracts to the group in the reporting period in which that contract meets one of the criteria set out above.

3.2.4 Contract boundary

The Company includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which the Company has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

· The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks

Or

· Both of the following criteria are satisfied:

· The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio

· The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognised. Such amounts relate to future insurance contracts.

3 Summary of material accounting policies-continued

3.2 Insurance and reinsurance contracts accounting treatment - continued

3.2.5 Measurement -Premium Allocation Approach

	IFRS 17 Options	Adopted approach
Premium Allocation Approach (PAA) Eligibility	Subject to specified criteria, the PAA can be adopted as a simplified approach to the IFRS 17 general model	All the Company's products with coverage period of one year or less are measured using the PAA. Where a contract has a coverage period of more than a year, the company will perform the PAA eligibility test as required, where the materiality level for difference in the liability for remaining coverage has been set at +/- 5%.
Insurance acquisition cash flows for insurance contracts issued	Where the coverage period of all contracts within a group is not longer than one year, insurance acquisition cash flows can either be expensed as incurred, or allocated, using a systematic and rational method, to groups of insurance contracts (including future groups containing insurance contracts that are expected to arise from renewals) and then amortised over the coverage period of the related group. For groups containing contracts longer than one year, insurance acquisition cash flows must be allocated to related groups of insurance contracts and amortised over the coverage period of the related group.	The Company uses a systematic and rational method for allocating insurance acquisition cash flows to groups of contract.
Liability for Remaining Coverage (LFRC), adjusted for financial risk and time value of money	Where there is no significant financing component in relation to the LFRC, or where the time between providing each part of the services and the related premium due date is no more than a year, an entity is not required to make an adjustment for accretion of interest on the LFRC.	For general business, LFRC would not be discounted except for certain contract (e, g construction contract). Where contracts have a coverage of more than one year, and where the time between the premium due date and start of coverage period exceeds one year, allowance must be made for accretion of interest on the LFRC (i.e., LFRC will be discounted).
Liability for Incurred Claims, (LFIC) adjusted for time value of money	Where claims are expected to be paid within a year of the date that the claim is incurred, it is not required to adjust these amounts for the time value of money.	Not all claims incurred are settled within a year as such when the claims are settled after a year period, time value of money will be considered. The company has decided not to adjust for time value of money if the cashflow is expected within a year.
Insurance finance income and expense	There is an option to disaggregate part of the movement in LFIC resulting from changes in discount rates and present this in OCI.	When insurance finance income or expenses is disaggregated between profit or loss and other comprehensive income, the amount of insurance finance income or expenses included in profit or loss is determined using the discount rate at the date of the incurred claim.

Notes to the financial statements

3.2 Insurance and reinsurance contracts accounting treatment - continued

3.2.5.1 Insurance contracts – initial measurement

The Company applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds, as:

- The coverage period of each contract in the group is one year or less, including insurance contract services arising from all premiums within the contract boundary

Or

- For contracts longer than one year, the Company has modelled possible future scenarios and reasonably expects that the measurement of the liability for remaining coverage for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the general model. In assessing materiality, the Company has also considered qualitative factors such as the nature of the risk and types of its lines of business.

The Company does not apply the PAA if, at the inception of the group of contracts, it expects significant variability in the fulfilment cash flows that would affect the measurement of the liability for the remaining coverage during the period before a claim is incurred. Variability in the fulfilment cash flows increases with, for example:

- The extent of future cash flows related to any derivatives embedded in the contracts
- The length of the coverage period of the group of contracts

For a group of contracts that is not onerous at initial recognition, the Company measures the liability for remaining coverage as:

- The premiums, if any, received at initial recognition
- Minus any insurance acquisition cash flows at that date, with the exception of contracts which are one year or less where this is expensed,
- Plus or minus any amount arising from the derecognition at that date of the asset recognised for insurance acquisition cash flows and
- Any other asset or liability previously recognised for cash flows related to the group of contracts that the Company pays or receives before the group of insurance contracts is recognised.

For contracts beyond one year, the liability for remaining coverage is discounted to reflect the time value of money and the effect of financial risk. For all other contracts, there is no allowance for time value of money as the premiums are received within one year of the coverage period.

Where facts and circumstances indicate that contracts are onerous at initial recognition, the Company performs additional analysis to determine if a net outflow is expected from the contract. Such onerous contracts are separately grouped from other contracts and the Company recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cashflows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognised.

3.2.5.2 Reinsurance contracts held – initial measurement.

The Company measures its reinsurance assets for a group of reinsurance contracts that it holds on the same basis as insurance contracts that it issues. However, they are adapted to reflect the features of reinsurance contracts held that differ from insurance contracts issued, for example the generation of expenses or reduction in expenses rather than revenue.

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts, or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss- recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The Company holds the following reinsurance contracts:

- Treaty Reinsurance Outward is usually between the Company and Reinsurers.
- Facultative Reinsurance Outward is usually between the Company and other insurance companies or between the Company and Reinsurers.
- Facultative reinsurance inwards are usually between the Company and other insurance Companies or between the Company and Reinsurers.

3.2 Insurance and reinsurance contracts accounting treatment - continued

3.2.5.2 Reinsurance contracts held – initial measurement -continued

Premiums due to the reinsurers are paid and all claims and recoveries due from reinsurers are received. Contracts entered into by the Company with reinsurers under which the Company is compensated for losses on one or more contracts issued by the Company and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets.

The benefits to which the Company is entitled under its reinsurance contracts held are recognized as reinsurance assets. These assets consist of short-term balances due from reinsurers, as well as long term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts. Amounts recoverable from or due to reinsurers are measured consistently with the amount associated with the reinsured insurance contracts and in accordance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognized as an expense when due.

The Company's Insurance liabilities or balances arising from insurance contracts primarily include those insurance contract liabilities that were valued by the Actuary. These include unearned premiums reserve and outstanding claim reserve.

3.2.5.3 Insurance contracts – subsequent measurement

The Company measures the carrying amount of the liability for remaining coverage at the end of each reporting period as the liability for remaining coverage at the beginning of the period:

- Plus, premiums received in the period
- Minus insurance acquisition cash flows
- Plus, any amounts relating to the amortisation of the insurance acquisition cash flows recognised as an expense in the reporting period for the group

- Plus any adjustment to the financing component, where applicable
- Minus the amount recognised as insurance revenue for the services provided in the period
- Minus any investment component paid or transferred to the liability for incurred claims

The Company estimates the liability for incurred claims as the fulfilment cash flows related to incurred claims. The fulfilment cash flows incorporate, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows, they reflect current estimates from the perspective of the Company and include an explicit adjustment for non-financial risk (the risk adjustment). The Company does not adjust the future cash flows for the time value of money and the effect of financial risk for the measurement of liability for incurred claims that are expected to be paid within one year of being incurred.

Where, during the coverage period, facts and circumstances indicate that a group of insurance contracts is onerous, the Company recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such.

3.2.5.4 Reinsurance contracts held – subsequent measurement.

The subsequent measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued and has been adapted to reflect the specific features of reinsurance held.
Where the Company has established a loss-recovery component, the Company subsequently reduces the loss- recovery component to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held.

3.2 Insurance and reinsurance contracts accounting treatment - continued

3.2.5.5 Insurance acquisition cash flows

Insurance acquisition cash flows arise from the costs of selling, underwriting and starting a group of insurance contracts (issued or expected to be issued) that are directly attributable to the portfolio of insurance contracts to which the group belongs.

The Company uses a systematic and rational method to allocate:

(a) Insurance acquisition cash flows that are directly attributable to a group of insurance contracts:
(i) to that group; and
(ii) to groups that include insurance contracts that are expected to arise from the renewals of the insurance contracts in that group

(b) Insurance acquisition cash flows directly attributable to a portfolio of insurance contracts that are not directly attributable to a group of contracts, to groups in the portfolio.

Where insurance acquisition cash flows have been paid or incurred before the related group of insurance contracts is recognised in the statement of financial position, a separate asset for insurance acquisition cash flows is recognised for each related group. The asset for insurance acquisition cash flow is derecognised from the statement of financial position when the insurance acquisition cash flows are included in the initial measurement of the related group of insurance contracts.

At the end of each reporting period, the Company revises amounts of insurance acquisition cash flows allocated to groups of insurance contracts not yet recognised, to reflect changes in assumptions related to the method of allocation used. After any re-allocation, the Company assesses the recoverability of the asset for insurance acquisition cash flows, if facts and circumstances indicate the asset may be impaired. When assessing the recoverability, the Company applies:

- An impairment test at the level of an existing or future group of insurance contracts; and
- An additional impairment test specifically covering the insurance acquisition cash flows allocated to expected future contract renewals.

If an impairment loss is recognised, the carrying amount of the asset is adjusted and an impairment loss is recognised in profit or loss.
The Company recognises in profit or loss a reversal of some or all of an impairment loss previously recognised and increases the carrying amount of the asset, to the extent that the impairment conditions no longer exist or have.

3.2.5.6 Insurance contracts – modification and derecognition

The Company derecognises insurance contracts when:

- The rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired)

Or

- The contract is modified such that the modification results in a change in the measurement model or the applicable standard for measuring a component of the contract, substantially changes the contract boundary, or requires the modified contract to be included in a different group. In such cases, the Company derecognises the initial contract and recognises the modified contract as a new contract.

When a modification is not treated as a derecognition, the Company recognises amounts paid or received for the modification with the contract as an adjustment to the relevant liability for remaining coverage.

3.2.6 Presentation

The Company has presented separately, in the statement of financial position, the carrying amount of portfolios of insurance contracts issued that are assets, portfolios of insurance contracts issued that are liabilities, portfolios of reinsurance contracts held that are assets and portfolios of reinsurance contracts held that are liabilities. Any assets for insurance acquisition cash flows recognised before the corresponding insurance contracts are included in the carrying amount of the related groups of insurance contracts are allocated to the carrying amount of the portfolios of insurance contracts that they relate to.

The Company disaggregates the total amount recognised in the statement of profit or loss and other comprehensive income into an insurance service result, comprising insurance revenue and insurance service expense, and insurance finance income or expenses.

The Company does not disaggregate the change in risk adjustment for non-financial risk between a financial and non- financial portion and includes the entire change as part of the insurance service result. The Company separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

3.2 Insurance and reinsurance contracts accounting treatment - continued

3.2.6.1 Insurance revenue

The insurance revenue for the year is the amount of expected premium receipts allocated to the period. The Company allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance service expenses.

The Company changes the basis of allocation between the two methods above as necessary, if facts and circumstances change. The change is accounted for prospectively as a change in accounting estimate.

For the periods presented, all revenue has been recognised on the basis of the passage of time.

3.2.6.2 Loss components

The Company assumes that no contracts are onerous at initial recognition unless facts and circumstances indicate otherwise. Where this is not the case, and if at any time during the coverage period, the facts and circumstances indicate that a group of insurance contracts is onerous, the Company establishes a loss component as the excess of the fulfilment cash flows that relate to the remaining coverage of the group over the carrying amount of the liability for remaining coverage of the group. Accordingly, by the end of the coverage period of the group of contracts the loss component will be zero.

3.2.6.3 Loss-recovery components

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts, or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the expected recovery of the losses.

A loss-recovery component is subsequently reduced to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held.

3.2.6.4 Insurance finance income and expense

Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

· The effect of the time value of money and changes in the time value of money; and
· The effect of financial risk and changes in financial risk.

The Company presents insurance finance income or expenses on insurance contracts issued and reinsurance contracts held in the statement of profit or loss.

3.2.6.5 Net income or expense from reinsurance contracts held

The Company presents separately on the face of the statement of profit or loss and other comprehensive income, the amounts expected to be recovered from reinsurers, and an allocation of the reinsurance premiums paid. The Company treats reinsurance cash flows that are contingent on claims on the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held, and excludes investment components and commissions from an allocation of reinsurance premiums presented on the face of the statement of profit or loss and other comprehensive income.

3.3 Financial Instruments

a) Recognition and initial measurement

- Initial recognition

All financial assets and liabilities are initially recognized on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument. The Company uses trade date accounting for regular way contracts when recording financial assets transactions.

A financial asset or financial liability is measured initially at fair value plus or minus, for an item not at fair value through profit or loss, direct and incremental transaction costs that are directly attributable to its acquisition or issue. Transaction costs of financial assets and liabilities carried at fair value through profit or loss are expensed in profit or loss at initial recognition.

3.3 Financial Instruments -continued

- Day 1 profit or loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognises the difference between the transaction price and fair value in net trading income. In those cases where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is deferred. The deferred amounts are recognised in profit or loss when there is a change in a factor (including time) that market participants would take into account when pricing the asset or liability. On this basis, the Company has assessed that amortising the deferred amount on a straight–line basis is appropriate. Any outstanding amount is immediately recognised in profit or loss when the instrument is derecognised or when the input(s) becomes observable.

b) Amortised cost and gross carrying amount.

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance.

The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

c) Effective interest method

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e., its amortised cost before any impairment allowance) or to the amortised cost of a financial liability.

The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees.

When calculating the effective interest rate for financial instruments other than purchase or originated credit- impaired assets, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses. For purchase or originated credit-impaired financial assets, a credit- adjusted effective interest rate is calculated using estimated future cash flows including expected credit losses. The EIR (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognizes interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset are revised (excluding modifications) for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the statement of financial position with an increase or reduction in interest income. The adjustment is subsequently amortised through interest income in profit or loss.

d) Classification of financial instruments

The Company classifies its financial assets under IFRS 9, into the following measurement categories:

- those to be measured at fair value through other comprehensive income (FVOCI) without recycling (equity instrument),
- those to be measured at fair value through other comprehensive income (FVOCI) with recycling (debt instrument),
- those to be measured at fair value through profit or loss (FVTPL) (equity instrument); and
- those to be measured at amortised cost (debt instrument).

The classification depends on the Company's business model (i.e., business model test) for managing financial assets and the contractual terms of the financial assets cash flows (i.e. solely payments of principal and interest – SPPI test). The Company also classifies its financial liabilities at amortized cost. Management determines the classification of the financial instruments at initial recognition.

3.3 Financial Instruments -continued

e) Subsequent measurements

(i) Financial assets

The subsequent measurement of financial assets depends on its initial classification:

✓ **Debt instruments**

Financial assets at amortised cost: A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows;

and

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The gain or loss on a debt investment that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is determined using the effective interest method and reported in profit or loss as 'Interest income'. The amortised cost of a financial instrument is defined as the amount at which it was measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the 'effective interest method' of any difference between that initial amount and the maturity amount, and minus any loss allowance.

The effective interest method is a method of calculating the amortised cost of a financial instrument (or group of instrument) and of allocating the interest income or expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts over the expected life of the instrument or, when appropriate, a shorter period, to the instrument's gross carrying amount.

✓ Equity instruments

The Company subsequently measures all equity investments at fair value. The Company has designated its unquoted equity instruments to be measured at fair value through other comprehensive income (FVOCI) since the investments are not held for trading. For these instruments, the Company present subsequent changes in fair value in other comprehensive income (OCI). This election is made on an investment-by-investment basis at the initial recognition of the instrument. Where the Company's management has elected to present fair value gains and losses on equity investments in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss. Dividends from such investments continue to be recognised in profit or loss as dividend income net of witholding tax (under Investment income) when the Company's right to receive payments is established unless the dividend clearly represents a recovery of part of the cost of the investment.

Business Model assessment

The Company assess the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

· the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets.

· how the performance of the portfolio is evaluated and reported to the Insurer's management.

· the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed.

· how managers of the business are compensated - e.g., whether compensation is based on the fair value of the assets managed or the contractual cash flows collected.

· the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Insurer's stated objective for managing financial assets is achieved and how cash flows are realized.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.3 Financial Instruments

e) Subsequent measurements - continued

Solely payments of principal and interest (SPPI) assessment

If a financial asset is held in either a Hold to Collect or Hold to Collect and Sell model, then an assessment is determined whether contractual cash flows are solely payments of principal and interest on principal amount outstanding at initial recognition is required to determine the classification. Contractual cash flows that are SPPI on the principal amount outstanding are considered as basic lending arrangement with interest as consideration for the time value of money and the credit risk associated with the principal amount outstanding during the tenor of the agreed arrangement. Other basic lending risks like Liquidity risk and cost of administration associated with holding the financial asset for the specified tenor and the profit margin that is consistent with a basic lending arrangement.

(ii) Financial liabilities

A financial liability is classified at fair value through profit or loss if it is classified as held-for-trading or designated as such on initial recognition. Directly attributable transaction costs on these instruments are recognised in profit or loss as incurred. Financial liabilities at fair value through profit or loss are measured at fair value and changes therein, including any interest expense, are recognised in profit or loss.

Other non-derivative financial liabilities are initially measured at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

f) Reclassifications

The Company reclassifies financial assets when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and must be significant to the Company's operations.

When reclassification occurs, the Company reclassifies all affected financial assets in accordance with the new business model. Reclassification is applied prospectively from the 'reclassification date'. Reclassification date is 'the first day of the first reporting period following the change in business model. Gains, losses or interest previously recognised are not restated when reclassification occurs.

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Company changes its business model for managing financial assets that are debt instruments. A change in the objective of the Company's business occurs only when the Company either begins or ceases to perform an activity that is significant to its operations (e.g., via acquisition or disposal of a business line).

The following are not considered to be changes in the business model:

· A change in intention related to particular financial assets (even in circumstances of significant changes in market conditions)

· A temporary disappearance of a particular market for financial assets

Financial liabilities are not reclassified after initial classification.

3 Summary of material accounting policies - continued

g) Modifications of financial assets and financial liabilities

(i) Financial Assets

If the terms of a financial asset are modified, the Company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value. Any difference between the amortized cost and the present value of the estimated future cash flows of the modified asset or consideration received on derecognition is recorded as a separate line item in profit or loss statement. If the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Company recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows that are discounted at the financial asset's original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

The amount arising from adjusting the gross carrying amount is recognised as a modification gain or loss in profit or loss as part of impairment loss on financial assets for the year.

(ii) Financial Liabilities

The Company derecognizes a financial liability when its terms are modified, and the cash flows of the modified liability .

are substantially different. This occurs when the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10 per cent different from the discounted present value of the remaining cash flows of the original financial liability.

In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment.

If the exchange or modification is not accounted for as an extinguishment (i.e. the modified liability is not substantially different), any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

h) Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms. ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For debt instruments at amortised cost, the Company applies the low credit risk simplification. At every reporting date, the Company evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Company reassesses the credit rating of the debt instrument by international credit rating agencies like S&P, Moody's and Fitch as well as local ratings by Agusto and Co. It is the Company's policy to measure ECLs on such instruments on a 12-month basis. Where the credit risk of any bond deteriorates, the Company will sell the bond and purchase bonds meeting the required investment grade.

The Company's debt instruments at amortised cost comprise quoted sovereign bonds, corporate bonds, and others that are graded in the top investment category. The Company's fixed income investment portfolio consists of Investment grade and low speculative bonds and, therefore, are considered to be low credit risk investments. It is the Company's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Company uses the ratings from the International Credit Rating Agencies both to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Further disclosures relating to impairment of financial assets are also provided in the following.

- Disclosures for significant estimates Judgements and assumptions - Note 3.21
- Financial risk disclosures - Notes 6b in the financial statements.

Notes to the financial statements.

3 Summary of material accounting policies - continued

i) Write-off

After a full evaluation of a non-performing exposure, in the event that either one or all of the following conditions apply, such exposure is recommended for write-off (either partially or in full):

- continued contact with the customer is impossible;
- recovery cost is expected to be higher than the outstanding debt;
- amount obtained from realization of credit collateral security leaves a balance of the debt; or
- it is reasonably determined that no further recovery on the facility is possible.

All credit facility write-offs require endorsement by the Board Credit and Risk Committee, as defined by the Company. Credit write-off approval is documented in writing and properly initialed by the Board Credit and Risk Committee. The gross carrying amount of an asset is written off (either fully or partially) to the extent that there is no realistic prospect of recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to credit loss expense.

This is generally the case when the Company determines that the counterparty does not have assets or sources of income that could generate sufficient cashflows to repay the amount subject to write off. However, the financial assets that are subjected to write off could still be subject to enforcement activities in other to comply with the Company's procedures for recovery of amount due.

j) Forward looking information

In its ECL models, the Company relies on a broad range of forward-looking information as economic inputs, such as:

- Prime lending rate
- Crude oil price

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

k) Derecognition of financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in such derecognised asset financial asset that is created or retained by the Company is recognised as a separate asset or liability. Impaired debts are derecognised when they are assessed as uncollectible.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

i) Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when its contractual obligations are discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

Notes to the financial statements

3 Summary of material accounting policies - continued

m) Offsetting financial instruments

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

3.4 Foreign currency transactions.

I. Transactions and balances

Foreign currency transactions are transactions denominated, or that require settlement, in a foreign currency and these are translated into the functional currency at the spot rate prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rate of exchange prevailing at the reporting date. Foreign exchange gains and losses resulting from the retranslation and settlement of these items are recognised in profit or loss. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value is determined. Non-monetary items that are measured at historical cost in a foreign currency are translated into the functional currency at the exchange rate at the date of the transaction

Foreign currency differences arising on translation are generally recognized in profit or loss. However, foreign currency differences arising from the translation of the following items are recognized in OCI:

groups of insurance and reinsurance contracts to the extent that the foreign currency differences relate to changes in the carrying amount of the groups recognized in OCI (see 'Insurance finance income and expenses' Note (3.2.6.4). The amount included in OCI is the difference between the total foreign currency differences and the amount included in profit or loss. The amount included in profit or loss is the difference between the measurement of the group that is used to determine the insurance finance income and expenses in profit or loss in the year in the functional currency at the beginning of the year, adjusted for accreted interest and payments during the year, and the same measurement in the foreign currency translated at the exchange rate at the end of the year;

equity investments designated as at FVOCI;

The foreign currency gain or loss on debt investments at FVOCI and financial instruments at amortized cost is the difference between the amortized cost in the functional currency at the beginning of the year, adjusted for effective interest, impairment and payments during the year, and the amortized cost in the foreign currency translated at the exchange rate at the end of the year.

3.5 Cash and cash equivalents

For the purposes of the statement of cash flows, cash comprises cash balances and deposits with banks. Cash equivalents comprise highly liquid investments (including money market funds) that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value with original months or less being used by the Company in the management of its short-term commitments. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.6 Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that are largely independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

3.7 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

I. Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

✓ **Right-of-use assets**

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment. Refer to the accounting policies in section (s) Impairment of non-financial assets.

Notes to the financial statements

3 Summary of material accounting policies - continued

3.7 Leases - continued

Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option if reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate.

Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Company uses the interest rate implicit in the lease if that rate can be determined. if that rate cannot be determined, the Company shall use its incremental borrowing rate. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

ii. Company as a lessor

Finance leases are recognised when the Company transfers substantially all the risks and rewards of ownership of the leased assets to the lease. Investment in finance lease at commencement is initially recorded as an asset and a liability at the lower of the fair value of the asset and the present value of the minimum lease payments (discounted at the interest rate implicit in the lease, if practicable, or else at the entity's incremental borrowing rate. The finance lease is recorded as a receivable, at an amount equal to the net investment in the lease.

Interest income on investment in finance lease is recognised in the profit or loss as investment income in the period the interest is receivable. An investment in finance lease is impaired using IFRS 9 expected credit loss model .

3.8 Investment Property

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the cost of the day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the profit or loss in the year in which they arise.

Investment properties are de-recognized either when they have been disposed of, or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to or from investment properties only when there is a change in use evidenced by the end of owner-occupation, commencement of an operating lease to another party or completion of construction or development. When the use of property changes from owner-occupied to investment property, the property is re- measured to fair value and reclassified accordingly. Any gain arising from this re-measurement is recognized in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognized in OCI and presented in the revaluation reserve. Any loss is recognized in profit or loss statement.

3.9 Intangible Assets

The intangible assets include computer software acquired for use in the Company's operation.

Software acquired by the Company is stated at cost less accumulated amortization and accumulated impairment losses (where this exists). Acquired intangible assets are recognized at cost on acquisition date. Subsequent to initial recognition, these assets are carried at cost less accumulated amortization and impairment losses in value, where appropriate.

Subsequent expenditure on software assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortization is recognized in the profit or loss and other comprehensive income on a straight-line basis over the estimated useful life of the software from the date that it is available for use since this most closely reflects the expected pattern of consumption of the economic benefits embodied in the asset. The assets are usually amortized over their useful life most which do not exceed 4 years. Amortization methods are reviewed at each financial year and adjusted if appropriate.

Intangible assets are derecognized at disposal date or at the date when it is permanently withdrawn from use without the ability to be disposed of. The differences between the carrying amounts at the date of derecognition and any disposal proceeds as applicable, is recognized in profit or loss.

There was no internally developed software at the date of reporting.

3 Summary of material accounting policies - continued

3.10. Property and equipment

i. Recognition and measurement

All categories of property and equipment are initially recorded at cost. Items of property and equipment except land and buildings are subsequently measured at historical costs less accumulated depreciation and impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bring the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and capitalized borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalized as part of equipment.

Land are stated at revalued amount while buildings are subsequently stated at revalued amount less depreciation and impairment losses. All other property and equipment are stated at historical cost less depreciation and impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Land and buildings are revalued every three (3) years. Increase in the carrying amount of land and buildings arising from revaluation are credited to revaluation reserve in other comprehensive income.
Decreases that offset previous increases in land and buildings arising from revaluation are charged against the revaluation reserve while other decreases, if any, are charged to profit or loss.

ii. Subsequent costs

The cost of replacing part of an item of property or equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognized in profit or loss as incurred.

iii. Depreciation

Depreciation is provided on a straight line basis so as to allocate the cost/re-valued amounts less their residual values over the estimated useful lives of the classes of assets. Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is derecognized or classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.

The estimated useful lives of the property and equipment for the current and comparative periods are as follows:

Land	Nil
Buildings	50 years
Capital work in progress	Nil
Office machinery and equipment	4 years
Furniture and fittings	4 years
Motor vehicles	4 years

The assets' residual values, useful lives and method of depreciation are reviewed, and adjusted if appropriate, at the end of the reporting period.

Land and capital work in progress are not depreciated.

iv. Derecognition

An item of property and equipment is derecognized when no future economic benefits are expected from its use or on disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss and other comprehensive income of the year the asset is derecognized.

3.11 Statutory deposit

The Company maintains a statutory deposit with the Central Bank of Nigeria (CBN) which represents 10% of the minimum paid-up capital in compliance with the Insurance Act. This balance is not available for the day-to-day operations of the Company and is measured at cost.

3.12 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligation as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Notes to the financial statements

3 Summary of material accounting policies continued

3.13 Employee benefits

(i) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognized for the amount expected to be paid under short-term cash, bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(ii) Post- employment benefits

Defined contribution plans

The Company operates a defined contribution plan in accordance with the provisions of the Pension Reform Act 2014. The contribution of the employee and employer is 8% and 10% of the qualifying monthly emoluments (i.e. basic, housing and transport) of employees respectively. The Company's obligations for contributions to the plan are recognized as an expense in profit or loss when they are due. Prepaid contributions are recognized as asset to the extent that a cash refund or reduction in future payments is available.

Defined benefit plan

The Company commenced the operation of a staff sinking fund scheme upon obtaining Board of directors' approval in May 2014. This Sinking Fund is non-contributory defined employee exit benefit plan under which the Company alone makes fixed contributions into a separate entity and the fund can only be accessed by staff members at the point they are exiting the Company for reasons other than dismissal.

The amount payable to exiting staff is dependent on years of service and compensation as at date of exit. This value of this benefit is actuarially determined at each reporting date by an independent actuary using the projected unit credit method. When the calculation results in a potential asset for the Company, the recognized asset is limited to the present value of the economic benefits available in the form of any future refund from the plan or reductions in the future contributions to the plan. To calculate the present value of the economic benefits, consideration is given to any applicable minimum funding requirements. Remeasurements of the net defined benefits liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest) are recognized in OCI.

The Company determines the net interest expense (income) on the defined benefits liability (asset) for the period by applying a discount rate used to measure the defined benefits liability (asset) taking into account any changes in the defined benefit liability (asset) during the period as a result of contributions and benefits payments. Net interest expense and other expenses related to defined benefit plan are recognized in the profit or loss.

(iii) Termination Benefits

Termination benefits are payable when employment is terminated before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Company recognizes termination benefits when it is demonstrably committed.

Termination benefits are expensed at the earlier of when the Company can no longer withdraw the offer of those benefits and when the Company recognizes cost for a restructuring. If benefits are not expected to be settled within 12 months of the reporting date then they are discounted.

3.14 Taxation

Company income tax

Income tax expense comprises current tax (company income tax, tertiary education tax, National Information Technology Development Agency levy and Nigeria Police Trust Fund levy) and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

The Company has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

Notes to the financial statements

3 Summary of material accounting policies continued

3.14 Taxation - continued

Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year, and any adjustment to tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date and is assessed as follows:

- Company income tax is computed on taxable profits
- Tertiary education tax is computed on assessable profits
- National Information Technology Development Agency levy is computed on profit before tax
- Nigeria Police Trust Fund levy is computed on net profit (i.e. profit after deducting all expenses and taxes from revenue earned by the company during the year)

Total amount of tax payable under CITA is determined based on the higher of two components namely company income tax (based on taxable income (or loss) for the year); and minimum tax. Taxes based on profit for the period are treated as income tax in line with IAS 12.

Minimum tax

Minimum tax which is based on a gross amount is outside the scope of IAS 12 and therefore, are not presented as part of income tax expense in the profit or loss. The Company is subject to the Finance Act (amendments made to Companies Income Tax Act (CITA)). Total amount of tax payable under the new Finance Act shall not be less than 0.5% of the Company's gross premium.

Where the minimum tax charge is higher than the Company Income Tax (CIT), a hybrid tax situation exists. In this situation, the CIT is recognized in the income tax expense line in the profit or loss and the excess amount is presented above the income tax line as Minimum tax.

The Company offsets the tax assets arising from withholding tax (WHT) credits and current tax liabilities if, and only if, the entity has a legally enforceable right to set off the recognized amounts, and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously. The tax asset is reviewed at each reporting date and written down to the extent that it is no longer probable that future economic benefit would be realized.

Deferred tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amount used for taxation purposes. Deferred tax is not recognized for:

- temporary differences on the initial recognition of assets and liabilities in a transaction that is not a business combination and that affects neither accounting not taxable profit or loss;
- taxable temporary differences arising on the initial recognition of goodwill; and
- temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the company is able to control the timing of probable that they will not reverse in the foreseeable future.

Deferred tax assets are recognized for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future tax profits will be available against which they can be used. Future taxable profit are determined based on the reversal of relevant taxable temporary differences. If the amount of the taxable temporary differences is insufficient to recognize a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans for individual subsidiaries in the Company. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized; such reductions are reversed when the profitability of the future taxable profits improves.

Unrecognized deferred tax assets are reassessed at each reporting date and recognized to the extent that it has become probable that future taxable profits will be against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.

Deferred tax assets and liabilities are offset only if certain criteria are met.

Notes to the financial statements

3 Summary of material accounting policies continued

3.15 Other receivables and prepayment

Other receivables include cash advance, sundry receivables, withholding tax recoverable, etc. Other receivables are carried at amortized cost using the effective interest rate less accumulated impairment losses.

Prepayments include amounts paid in advance by the Company on rent, staff benefits, vehicle repairs etc. Expenses paid in advance are amortized on a straight line basis to the profit and loss account.

3.16 Share capital and reserves

a. Share capital

The issued ordinary shares of the Company are classified as equity instruments. Incremental costs directly attributable to the issue of an equity instrument are deducted from the initial measurement of the equity instruments.

b. Share premium

The Company classifies share premium as equity when there is no obligation to transfer cash or other assets.

c. Dividend

Dividend on ordinary shares are recognized and deducted from equity when they are approved by the Company's shareholders, while interim dividends are deducted from equity when they are paid. Dividends for the year/period that are approved after the reporting date are disclosed as an event after reporting date and as note within the financial statements.

d. Contingency reserve

The Nigerian Insurance Industry Reform Act, 2025 (NIIRA 2025) does not include any provision requiring insurance companies to recognize statutory contingency reserves. Accordingly, no additional contingency reserve has been made for the year ended 31 December 2025.

e. Asset revaluation reserve

Subsequent to initial recognition, an item of property, plant and equipment and intangible asset carried using cost model, may be revalued to fair value. However, if such an item is revalued, the whole class of asset to which that asset belongs has to be revalued. The revaluation surplus is recognized in equity, unless it reverses a decrease in the fair value of the same asset which was previously recognized as an expense, in which case it is recognized in profit or loss. A subsequent decrease in the fair value is charged against this reserve to the extent that there is a credit balance relating to the same asset, with the balance being recognized in profit or loss.

f. Fair value reserve

The fair value reserve comprises the cumulative net change in the fair value of the Company's fair value through other comprehensive income investments. Net fair value movements are recycled to profit or loss if an underlying fair value through other comprehensive income investment is either derecognized or impaired.

g. Re-measurement reserve

The re-measurement reserve comprises the actuarial gains and losses on defined benefits post-employment plan.

3.17 Contingents assets and liabilities

Possible obligations of the Company, the existence of which will only be confirmed by the occurrence or non- occurrence of uncertain future events not wholly within the control of the Company and present obligations of the Company where it is not probable that an outflow of economic benefits will be required to settle the obligation or where the amount of the obligation cannot be measured reliably, are not recognized in the Company statement of financial position but are disclosed in the notes to the financial statements.

Possible assets of the Company, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Company, are not recognized in the Company's statement of financial position but are disclosed in the notes to the financial statement where an inflow of economic benefits is probable.

Notes to the financial statements

3 Summary of material accounting policies continued

3.18 Earnings per share

The Company presents earnings per share for its ordinary shares. The basic earnings per share (EPS) are calculated by dividing the net profit attributable to shareholders' by the weighted average number of ordinary shares in issue during the year. Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

3.19 Statement of Cash Flows

The Company has adopted the direct method in reporting cash flows from operating activities because it provides more details about operating cashflows which may be useful in estimating future cash flows.

3.20. Operating Segments

IFRS 8 Operating segments requires operating segments to be identified on the basis of internal reports about components of the Company that are regularly reviewed by the Chief Operating Decision Maker (in the case of the Company, the Chief Executive) to allocate resources to the segments and to assess their performance.

The Company's reportable segments under IFRS 8 are therefore identified as follows: fire, accident, motor vehicle, engineering, aviation, marine, oil and gas, bond and agriculture. (Refer to note 5).

The accounting policies of the reportable segments are the same as the Company's accounting policies. Segment result represents the result of each segment without allocation of certain expenses, finance costs and income tax. This is the measure reported to the Company's Chief Executive for the purpose of resource allocation and assessment of segment performance.

3.21 Sundry deposits

Sundry Deposits warehouses customer or intermediary payments received by the insurer for which the payer, policy number, or purpose cannot be immediately identified (e.g., missing remittance advice, no policy reference on the cheque, unclear narration).

3.22 Premium received in advance

This account is used to recognise and temporarily hold premiums that have been remitted by the broker before the commencement of the insurance contract. Since the policy has not yet incepted, the insurer has received the premium in advance of the risk period. As a result, the amount is recorded in this account until the policy becomes effective, at which point the premium is transferred to the appropriate earned or unearned premium accounts.

3.23 Premium receivables

The Company's premium receivables relates to agents, brokers and insurance companies (as coinsurers).

If there is objective evidence that the insurance receivable is impaired, the Company reduces the carrying amount of the insurance receivable accordingly and recognizes that impairment loss in the income statement. The Company gathers the objective evidence that an insurance receivable is impaired using the same methodology adopted for financial assets held at amortised cost. The impairment loss is calculated under the same method used for these financial assets.

4 Judgements and Estimates

In the application of the Company's accounting policies, the Directors are required to make judgments, estimates and assumptions about the carrying amounts of assets, liabilities, income and expenses that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

4.1 Critical judgments in applying the Company's accounting policies.

The following are the critical judgments, apart from those involving estimations (which are dealt with separately below), that the directors have made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

4.1.1 Insurance Contract

a) Insurance product classification and contract liabilities

The Company's non-life insurance contracts are classified as insurance contracts. As permitted by IFRS 17, Insurance contracts are those contracts where the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk. Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire.

b) Liability for remaining coverage

The company uses the following key assumption for its liability for remaining coverage. Earnings pattern for LRC (Liability for Remaining coverage) includes two (2) options under the PAA, they are:

• Pro-rata temporis (passage of time)
• Risk based curve

For insurance contracts which automatically qualify for PAA (i.e., with coverage period not exceeding 1 year), the passage of time or pro-rata temporis pattern will be used. This approach is almost identical to the 365th method that is currently used for determining IFRS 4 unearned premium reserves (UPR). However, contracts which automatically qualify for PAA does not necessarily imply that the uniform earnings curve will be appropriate. For example, seasonality of claim incidence under certain class of policy would normally require calibration of the earnings curve. But the default curve will be uniform unless facts and circumstances indicate otherwise, i.e., there is sufficient credible data and grounds that the incidence of risk may not be linear.

For contracts with coverage period exceeding 1-year, actuarial investigations will be conducted by deriving the claims incidence pattern using historical claims data. Actual observed claims incidence curve is tested for goodness of fit by applying standard statistical techniques. In the absence of credible claims data, an equivalent risk incidence curve will be sourced from our international reinsurers. If external risk curve is not available, then by default a uniform earnings curve will apply.

The selected earnings curve will be applied to both insurance and reinsurance contract.

4.1 Critical judgments in applying the Company's accounting policies - continued

c) Claims payment pattern for liability for incurred claims.

In estimating the claims payment pattern for liability for incurred claims, the company sets:

i) An assumption regarding the future timing of claim settlement is required as the IFRS 17 requires the determination of probability weighted future cash flows. Weighted future cash flows will include expected claim payment, expected cost of settling the claims, unallocated claim expenses that are integral to the claim cost but due to system limitations they cannot be allocated to individual claims (e.g. cost of pool of contract cars), legal costs incurred or expected to be incurred for litigated claims, motor recoveries from third party insurers, salvage and subrogation and directly attributable maintenance expenses. For reinsurers' LIC, same cashflows shall apply as described above but the cashflows are apportioned according to reinsurance arrangement.

Run off triangles are used to project future claims payment generated by direct insurance contracts and claim recovered from reinsurance contracts. Actual claims paid and outstanding claim reserves are grouped by accident year cohorts.

Methodology used for claims reserving is defined by the Company's Reserving Policy and Reserving Guidance, and it relies on the Basic Chain Ladder as well as the Bornhuetter-Ferguson method. Same methodology is applied to claims generated by direct contracts and claim recovered from reinsurance contracts.

The best estimate for claims development or payment to ultimate is determined by the link ratio estimator for each period of development. This is achieved by selecting the weighted averages or simple averages of link ratios for each period of claims development until the ultimate period when the claims development is deemed to be fully run off. For each reserving class that best estimate claim payment pattern is derived separately on a gross basis Insurance contracts and reinsurers' share (claim recovered from reinsurance contracts). The process of selecting link ratios often involves identifying outliers and excluding them.

Analysis of Actual versus Expected claim reserves is carried out to assess adequacy of best estimate payment pattern estimated in prior year/period. Where significant deviations are noted, further investigations are carried out to ascertain whether this is indicative of a new trend in the underlying claim development process or whether this is caused by the occurrence of abnormally large claims that tend to distort the latest link ratios or whether it was caused by certain specific events impacting the claims process that are not expected to recur in the future (e.g. restructuring of claims department, or installing a new admin system or claim backlog). If the cause of the deviation is driven by changes in the claims development process which is expected to be recurring or be permanent in the future (e.g., application of new case reserving practice), then judgement is applied in choosing the link ratio for the most recent accident year cohort.

Consideration is also given on the need to allow for a tail factor for projecting claims payment beyond the available data horizon.

ii) Claim payment pattern will be derived for each reserving class or portfolio (portfolio if there is only one reserving class).

iii) Basically, the payment pattern provides probabilities to project the settlement of claims in future time periods.

iv) For a given portfolio or reserving class, same payment pattern will be applied to project the payment of OCR (outstanding claim reserve), IBNR reserve and Risk Adjustment estimates over future time periods.

v) Existing reserving models (primarily the Basic Chain Ladder) will be used to derive the payment probabilities from the link ratios obtained from paid triangles.

vi) Pattern will be derived once a year, that is, at the year-end valuation. It is expected that same payment pattern will be used in the LIC cashflow modelling for interim valuation periods and roll forward.

vii) However, for reserving class or portfolios which exhibit significant volatility, payment pattern might be reviewed and revised more frequently and also pattern used in LIC model will need to be updated. A change in payment pattern will lead to a change in fulfilment cashflows arising from non-financial assumption change. This change or delta in fulfilment cashflow will be accounted for as an insurance service expense.

viii) Changes of payment pattern during a financial year will only be considered if justified by facts and circumstances. Examples of facts and circumstances could be as follows: major changes in claim reporting and settlement processes that would invalidate existing payment pattern (e.g. non-life claims backlog can be quite common arising from dispute in settlement amount or change in policy administration system. occurrence of major external systemic events such as a pandemic related lockdown will impact the development factors- hence invalidate existing payment pattern.

ix) It is to be noted that, for consistency, the same payment pattern as used for claim projection will be applied in the projection of Risk Adjustment estimates. The same approach would be used to derive the payment pattern for modelling the LIC cashflows for a portfolio of reinsurance contracts.

x) Moreover, it is required to allocate the projected OCR, IBNR and RA to issue year cohorts /underwriting year cohorts. This will necessitate the application of an allocation driver. Projected IBNR, OCR and RA cashflows will be allocated to underwriting year by making use of weights. Weights, as a proxy for coverage, for each underwriting year will be derived from earned premium /revenue (as computed for the LRC). For internal reporting needs, further allocation of IBNR, OCR and RA (risk adjustment) down to more granular levels (issue year cohorts/distribution channels/ cover-section/ client types) will be required. Earned premium weights, as described above, will also be used for a more granular allocation of projected OCR, IBNR and RA.

4.1 Critical judgments in applying the Company's accounting policies - continued

Insurance acquisition cash flows

The company recognizes asset for insurance acquisition cash flows paid, or incurred, before the related group of insurance contracts are recognised. Such an asset is derecognised when the insurance acquisition cash flows are included in the measurement of the related group of insurance contracts. The Company recognises such an asset for each related group of insurance contracts. The company allocates insurance acquisition cash flows to the existing or future group of insurance contracts using a systematic and rational method.

Onerous groups

For groups of contracts that are onerous, the liability for remaining coverage is determined by the fulfilment cash flows. Any loss-recovery component is determined with reference to the loss component recognised on underlying contracts and the recovery expected on such claims from reinsurance contracts held.

Time value of money on liability for remaining coverage

For Engineering contracts and Marine cargo contracts, the Company adjusts the carrying amount of the liability for remaining coverage to reflect the time value of money and the effect of financial risk using discount rates that reflect the characteristics of the cash flows of the group of insurance contracts at initial recognition. While for other business lines, the company has elected not to discount the liability for remaining coverage.

Discount rates

Insurance contract liabilities are calculated by discounting expected future cash flows at a risk-free rate, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid high grade rated sovereign securities in the currency of the insurance contract liabilities. The illiquidity premium is determined by reference to observable market rates. A Bottom-up approach was adopted in setting the average discount rate for the valuation, having regard to the published yield curve by the Nigeria Actuarial Society (NAS). An average spot/zero curve locked in rate of 28.2% per year was adopted to estimate the value of the future expected cashflows from the liability for incurred claims (LIC) obligations as at the valuation date.

Risk adjustment for non-financial risk

The risk adjustment for non-financial risk is the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the expected value amount. A boot strap (Mack) stochastic reserving approach was used to derive the risk margin or risk adjustment. The Confidence level used in our calculation was set at 75th percentile yielding 8.2% of the Discounted best estimate liability for incurred claims. This also applies to the reinsurance held. Further calculations were carried out on 99.5th percentile which showed a risk adjustment of 169% of the discounted best estimate liability.

The Company has estimated the risk adjustment using a confidence level (value at risk) approach in which a full IFRS 17 liability distribution is generated across all non-financial risks and risk adjustment is calculated as the difference between the best estimate liability and the liability value at the chosen confidence level.

4.2 Assumptions and Estimation Uncertainties

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Going Concern

The financial statements have been prepared on the going concern basis and there is no intention to curtail business operations. Capital adequacy, profitability and liquidity ratios are continuously reviewed, and appropriate action taken to ensure that there are no going concern threats to the operation of the Company. The Directors have made assessment of the Company's ability to continue as a going concern and have no reason to believe that the Company will not remain a going concern in the next 12 months ahead.

b) Estimating the incremental borrowing rate

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate ('IBR') to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease.

The Company estimates the IBR using observable inputs (such as FGN Bond interest rates) and is required to make certain entity-specific adjustments (such as the Company's stand-alone credit rating, or to reflect the terms and conditions of the lease) and assets specific adjustment (such as property yield).

Notes to the financial statements

4.2 Assumptions and Estimation Uncertainties- continued

c) Fair value of financial instruments using valuation techniques

The Directors use their judgment in selecting an appropriate valuation technique. Where possible, financial instruments are marked at prices quoted in active markets. In the current market environment, such price information is typically not available for all instruments and the Company uses valuation techniques to measure such instruments. These techniques use “market observable inputs” where available, derived from similar assets in similar and active markets, from recent transaction prices for comparable items or from other observable market data. For positions where observable reference data are not available for some or all parameters the Company estimates the non-market observable inputs used in its valuation models.

Other financial instruments are valued using a discounted cash flow analysis based on assumptions supported, where possible, by observable market prices or rates although some assumptions are not supported by observable market prices or rates.

d) Valuation of Non-life insurance contract liabilities

For non-life insurance contract, estimates have to be made for the expected ultimate cost of all future payments attaching to incurred claims at the reporting date. These include incurred but not reported ("IBNR") claims. Due to the nature of insurance business, ultimate cost of claims is often not established with certainty until after the reporting date and therefore considerable judgement, experience and knowledge of the business is required by management in the estimation of amounts due to contract holders. Actual results may differ resulting in positive or negative change in estimated liabilities.

The ultimate cost of outstanding claims is estimated by using a range of standard actuarial claims projection techniques, such as Loss ratio method and BCL methods. The BCL method assumes that past experience is indicative of future experience i.e., claims recorded to date will continue to develop in a similar manner in the future while Loss ratio method is used for classes with limited claims payments or history and therefore a BCL method would be inappropriate. The loss ratio method allows for an estimate of the average ultimate loss ratio.

e) Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies.

f) Valuation of pension benefit obligation

The cost of defined benefit pension plans, and other post-employments benefits, and the present value of the pension obligation are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rate of return on assets, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 20 to the financial statements.

g) Valuation of investment properties

The Company carries its investment properties at fair value, with changes in fair value being recognised in profit or loss. The Company engaged an independent valuation specialist to assess fair value as at 31 December 2025. A valuation methodology based on discounted cash flow model was used as there is a lack of comparable market data because of the nature of the properties.

The determined fair value of the investment properties is most sensitive to the estimated yield as well as the long- term vacancy rate. The key assumptions used to determine the fair value of the investment properties are further explained in Note 13 to the financial statements.

Notes to the financial statements

4.2 Assumptions and Estimation Uncertainties- continued

h) Impairment losses on financial assets

The measurement of impairment losses both under IFRS 9 across all categories of financial assets in scope requires judgement, in particular, the estimation of the

amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk.

These estimates are driven by a number of factors, changes in which can result in different levels of allowances.
The Company's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

i. S&P credit grading model of obligors which assigns PDs to the individual grades
ii. The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment
iii. Development of ECL models, including the various formulas and the choice of inputs
iv. Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment rates, inflation rate, GDP growth rate and crude oil price, and the effect on PDs, EADs and LGDs

It has been the Company's policy to regularly review its models in the context of actual loss experience and adjust when necessary.

The determination of whether a financial asset is credit impaired focuses exclusively on default risk, without taking into consideration the effect of credit risk mitigants such as collateral or guarantees. Specifically, the financial asset is credit impaired and in stage 3 when: The Company considers the obligor is unlikely to pay its credit obligations to the Company. The termination may include forbearance actions, where a concession has been granted to the borrower or economic or legal reasons that a qualitative indicators of credit impairment; or contractual payments of either principal or interest by the obligor are pass due by more than 90 days.

For financial assets considered to be credit impaired, the ECL allowance covers the amount of loss the Company is expected to suffer. The estimation of ECLs is done on a case-by-case basis for non-homogenous portfolios, or by applying portfolio-based parameters to individual financial assets in this portfolio by the Company's ECL model for homogenous portfolios.

Forecast of future economic conditions when calculating ECLs are considered. The lifetime expected losses are estimated based on the probability – weighted present value of the difference between:
1) The contractual cash flows that are due to the Company under the contract; and
2) The cash flows that the Company expects to receive.

Elements of ECL models that are considered accounting judgements and estimates include:

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment.
- The development of ECL models, including the various formulas and the choice of inputs Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

Notes to the financial statements

5. Insurance Service Results by Class of Business

Below is an analysis of the Company's insurance revenue and results by class of business.

2025

Income	**Fire**	**Accident**	**Motor**	**Marine**	**Aviation**	**Bond**	**Engineering**	**Oil & Gas**	**Agric**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Insurance revenue	4,500,801	2,477,033	7,141,950	1,843,739	652,803	6,958	1,832,157	9,155,999	19,248	27,630,687
Insurance service expense	(2,166,059)	(1,923,288)	(5,856,700)	(987,864)	65,931	(1,107)	(924,024)	(3,282,762)	(6,580)	(15,082,454)
Insurance service result for insurance contract held	**2,334,742**	**553,745**	**1,285,250**	**855,875**	**718,734**	**5,851**	**908,133**	**5,873,236**	**12,668**	**12,548,233**
Allocation of reinsurance premium	(1,604,195)	(813,013)	(230,689)	(698,253)	(137,110)	(3,072)	(850,930)	(5,502,489)	(6,383)	(9,846,134)
Amount recoverable from reinsure for incurred claims	- 63,381.00	121,797.00	158,604.00	717,618.00	- 111,282.00	-	83,635.00	- 150,396.00	- 788.00	755,807
Net income or expenses from reinsurance contract held	(1,667,576)	(691,216)	(72,085)	19,365	(248,392)	(3,072)	(767,295)	(5,652,885)	(7,171)	(9,090,327)
Insurance service result	**667,166**	**(137,471)**	**1,213,165**	**875,240**	**470,342**	**2,779**	**140,838**	**220,351**	**5,497**	**3,457,906**

5. Insurance Service Results by Class of Business - continued

Insurance revenue	**FIRE**	**ACCIDENT**	**MOTOR**	**MARINE**	**AVIATION**	**BOND**	**ENGINEERING**	**OIL&GAS**	**AGRIC**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening liabilities for remaining coverage	968,223	499,633	1,481,864	490,450	271,058	7,118	610,074	2,619,497	5,659	6,953,576
Closing liabilities for remaining coverage	1,021,251	523,653	2,378,647	417,975	-	5,891	574,786	1,548,540	6,545	6,477,288
Changes in liability for remaining coverage excluding loss component	(53,028)	(24,020)	(896,783)	72,475	271,058	1,227	35,288	1,070,957	(886)	476,288
Changes in liability for loss component	(71,307)	(91,887)	(138,528)	(9,900)	259,306	-	(45,304)	-	-	(97,620)
Premium receivable regarding later expected payment	-	-	-	-	-	-	-	-	-	-
Other movements	(2,963)	17,617	64,258	(64,370)	(333,576)	(74,270)	(28,963)	(74,269)	(74,274)	(570,811)
Changes in asset for acquisition cash flows	22,404	8,555	92,663	(16,088)	(54,301)	(331)	(25,924)	(384,788)	(175)	(357,985)
Premiums received	4,631,471	2,661,980	8,246,301	1,850,204	191,479	74,771	1,973,914	8,154,081	89,178	27,873,379
Amortisation of insurance acquisition cash flows	1,631,982	990,171	2,792,010	672,484	98,459	2,637	669,817	2,801,163	6,276	9,665,001
Insurance acquisition cash flows	(1,649,156)	(993,496)	(2,879,443)	(651,166)	(38,928)	2,924	(638,663)	(2,411,145)	(871)	(9,259,946)
Insurance revenue	**4,509,403**	**2,568,920**	**7,280,478**	**1,853,639**	**393,497**	**6,958**	**1,940,165**	**9,155,999**	**19,248**	**27,728,306**
Loss component	8,602	91,887	138,528	9,900	- 259,306	-	108,008	-	-	97,619
Total Insurance revenue	**4,500,801**	**2,477,033**	**7,141,950**	**1,843,739**	**652,803**	**6,958**	**1,832,157**	**9,155,999**	**19,248**	**27,630,687**

Insurance service expense	**FIRE**	**ACCIDENT**	**MOTOR**	**MARINE**	**AVIATION**	**BOND**	**ENGINEERING**	**OIL&GAS**	**AGRIC**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening liabilities for incurred claims	2,079,549	2,217,967	825,088	1,612,771	1,923,461	9,694	1,172,355	1,487,346	1,608	11,329,839
Closing liabilities for incurred claims	1,916,082	2,832,835	1,507,577	2,003,365	1,063,147	10,717	1,194,750	1,712,072	727	12,241,272
Changes in liabilities for incurred claims	163,467	(614,868)	(682,489)	(390,594)	860,314	(1,023)	(22,395)	(224,726)	881	(911,433)
Interest accreted (incl. change of rates) to insurance contracts	618,222	751,871	315,234	561,589	514,815	3,016	370,859	504,325	441	3,640,372
Amortisation of insurance acquisition cash flows	(1,631,982)	(990,171)	(2,792,010)	(672,484)	(98,459)	(2,637)	(669,817)	(2,801,163)	(6,276)	(9,665,001)
Claims and other expenses paid	(1,315,766)	(1,070,120)	(2,697,435)	(486,374)	(1,210,740)	(463)	(602,671)	(761,198)	(1,626)	(8,146,392)
Insurance service expense	**(2,166,059)**	**(1,923,288)**	**(5,856,700)**	**(987,864)**	**65,931**	**(1,107)**	**(924,024)**	**(3,282,762)**	**(6,580)**	**(15,082,454)**
Insurance service result before reinsurance contracts held	2,334,742	553,745	1,285,250	855,875	718,734	5,851	908,133	5,873,236	12,668	12,548,233

	FIRE	ACCIDENT	MOTOR	MARINE	AVIATION	BOND	ENGINEERING	OIL&GAS	AGRIC	Total
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Opening assets for remaining coverage	409,086	225,631	56,169	273,435	143,186	4,368	163,497	829,315	2,681	2,107,368
Closing assets for remaining coverage	397,382	283,768	99,889	231,442	-	1,414	353,506	1,356,758	2,433	2,726,592
Changes in asset for remaining coverage	(11,704)	58,137	43,720	(41,993)	(143,186)	(2,954)	190,009	527,443	(248)	619,224
Changes in fees & commission for remaining coverage	12,519	(19,033)	(6,406)	17,415	5,549	782	(29,544)	(130,065)	61	(148,722)
Reinsurance premiums	(1,605,010)	(852,117)	(268,003)	(673,675)	527	(900)	(1,011,395)	(5,899,867)	(6,196)	(10,316,636)
Allocation of reinsurance premium	**(1,604,195)**	**(813,013)**	**(230,689)**	**(698,253)**	**(137,110)**	**(3,072)**	**(850,930)**	**(5,502,489)**	**(6,383)**	**(9,846,134)**
Opening assets recoverable on incurred claims	1,173,607	1,252,276	127,124	785,614	923,323	-	516,375	217,290	959	4,996,568
Closing assets recoverable for incurred claims	1,081,354	1,348,838	232,277	975,881	510,345	-	526,239	132,339	434	4,807,707
Change in assets for recoverable on incurred claims	(92,253)	96,562	105,153	190,267	(412,978)	-	9,864	(84,951)	(525)	(188,861)
Interest accreted	(348,907)	(319,444)	(48,569)	(273,562)	(247,128)	-	(163,348)	(65,445)	(263)	(1,466,666)
Amounts received	377,779	344,679	102,020	800,913	548,824	-	237,119	-	-	2,411,334
Amounts recoverable from reinsurers	**(63,381)**	**121,797**	**158,604**	**717,618**	**(111,282)**	**-**	**83,635**	**(150,396)**	**(788)**	**755,807**
										-
Net income from reinsurance contracts held	(1,667,576)	(691,216)	(72,085)	19,365	(248,392)	(3,072)	(767,295)	(5,652,885)	(7,171)	(9,090,327)
Insurance service result	**667,166**	**(137,471)**	**1,213,165**	**875,240**	**470,342**	**2,779**	**140,838**	**220,351**	**5,497**	**3,457,906**
	667,166	(137,471)	1,213,165	875,240	470,342	2,779	140,838	220,351	5,497	

5. Insurance Service Results by Class of Business - continued
2024

Income	**Fire**	**Accident**	**Motor**	**Marine**	**Aviation**	**Bond**	**Engineering**	**Oil & Gas**	**Agric**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Insurance revenue	3,727,608	1,898,192	5,073,032	1,609,003	1,064,601	18,538	1,221,800	7,596,986	19,339	22,229,099
Insurance service expense	(1,126,788)	(1,545,204)	(3,070,816)	(1,941,002)	(2,642,340)	(13,538)	(1,574,015)	(3,060,051)	2,165	(14,971,588)
Insurance service result for insurance contract held	**2,600,820**	**352,988**	**2,002,216**	**(331,999)**	**(1,577,739)**	**5,000**	**(352,215)**	**4,536,935**	**21,504**	**7,257,511**
Allocation of reinsurance premium	(1,123,734)	(587,050)	(169,556)	(585,221)	(968,033)	(2,622)	(466,985)	(4,703,684)	(6,517)	(8,613,402)
Amount recoverable from reinsure for incurred claims	(416,978)	453,390	375,876	470,011	897,607	-	377,467	(27,040)	(7,472)	2,122,861
Net income or expenses from reinsurance contract held	(1,540,712)	(133,660)	206,320	(115,210)	(70,426)	(2,622)	(89,518)	(4,730,723)	(13,989)	(6,490,541)
Insurance service result	**1,060,108**	**219,328**	**2,208,536**	**(447,210)**	**(1,648,165)**	**2,378**	**(441,733)**	**(193,788)**	**7,515**	**766,970**

Insurance revenue	**FIRE**	**ACCIDENT**	**MOTOR**	**MARINE**	**AVIATION**	**BOND**	**ENGINEERING**	**OIL&GAS**	**AGRIC**	**Total**
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Insurance revenue	3,727,608	1,898,192	5,073,032	1,609,003	1,064,601	18,538	1,221,800	7,596,986	19,339	22,229,099
Insurance service expense										
Opening liabilities for incurred claims	3,540,086	2,412,397	1,012,732	1,133,513	342,318	2,734	365,585	2,521,777	13,927	11,345,069
Closing liabilities for incurred claims	2,121,960	2,244,323	835,387	1,667,340	1,988,878	9,303	1,199,699	1,530,556	1,483	11,598,930
	1,418,126	168,074	177,345	(533,827)	(1,646,560)	(6,569)	(834,114)	991,221	12,444	(253,861)
Interest accreted (incl. change of rates) to insurance contracts	-	-	-	-	-	-	-	-	-	-
Amortisation of insurance acquisition cash flows	(1,253,799)	(757,209)	(1,597,583)	(608,560)	(506,244)	(5,727)	(474,726)	(2,811,253)	(8,360)	(8,023,461)
Claims and other expenses paid	(1,291,117)	(956,069)	(1,650,579)	(798,615)	(489,534)	(1,242)	(265,174)	(1,240,016)	(1,920)	(6,694,266)
Insurance service expense	**(1,126,789)**	**(1,545,204)**	**(3,070,817)**	**(1,941,002)**	**(2,642,339)**	**(13,538)**	**(1,574,015)**	**(3,060,048)**	**2,163**	**(14,971,588)**
Assets for remaining coverage	469,946	194,244	7,567	162,065	-	1,016	104,804	384,370	135	(29,689,315)
Assets for remaining coverage	409,086	225,631	56,169	273,435	143,186	4,368	163,497	829,315	2,682	(59,378,631)
Change in assets for recoverable on incurred claims	(60,860)	31,387	48,602	111,370	143,186	3,352	58,693	444,945	2,547	783,222
Changes in fees & commission for remaining coverage	18,570	(13,199)	(17,572)	(35,396)	(5,549)	(901)	(12,126)	8,751	(636)	(58,058)
Premiums paid	(1,081,444)	(605,238)	(200,586)	(661,195)	(1,105,670)	(5,073)	(513,552)	(5,157,380)	(8,427)	(9,338,565)
Allocation of reinsurance premium	**(1,123,734)**	**(587,050)**	**(169,556)**	**(585,221)**	**(968,033)**	**(2,622)**	**(466,985)**	**(4,703,684)**	**(6,516)**	(8,613,401)
Assets recoverable on incurred claims	2,058,437	1,237,097	134,563	482,468	56,850	-	186,920	376,947	8,357	4,541,639
Assets recoverable for incurred claims	1,173,608	1,252,277	127,125	785,617	923,324	-	516,377	217,291	958	4,996,577
Changes in liabilities for incurred claims	(884,829)	15,180	(7,438)	303,149	866,474	-	329,457	(159,656)	(7,399)	454,938
Interest accreted	24,172	15,021	1,573	26,372	31,133	-	12,061	6,322	(77)	116,577
Amounts received	443,679	423,189	381,741	140,490	-	-	35,949	126,294	-	1,551,342
Amounts recoverable from reinsurers	**(416,978)**	**453,390**	**375,876**	**470,011**	**897,607**	**-**	**377,467**	**(27,040)**	**(7,476)**	**2,122,857**
Net income/(expense) from reinsurance contracts held	(1,540,712)	(133,660)	206,320	(115,210)	(70,426)	(2,622)	(89,518)	(4,730,723)	(13,989)	(6,490,541)
Insurance service result	**1,060,108**	**219,328**	**2,208,536**	**(447,210)**	**(1,648,165)**	**2,378**	**(441,733)**	**(193,788)**	**7,515**	**766,970**

Notes to the financial statements-continued

6 Capital Management, Risk Management and Fair Value

6.1 Capital Management

The objective of our capital management is to ensure that the Company is adequately capitalized at all times, even after experiencing significant adverse events. In addition, we seek to optimize the structure and sources of our capital to ensure that it consistently delivers maximum returns to our shareholders and guarantees adequate protection of our policyholders.

Our capital management policy is to hold sufficient capital to meet regulatory capital requirements (RCR) and also to sufficiently accommodate our risk exposures as determined by our risk appetite. Other objectives include to:

- maintain the required level of capital that guarantee security to our policyholders;
- maintain financial strength that would support business growth in line with strategy;
- maintain strong credit ratings and healthy capital ratios to support business objectives;
- retain financial flexibility by maintaining strong liquidity and consistent positive equity returns;
- allocate capital efficiently to ensure that returns on capital employed meet the requirements of capital providers and shareholders.

Our approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence our capital position in the light of changes in economic and market conditions, and risk characteristics.

Capital Management – Policies and Approaches

The Company is regulated by the National Insurance Commission (NAICOM) and is subject to the provisions of the Nigerian Insurance Industry Reform Act (NIIRA) 2025 and the Guidelines on Minimum Capital Requirement for Insurance and Reinsurance Companies in Nigeria issued in September 2025.

The Act specifies certain provisions which have impact on financial reporting as follows:

(i) section 25(1): Insurance regulation and supervision in Nigeria shall be carried out on a risk based approach, The commission shall issue risk based capital requirements for each class of insurance business.

(ii) section 22(1): An insurer shall establish and maintain as may be applicable in respect of each class of insurance business-Provision for unearned premiums, provision for unearned risks, provision for outstanding claims, and such other provisions as may be prescribed by the commission.

(iii) section 24(1)- An insurer carrying on insurance business in Nigeria shall maintain the capital adequacy ratio of 100%.

The FRC Act provides that in the matters of financial reporting if there is any inconsistency between the FRC Act and of other Act or law, the FRC Act shall supersede the other Act or law. The FRC Act provides that IFRS shall be the national financial reporting framework in Nigeria.

The Company has complied with all the relevant sections of the NAICOM regulation and FRC act.

The primary source of capital used is shareholders' funds. In addition, we utilize adequate and efficient reinsurance arrangements to protect shareholders' funds by reducing the need for further funding following unfavorable events such as catastrophes or just large random single claims.

The Company has had no significant changes in its policies during the year ended 31 December 2025.

Analysis of shareholders funds	**31 Dec 2025**	**31 Dec 2024**
	₦'000	**₦'000**
Total assets	76,899,095	65,677,300
Less: Total liabilities	30,212,843	22,832,471
Shareholders funds as at year end	**46,686,252**	**42,844,829**
Adjustment for non-capital items	25,066	33,908
Available capital resources	**46,661,186**	**42,810,921**
Changes in available capital	9%	30%

Notes to the financial statements-continued

The Company's available capital is based on the shareholders’ equity/fund as adjusted to reflect the full economic capital base available to absorb any unexpected volatility in results of operations. Thus, available capital resources, after adjusting for non-capital assets, is ₦53,691,283 (2024: ₦42,810,921) amounting to an increase over the comparative period.

	31 Dec 2025	31 Dec 2024
	₦'000	₦'000
Total shareholders' funds	46,686,252	42,844,829
Regulatory required capital	3,000,000	3,000,000
Excess over minimum capital	43,686,252	39,844,829
Capitalisation rate	1556%	1428%

The National Insurance Commission (NAICOM) prescribes a statutory minimum capital requirement of ₦3 billion for Non-Life insurance business. In August 2025, NAICOM issued an

6 Capital Management, Risk Management and Fair Value

6.1 Capital Management – Objectives, Policies and Approaches.

i The Minimum Capital Requirement

The minimum capital requirement computation is based on the NIIRA 2025 Section 15 and the regulatory guideline on Minimum Capital requirements for Insurers and Reinsurers In
The minimum capital requirement is as disclosed in the table below:

	31 Dec 2025	31 Dec 2024
	₦'000	₦'000
Share capital	9,240,000	7,700,000
Share premium	497,464	547,433
Retained earnings	6,144,404	4,558,293
Contingency reserve	5,562,642	5,562,642
Excess of admissible assets over liabilities	**21,444,510**	**18,368,368**
Less: the amount of own shares held (treasury shares)	-	-
	21,444,510	18,368,368
Subordinated liabilities subject to approval by the Commission	-	-
Any other financial instrument as prescribed by the Commission	-	-
Capital Requirement	**21,444,510**	**18,368,368**

Notes to the financial statements-continued

6 Capital Management, Risk Management and Fair Value

6.1 Capital Management – Objectives, Policies and Approaches.

ii. The solvency margin requirement

Insurance industry regulator measures the financial strength of non-life insurers using a solvency margin model, NAICOM generally expects non-life insurers to comply with this capital adequacy requirement. Under NIIRA 2025, solvency and capital adequacy are governed by Sections 24 and 25, which introduce a risk-based capital (RBC) framework. This requires general insurance company to maintain a minimum capital of the higher of ₦15 billion or Risk-Based Capital (RBC) as may be determined by NAICOM. Compliance with the minimum capital requirement is assessed on an ongoing basis and forms a key component of NAICOM's risk-based supervisory framework.

Although the Company has not yet met the new minimum capital requirement of ₦15 billion as at 31 December 2025, this is not a breach, as NIIRA 2025 provides a transition period up to July 2026 for existing insurers to comply with the revised capital thresholds.

The solvency margin for the Company as at 31 December 2025 is as follows:

Assets		Total 31 Dec 2025	Admissible 31 Dec 2025	Non-admissible 31 Dec 2025	Total 31 Dec 2024	Admissible 31 Dec 2024	Non-admissible 31 Dec 2024
Cash and cash equivalents:							
- Bank and cash balances		2,174,244	2,174,244	-	3,567,443	3,567,443	-
- Placement with financial institutions		2,259,324	2,259,324	-	1,849,238	1,849,238	-
- Treasury bills		5,681,541	5,681,541	-	5,382,227	5,382,227	-
- Treasury bills FVOCI		784,470	784,470	-		-	-
- Government bonds		10,310,748	10,310,748	-	8,216,561	8,216,561	-
- Corporate bonds -Quoted		160,520	160,520	-	473,072	473,072	-
- Corporate bonds -Unquoted		540,578	-	540,578	2,308,837	-	2,308,837
- Mutual funds		2,134,134	365,813	1,768,321	1,598,301	1,598,301	-
- Quoted shares		3,696,515	3,696,515	-	1,897,830	1,897,830	-
- Unquoted shares		32,703,559	190,298	32,513,261	25,521,447	190,298	25,331,149
Mortgage Loan		269,647	-	269,647	-	-	-
- Loans to staff		253,983	253,983	-	337,146	150,570	186,576
- Other loans		34,615	-	34,615			
- Commercial Paper		2,296,402	2,296,402	-	1,523,965	1,523,965	-
- Other loans and invested assets (Investment notes and Loans to Financial companies)		2,065,928	289,033	1,776,895	710,163	710,163	-
Other receivables and prepayments		2,803,876	332,004	2,471,872	1,263,758	141,749	1,122,009
Reinsurance contract assets		4,143,338	4,143,338	-	5,571,208	5,571,208	-
Premium receivable		251,333	251,333	-	948,117	948,117	-
Investment property		340,000	340,000	-	340,000	340,000	-
Land and building		2,236,397	1,000,000	1,236,397	2,248,539	1,000,000	1,248,539
Property and equipment (excluding land & building)		940,077	940,077	-	1,177,661	1,177,661	-
Intangible assets		25,066	-	25,066	33,908	-	33,908
Right-of-use assets		22,800	-	22,800	7,880	-	7,880
Statutory deposit		770,000	770,000		700,000	700,000	-
Total assets		**76,899,095**	**36,239,643**	**40,659,452**	**65,677,300**	**35,438,401**	**30,238,898**
Liabilities							
Insurance contract liabilities		(18,277,740)	(18,277,740)	-	(17,386,989)	(17,386,989)	-
Other technical liabilities		(1,467,869)	(1,467,869)	-	(1,218,863)	(1,218,863)	-
Defined Benefit Obligation		(91,413)	(91,413)	-	(93,950)	(93,950)	-
Current tax liabilities		(295,846)	(295,846)	-	(245,563)	(245,563)	-
Deferred tax liabilities		(9,003,239)	-	(9,003,239)	(2,036,859)	-	(2,036,859)
Other payables		(1,076,736)	(1,076,736)	-	(1,850,248)	(1,850,248)	-
Total liabilities		**(30,212,843)**	**(21,209,604)**	**(9,003,239)**	**(22,832,471)**	**(20,795,613)**	**(2,036,859)**
Excess of total admissible assets over admissible liabilities	**(A)**		**15,030,039**	**-**	**-**	**14,642,788**	**-**
Required solvency margin: Higher of;				**-**	**-**		**-**
a. 15% of Net premium			2,160,298	**-**	**-**	2,040,006	**-**
b. Minimum capital required	**(B)**		3,000,000	**-**	**-**	3,000,000	**-**
				-	**-**		**-**
Excess of solvency margin over minimum capital base			**12,030,039**	**-**	**-**	**11,642,788**	**-**
Level of Solvency (%)	**(A)/(B)**		**501**	**-**	**-**	**488**	**-**

The Company's solvency margin of N15,030,039,000 is above the minimum capital of N3,000,000,000 prescribed by the Nigeria Insurance Industry Reform Act.
There is however a new minimum capital requirement of N15bn effective from 31 July 2026. The Company has initiated a capital raising plan to meet the minimum capital requirements ahead of the July 2026 deadline. Accordingly, it has obtained approval from the Securities and Exchange Commission to undertake a Rights Issue of 12,320,000,000 ordinary shares of ₦0.50 each at ₦1.32 per share, on the basis of two (2) new shares for every three (3) existing shares held. The offer, which opened on 11 March 2026 and closes on 23 April 2026, is tradable on the Nigerian Exchange Limited, and is expected to strengthen the Company's capital base and support compliance with regulatory requirements.

Notes to the financial statements-continued

6 Capital and Risk Management - continued

6.2 Insurance risk

The Company issues contracts that transfer insurance risk. This section summarizes this risk and the way it is being managed.

(a) Types of insurance risk contracts

The Company principally issues the following types of general insurance contracts: Motor, Fire, General Accidents, Aviation, Marine, Engineering, Bond and Oil & Gas. The risks under this policies usually cover twelve months duration. The most significant risks in these policies arise from climate changes, natural disasters and terrorist activities. For longer tail claims that take some years to settle, there is also inflation risk.

The Company face various risks that can impact their operations and profitability. Some of the key insurance risks include underwriting risk, claims risk, reinsurance risk, operational risk, market risk, regulatory risk, liquidity risk, fraud risk and economic risk.

These risks however do not vary significantly with the risk location, type of insured and industry.

(b) Management of insurance risk

The risks facing us in any insurance contract arise from fluctuations in the timing, frequency and severity of claims and claims settlements relative to expectations; unexpected claims arising from a single source or cause; inaccurate pricing of risks or inappropriate underwriting of risks when underwritten; and inadequate reinsurance protection or other risk transfer techniques.

The principal risk that the Company faces under its insurance contracts is that the actual claims and benefits payments, or its timing thereof, exceed the carrying amount of the insurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random, and the actual number and amount of claims and benefits will vary from year to year from the level established using statistical techniques. The objective of the Company is to ensure that sufficient reserves are available to cover these liabilities. In addition, the Company manages this risk through its underwriting strategy, adequate reinsurance arrangements and proactive claims handling and investigations.

Our insurance underwriting strategy has been developed in such a way that the types of insurance risks accepted are diversified to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. Insurance risk is increased by the lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the Company has the right not to renew certain policies, it can impose excess or deductibles and has the right to reject the payment of a fraudulent claim. Insurance contracts also entitle the Company to pursue third parties for payment of some or all of claims costs.

The Company purchases reinsurance as part of its insurance risk mitigation programme. The reinsurance arrangements include excess and proportional coverage. The effect of such reinsurance arrangements is that the Company should not suffer total net insurance losses in any one year. Amount recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision and are in accordance with the reinsurance contracts.

The Company has a specialized claims unit that ensures mitigation of the risks surrounding all known claims. This unit investigates and adjusts all claims in conjunction with appointed loss adjusters. The Company actively manages and pursues early settlements of claims to reduce its exposure to unpredictable developments. Risk concentration is assessed per class of business.

(c) Insurance risk concentration:

The concentration of insurance risk before and after reinsurance by class in relation to the type of insurance risk accepted is summarized below, with reference to the carrying amount of the insurance liabilities (gross and net of reinsurance) arising from all non-life insurances.

Notes to the financial statements-continued

6.2 Insurance risk - continued

Insurance risk concentration per policy type

Line of business		**31 Dec 2025**			**31 Dec 2024**	
In thousands of naira	**Insurance contract liabilities**	**Reinsurance contracts assets**	**Net**	**Insurance contract liabilities**	**Reinsurance contracts assets**	**Net**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Fire	(2,809,248)	778,256	(2,030,992)	2,870,780	(1,120,151)	1,750,629
Accident	(3,351,172)	1,413,031	(1,938,141)	2,628,954	(1,380,578)	1,248,376
Motor	(3,773,267)	307,318	(3,465,949)	2,148,131	(384,327)	1,763,804
Marine	(2,358,989)	949,398	(1,409,591)	2,014,881	(957,475)	1,057,406
Aviation	(1,063,148)	493,074	(570,073)	2,399,525	(959,487)	1,440,038
Bond	(15,750)	(2,039)	(17,789)	15,624	(1,584)	14,039
Engineering	(1,751,809)	469,380	(1,282,429)	1,693,474	(493,580)	1,199,893
Oil & Gas	(3,147,793)	(261,758)	(3,409,550)	3,607,411	(273,375)	3,334,036
Agriculture	(6,563)	(3,323)	(9,886)	8,208	(651)	7,557
Total	**(18,277,738)**	**4,143,338**	**(14,134,401)**	**17,386,988**	**(5,571,208)**	**11,815,779**

Reinsurance risk concentration per policy type:

Line of business		**31 Dec 2025**			**31 Dec 2024**	
In thousands of naira	**Allocation of reinsurance premium**	**Amounts recoverable from reinsurers for incurred claims**	**Net**	**Allocation of reinsurance premium**	**Amounts recoverable from reinsurers for incurred claims**	**Net**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Fire	(1,604,195)	(63,381)	(1,667,576)	(1,123,734)	(416,978)	(1,540,712)
Accident	(813,013)	121,797	(691,216)	(587,049)	453,390	(133,659)
Motor	(230,689)	158,604	(72,085)	(169,558)	375,876	206,318
Marine	(698,253)	717,618	19,365	(585,221)	470,011	(115,210)
Aviation	(137,110)	(111,282)	(248,392)	(968,033)	897,607	(70,426)
Bond	(3,072)	-	(3,072)	(2,622)	-	(2,622)
Engineering	(850,930)	83,635	(767,295)	(466,985)	377,467	(89,518)
Oil & Gas	(5,502,489)	(150,396)	(5,652,885)	(4,703,684)	(27,040)	(4,730,724)
Agriculture	(6,383)	(788)	(7,171)	(6,517)	(7,474)	(13,991)
Total	**(9,846,134)**	**755,807**	**(9,090,327)**	**(8,613,403)**	**2,122,859**	**(6,490,544)**

(d) Key Assumptions

The principal assumption underlying the liability estimates is that the Company's future claims development will follow a similar pattern to past claims development experience. This includes assumptions in respect of average claims costs, claim handling costs, claim inflation factors and claims numbers for each accident year. Additional qualitative judgements are used to assess the extent to which past trends may not apply in the future, for example: once-off occurrence; changes in market factors such as public attitude to claiming; economic conditions as well as internal factors such as portfolio mix, policy conditions and claims handling procedures. Judgement is further used to assess the extent to which external factors such as judicial decisions and government legislation affect the estimates.

Other key circumstances affecting the reliability of assumptions include variation in interest rates, delays in settlement and changes in foreign currency rates.

(e) Sensitivity Analysis

The insurance claims liabilities above are sensitive to the key assumptions that follow. However, it has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process.

The following analysis is performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities, profit before tax and equity fund. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that the movements in these assumptions are not linear.

Notes to the financial statements-continued

6.2 Insurance risk - continued

(e) Sensitivity Analysis - continued

Sensitivity Analysis of Liability for Claims

31 December 2025

Criteria	Changes in Assumption	Gross Liabilities	Net Liabilities	Profit before tax	Equity Fund
			Impact on variables		
		₦'000	₦'000	₦'000	₦'000
Average claims cost	+10% increase	19,501,867	14,877,759	(743,356)	(743,356)
Number of claims	+10% increase	20,259,238	15,547,842	(1,273,406)	119,899
Average claims settlement period	Reduction by 3 months	14,380,942	11,928,951	2,205,452	2,205,452

31 December 2024

Criteria	Changes in Assumption	Gross Liabilities	Net Liabilities	Profit before tax	Equity Fund
			Impact on variables		
		₦'000	₦'000	₦'000	₦'000
Average claims cost	+10% increase	18,519,971	11,780,424	(647,320)	(849,738)
Number of claims cost	+10% increase	16,357,002	9,617,455	1,515,649	534,719
Average claims settlement period	Reduction by 3 months	(2,265,970)	(2,011,680)	2,751,631	1,461,705

Hypothecation of Assets

	31 Dec 2025			31 Dec 2024		
	Insurance fund	Shareholders fund	Total	Insurance fund	Shareholders fund	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Assets						
Cash and cash equivalents	4,043,087	390,481	4,433,568	5,358,116	58,565	5,416,681
Financial assets	18,096,368	42,836,273	60,932,640	16,244,126	31,725,420	47,969,546
Premium receivables		251,333	251,333	-	948,117	948,117
Reinsurance assets	4,143,338	-	4,143,338	5,571,208	-	5,571,208
Other receivables and prepayments	-	2,803,876	2,803,876	-	1,263,759	1,263,759
Investment properties	340,000	-	340,000	340,000	-	340,000
Intangible assets	-	25,066	25,066	-	33,908	33,908
Property and equipment	-	3,176,474	3,176,474	-	3,426,201	3,426,201
Right-of-use assets		22,800	22,800	-	7,880	7,880
Statutory deposit	-	770,000	770,000	-	700,000	700,000
Total assets	**26,622,792**	**50,276,303**	**76,899,095**	**27,513,450**	**38,163,850**	**65,677,300**

	31-Dec-25			31-Dec-24		
	Insurance fund	Shareholders fund	Total	Insurance fund	Shareholders fund	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Liabilities						
Insurance contract liabilities	18,277,740	-	18,277,740	17,386,988	-	17,386,988
Premium payables	-	1,467,869	1,467,869	-	1,218,863	1,218,863
Other payables	-	1,076,736	1,076,736	-	1,850,248	1,507,248
Defined benefit obligations	-	91,413	91,413	-	93,950	93,950
Income tax liabilities	-	295,846	295,846	-	245,563	245,563
Deferred tax liabilities	-	9,003,239	9,003,239	-	2,036,859	2,036,859
Total liabilities	**18,277,740**	**11,935,103**	**30,212,843**	**17,386,988**	**5,445,483**	**22,489,471**
GAP	**8,345,052**	**38,341,199**	**46,686,252**	**10,126,462**	**32,718,367**	**43,187,829**

Notes to the financial statements-continued

6.2 Insurance risk - continued

***(f)* Claims Development Table**

The Company has reported and disclosed its claims reserves based on the requirements of IFRS 17 - Insurance Contracts. Below is the age- to-age Incremental Chain Ladder's Claim payments by Development Year, on a gross and net of reinsurance basis.

Motor, General Accident, Fire, Marine, Engineering

Age- to-Age Inflation Adjusted Total Cummulative Claim payments (in NGN'000) by Development Year

Gross of Reinsurance

	Cumulative Chain Ladder's Claim payments by Development Year									
Accident Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
0	339,049	348,603	440,401	429,952	483,544	874,857	1,122,508	1,142,269	1,292,966	**1,734,776**
1	518,961	598,734	677,717	736,006	1,138,090	1,430,137	1,969,657	1,902,996	**2,189,228**	-
2	563,887	633,092	704,207	761,965	1,343,763	1,568,568	2,187,621	**2,052,114**	-	-
3	570,314	634,956	707,169	776,955	1,420,160	1,625,248	**2,235,593**	-	-	-
4	570,760	645,773	707,630	780,959	1,432,423	**1,631,913**	-	-	-	-
5	570,760	649,239	712,474	782,439	**1,439,042**	-	-	-	-	-
6	570,939	651,222	712,928	**783,048**	-	-	-	-	-	-
7	570,939	651,386	**718,179**	-	-	-	-	-	-	-
8	570,939	**651,859**	-	-	-	-	-	-	-	-
9	**570,939**	-	-	-	-	-	-	-	-	-
10	-	-	-	-	-	-	-	-	-	-

The claims development information over the period 2015 – 2024 is as follows:

Net of reinsurance

Cumulative Chain Ladder's Claim payments by Development Year										
Accident Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
0	347,921	339,049	348,603	440,401	429,952	483,544	874,857	1,122,508	1,142,269	1,292,966
1	550,131	518,961	598,734	677,717	736,006	1,138,090	1,430,137	1,969,657	1,902,996	**2,189,228**
2	584,112	563,887	633,092	704,207	761,965	1,343,763	1,568,568	2,187,621	**2,052,114**	
3	594,763	570,314	634,956	707,169	776,955	1,420,160	1,625,248	**2,235,593**		
4	595,968	570,760	645,773	707,630	780,959	1,432,423	**1,631,913**			
5	601,224	570,760	649,239	712,474	782,439	**1,439,042**				
6	601,241	570,939	651,222	712,928	**783,048**					
7	601,241	570,939	651,386	**718,179**						
8	601,241	570,939	**651,859**							
9	601,241	**570,939**								
10	**601,241**									

Notes to the financial statements-continued

6.2 Insurance risk - continued
Summary of Significant Assumptions

Description	31-Dec-25	31-Dec-24
Growth in gross income (GI) % over the next 5 years	20,20,15,15,15	20,20,15,15,15
Operating expenses / gross income %	42	38
Depreciation and amortization / gross income %	5	2
Effective tax rate (Tax / profit before tax) %	34	29
Capital expenditure / gross income % over the next 5 years	5	3
Perpetual growth rate %	7.93	7.25
Period counts over the next 5 years	0.5, 1.5, 2.5, 3.5, 4.5	0.5, 1.5, 2.5, 3.5, 4.5
Expected market rate of return %	27.63	31,.82
Risk-free rate %	14.99	16.98
Market risk premium %	12.64	14.34
Beta	1	1
Weighted average cost of capital %	27.63	31.32
Equity value of Stanbic IBTC Pension Managers Limited (see note 8.2(a))	0	0
Equity value of 11.76% holding		
illiquidity discount %	20	20
Value of Linkage Assurance PLC's equity stake	₦32.196 billion	₦24.802 billion

The analysis below shows the changes in equity value of Stanbic IBTC Pension Managers Limited's (SIPML) with respect to changes in weighted average cost of capital (WACC) and the terminal growth rate of free cash flow (FCF).

Sensitivity analysis
At 31 December 2025

Equity Value (₦ million)										
Terminal growth rate of FCF										
		5.93%	6.43%	6.93%	7.43%	7.93%	8.43%	8.93%	9.43%	9.93%
WACC	25.63%	357,255	362,353	367,723	373,388	379,374	385,707	392,419	399,546	407,126
	26.13%	348,624	353,403	358,430	363,726	369,313	375,216	381,461	388,081	395,109
	26.63%	340,416	344,901	349,614	354,572	359,795	365,306	371,127	377,287	383,815
	27.13%	332,601	336,816	341,240	345,888	350,778	355,930	361,364	367,106	373,182
	31.32%	325,152	329,118	333,275	337,638	342,223	347,046	352,128	357,488	363,152
	28.13%	318,043	321,779	325,691	329,792	334,096	338,618	343,376	348,388	353,676
	28.63%	311,252	314,775	318,460	322,319	326,365	330,610	335,072	339,765	344,710
	29.13%	304,759	308,085	311,560	315,196	319,003	322,993	327,182	331,583	336,213
	29.63%	298,545	301,687	304,968	308,397	311,983	315,739	319,676	323,809	328,150

At 31 December 2024

Equity Value (₦ million)										
Terminal growth rate of FCF										
		5.25%	5.75%	6.25%	6.75%	7.25%	7.75%	8.25%	8.75%	9.25%
WACC	29.82%	274,278	277,089	280,021	283,084	286,285	289,635	293,144	296,823	300,686
	30.32%	268,890	271,550	274,323	277,217	280,238	283,396	286,701	290,163	293,793
	30.82%	263,721	266,241	268,866	271,602	274,457	277,438	280,554	283,814	287,230
	31.32%	258,759	261,148	263,635	266,224	268,924	271,740	274,682	277,756	280,974
	31.82%	253,991	256,258	258,615	261,069	263,624	266,288	269,067	271,969	275,003
	32.32%	249,406	251,559	253,796	256,122	258,543	261,065	263,693	266,436	269,300
	32.82%	244,994	247,040	249,165	251,372	253,668	256,057	258,545	261,139	263,845
	33.32%	240,746	242,692	244,711	246,807	248,986	251,251	253,609	256,065	258,625
	33.82%	236,652	238,504	240,424	242,417	244,486	246,637	248,872	251,199	253,623

Notes to the financial statements-continued

6.3 Financial risks

The Company is exposed to a range of financial risks through its financial instruments and reinsurance assets.

The key financial risk is that in the long term its investments proceeds are not sufficient to meet the obligations arising from its insurance contracts. The most important components of the financial risks are:

- Credit risks
- Property risks.
- Liquidity risks
- Market risks

(a) Credit risks

Credit risk is the risk of default and change in credit quality of issuers of securities, counter-parties and untimely or non-payment of premiums by policyholders as at when due.

The categories of credit risk exposed to by the Company are:

(i) Direct default risk: which is the risk of non-receipt of cash flows or assets due to the Company because brokers, policyholders and other debtors default on their obligations.

(ii) Concentration risk: which is the exposure of losses due to excessive concentration of business activities to individual counterparties, groups of individuals or related entities, counterparties in specific geographical locations, industry sector, specific products, etc.

(iii) Counterparty risk: this is the risk that a counterparty is not able or willing to meet its financial obligations as they fall due.

In managing credit exposures to counterparties, the Company had instituted the following policies and procedures:

(i) A credit risk management policy, which sets out the assessment and determination of credit risk components. In addition, it sets out the net exposure limits for each counterparty, based on geographical and industry segmentation. The policy is regularly reviewed for pertinence and for changes in the risk environment.

(ii) Reinsurance arrangement is entered with counterparties that have a good credit rating. Concentration risk is avoided by following policy guidelines on counterparties' limits that are set each year by the board of directors and reviewed regularly. At each reporting date, management performs an assessment of creditworthiness of reinsurers and updates the reinsurance purchase strategy, ascertaining suitable allowance for impairment, if need be.

(iii) The Company sets the maximum amounts and limits that may be advanced to corporate counterparties by reference to their long-term credit ratings.

Notes to the financial statements-continued

6.3 Financial risks - continued
Credit Risk Quality

Inputs Assumptions and Techniques

See Accounting policies in (3h)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both qualitative and quantitative information and analysis based on the Company's experience, expert credit assessment and forward-looking information.

The Company primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing:

• the remaining lifetime probability of default (PD) as at the reporting date; with
• the remaining lifetime PD for this point in time that was estimated on initial recognition of the exposure.

Whenever available, the Company monitors changes in credit risk by tracking published external credit ratings. To determine whether published ratings remain up to date and to assess whether there has been a significant increase in credit risk at the reporting date that has not been reflected in published ratings, the Company also reviews changes in bond yields with available press and regulatory information about issuers.

Where external credit ratings are not available, the Company allocates each exposure to a credit risk grade based on data that is determined to be predictive of the risk of default (including but not limited to audited financial statements, management accounts and cash flow projections and available regulatory and press information about debtors) and applying experienced credit judgement.

Credit risk grades are defined using qualitative and quantitative factors that are indicative of the risk of default and are aligned with external credit rating definitions from (Agusto & Co., DataPro, S&P Global).
Generally, the Company has assumed that the credit risk of a financial asset has not increased significantly since initial recognition if the financial asset has low credit risk at the reporting date.
Generally, a significant increase in credit risk is assessed on an individual instrument basis.

Back stop Criterion
Where relevant, a days-past-due backstop is applied as a rebuttable presumption consistent with IFRS 9, e.g.:
30 days past due → SICR trigger (Stage 2), unless rebutted with evidence;
90 days past due → default indicator (Stage 3), unless rebutted.
For certain investment assets (e.g., traded securities) where days-past-due is not meaningful, SICR is assessed through rating migration and issuer/counterparty credit quality deterioration.
Management overlays may be applied to the model outputs if they are consistent with the objective of identifying a significant increase in credit risk.

The Company monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
- the criteria do not align with the point in time when an asset becomes 30 days past due;
- the average time between the identification of a significant increase in credit risk and default appears reasonable;

Notes to the financial statements-continued

Measurement of ECL

ECL is generally computed as a probability -weighted outcome of potential default events, reflecting the time value of money and expected recoveries. The computation applies three key parameters:

1.Probability of Default

PD represents the likelihood that a counterparty will default over a given time horizon:
- 12-month PD for Stage 1;
- Lifetime PD term structure for Stage 2 and Stage 3.

For the Company, PDs are determined using:
- external rating benchmarks (Agusto, DataPro, and S&P default studies);
- mapping of rating grades to PD bands;
- calibration using market/regional default experience where necessary (including European corporate default summaries as supplementary benchmarks);
- adjustments for forward-looking macroeconomic conditions.

PD Term structures are applied to reflect the remaining tenor of each instrument

2. Loss Given Default

LGD represents the proportion of the exposure expected to be lost if default occurs, after considering recoveries.

In the Company, LGD assumptions reflect:
- instrument seniority and contractual protections;
- issuer/counterparty type (sovereign, bank, corporate, staff loans);
- collateral, guarantees, or credit enhancements (where applicable);
- recovery expectations and enforcement costs.

For sovereign or high-quality counterparties, LGD assumptions reflect the expected recovery profile appropriate to the instrument type and historical experience/benchmarks.

3. Exposure at Default

EAD represents the expected outstanding exposure at the time of default. For Linkage, EAD is typically based on:
- principal outstanding at reporting date;
- accrued interest and receivable amounts (where applicable);
- any contractual payments due but not received;
- expected amortization or bullet repayment features (as applicable).

For staff loans and receivables, EAD reflects outstanding balances net of scheduled repayments and payroll deduction controls (where relevant).

One of the principal criteria used to judge the risk of default (or quality) of our credit risk exposure is credit quality of the counterparty we are exposed to. This we determine by using our internal credit rating criteria, which is benchmarked against Global Credit Rating Co.'s rating criteria as comparatively shown below:

Notes to the financial statements-continued

Credit Quality	GRC Rating Scale	Linkage Rating Scale	Definition of Criteria
LOW	AAA AA+ - AA-	AAA	Highest Credit Quality: The risk factors are negligible, being only slightly more than risk-free government instruments.
	A+ - A-	AA	Very High Credit Quality: Protection factors are very strong. Adverse changes in business, economic or financial conditions would increase investment risk, although not significant.
MEDIUM	BBB+ - BBB-	BBB	Adequate protection factors and considered sufficient for prudent investment. However, there is considerable variability in risk during economic cycles.
	BB+ - BB-		Below investment grade but capacity for timely repayment exists. Present or prospective financial protection factors fluctuate according to industry's conditions or company's fortunes. Overall, quality may move up or down frequently within this categories.
	B+ - B-	BB	Below investment grade and possessing risk that obligations will not be met when due. Financial protection factors will fluctuate widely according to economic cycles, industry conditions and/or company fortunes.
HIGH	CCC	NOT RATED	Well below investment grade securities. Considerable uncertainty exists as to timely payment of principal or interest. Protection factors are narrow and risk can be substantial with unfavorable economic/industry conditions, and/or with unfavorable company development.
	DD		Defaulted debt obligations. The issuer failed to meet scheduled principals and/or interest payments. Company has been, or is likely to be, placed under the order of the court.

Overall, our credit risk exposure has maintained a low risk profile. This is because our exposure to high risk counterparties has been low in order to protect policyholder funds and secure the liquidity of operating funds.

Notes to the financial statements-continued

Notes to the financial statements

Maximum assets exposed to credit risk

In thousands of Naira	2025 Carrying amount	2024 Carrying amount
Assets	**N'000**	**N'000**
Cash and cash equivalents	4,433,568	5,416,681
Investment securities:		
Amortised cost	16,580,077	16,039,462
Loan and receivables	558,246	337,144
Reinsurance assets	4,143,338	5,559,453
Trade receivables	251,333	948,117
Other receivables	2,038,553	768,276
Total credit exposure	28,005,115	29,069,133

As at 31 December 2025, there were no impaired reinsurance assets (31 December 2024: Nil) and impaired loans and receivables amounted to ₦74million (31 December 2024: ₦79million).
For assets to be classified " impaired" contractual payments must be in arrears for more than 90 days. No collateral is held as security for any impaired assets.

		31 December 2025				31 December 2024			
		Stage 1 Gross amount N'000	**Stage 2 Gross amount N'000**	**Stage 3 Gross amount N'000**	**Total N'000**	**Stage 1 Gross amount N'000**	**Stage 2 Gross amount N'000**	**Stage 3 Gross amount N'000**	**Total N'000**
Financial assets measured at amortised cost									
External rating Grade									
B	Gross	16,629,435	-	-	16,629,435	16,110,043	-	-	16,110,043
	ECL	(49,358)			(49,358)	(70,581)			(70,581)
	Net	16,580,077	-	-	16,580,077	16,039,462	-	-	16,039,462
Loans and receivable									
Internal rating Grade									
AAA	Gross	559,172	-	73,310	632,482	342,580	-	73,310	415,890
	ECL	(927)		(73,310)	(74,237)	(5,436)		(73,310)	(78,746)
	Net	558,245	-	-	558,245	337,144	-	-	337,144

Notes to the financial statements-continued

		Stage 1 Gross amount N'000	Stage 2 Gross amount N'000	Stage 3 Gross amount N'000	Total N'000	Stage 1 Gross amount N'000	Stage 2 Gross amount N'000	Stage 3 Gross amount N'000	Total N'000
Cash and cash equivalents									
External rating Grade									
B	Gross	4,447,787	-	-	4,447,787	5,487,626	-	-	5,487,626
	ECL	(14,219)			(14,219)	(70,945)			(70,945)
	Net	4,433,568	-	-	4,433,568	5,416,681		-	5,416,681
Reinsurance contract assets									
Internal rating Grade									
AAA	Gross	4,143,338	-	-	4,143,338	5,571,208	-	-	5,571,208
	ECL	-	-	-	-	-	-	-	-
	Net	4,143,338	-	-	4,143,338	5,571,208	-	-	5,571,208
Statutory deposit									
External rating Grade									
B	Gross	770,000	-	-	770,000	700,000	-	-	700,000
	ECL	-	-	-	-	-	-	-	-
	Net	770,000	-	-	770,000	700,000	-	-	700,000
Other receivables (excluding non- financial assets)									
External rating Grade									
B	Gross	1,025,088	-	1,256,607	2,281,695	380,051	-	565,781	945,832
	ECL	-		(243,142)	(243,142)	-	-	(177,556)	(177,556)
	Net	1,025,088	-	1,013,465	2,038,553	380,051	-	388,225	768,276

Notes to the financial statements-continued

Notes to the financial statements

Transfer between stages

Cash and cash equivalents

in thousand of naira	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balance as at 1 January	70,945	-	-	70,945	79,665	-	-	79,665
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	-	-	-	-
Net remeasurement of loss allowance	(56,726)	-	-	(56,726)	(8,720)	-	-	(8,720)
New financial assets acquired	-	-	-	-	-	-	-	-
Financial assets derecognised	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-
Unwinding of discount	-	-	-	-	-	-	-	-
Effects of movements in exchange rates	-	-	-	-	-	-	-	-
Balance as at 31 December	14,219	-	-	14,219	70,945	-	-	70,945

Notes to the financial statements-continued

Financial assets at amortised cost

in thousand of naira

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balance as at 1 January	70,581	-	-	70,581	394,404	-	-	394,404
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	-	-	-	-
Net remeasurement of loss allowance	(21,223)	-	-	(21,223)	(323,823)	-	-	(323,823)
New financial assets acquired	-	-	-	-	-	-	-	-
Financial assets derecognised	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-
Unwinding of discount	-	-	-	-	-	-	-	-
Effects of movements in exchange rates	-	-	-	-	-	-	-	-
Balance as at 31 December	- 16,039,462	-	-	- 16,039,462	70,581	-	-	70,581

Loan and receivables

in thousand of naira

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balance as at 1 January	5,436	-	73,310	78,746	-	-	105,350	105,350
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	-	-	-	-
Net remeasurement of loss allowance	(4,508)	-	-	(4,508)	5,436	-	(32,040)	(26,604)
New financial assets acquired	-	-	-	-	-	-	-	-
Financial assets derecognised	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-
Unwinding of discount	-	-	-	-	-	-	-	-
Effects of movements in exchange rates	-	-	-	-	-	-	-	-
Balance as at 31 December	- 337,144	-	-	- 337,144	5,436	-	73,310	78,746

Other receivables

in thousand of naira

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balance as at 1 January	-	-	177,556	177,556	-	-	2,602	2,602
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	-	-	-	-
Net remeasurement of loss allowance	-	-	65,586	65,586	-	-	177,556	177,556
New financial assets acquired	-	-	-	-	-	-	-	-
Financial assets derecognised	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	(2,602)	(2,602)
Unwinding of discount	-	-	-	-	-	-	-	-
Effects of movements in exchange rates	-	-	-	-	-	-	-	-
Balance as at 31 December	-	-	243,142	243,142	-	-	177,556	177,556

Notes to the financial statements-continued

Bond investment at FVOCI

in thousand of naira

	31 December 2025				31 December 2024			
	Stage 1	**Stage 2**	**Stage 3**	**Total**	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Balance as at 1 January	6,160	-	-	6,160	11,132	-	-	11,132
Transfer to Stage 1	-	-	-	-	-	-	-	-
Transfer to Stage 2	-	-	-	-	-	-	-	-
Transfer to Stage 3	-	-	-	-	-	-	-	-
Net remeasurement of loss allowance	9,574	-	-	9,574	6,160	-	-	6,160
New financial assets acquired	-	-	-	-	-	-	-	-
Financial assets derecognised	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	(11,132)	-	-	(11,132)
Unwinding of discount	-	-	-	-	-	-	-	-
Effects of movements in exchange rates	-	-	-	-	-	-	-	-
Balance as at 31 December	15,734	-	-	15,734	6,160	-	-	6,160

		Recovery Rate	LGD Base
1	FGN Bonds	94%	5.6%
2	Treasury Bills	94%	5.6%
3	Corporate Bond	47%	53.0%
4	FGN Euro Bond	88%	12.0%
5	Placement	47%	53.0%
6	Promissory notes	94%	5.6%

From our assesment of Expected credit losses, impairment on Trade receivables is zero.

Notes to the financial statements

Credit Collateral

The amount and type of collateral required depends on an assessment of credit risk of the counterparty. Guidelines are implemented regarding the acceptability of types of collateral and the valuation parameters. Collateral is mainly obtained for securities lending and for cash purposes. Credit risk is also mitigated by entering into collateral agreements.

Management monitors the market value of the collateral, requests additional collateral when needed and performs an impairment valuation when applicable. The collateral can be sold or replaced by the Company, where necessary and is repayable if the contract terminates or the contract's fair value decreases. No collateral received from the counterparty has been sold or repledged this year.

Notes to the financial statements-continued

Concentration of credit risks

Reinsurance is ceded across all geographic regions in which the Company operates. The Company does not have a significant concentration of credit risk with any single reinsurer. The Company monitors concentrations of credit risk arising from investments in debt instruments by geographic location of the issuer and by sector.

An analysis of the carrying amounts of financial investments is shown below;

By Sector

	December 31 2025				December 31 2024			
in thousand naira	**Corporate**	**Bank**	**Government**	**Total**	**Corporate**	**Bank**	**Government**	**Total**
Investment securities								
Financial assets at FVOCI								
Bonds at FVOCI	777,913.00	-	3,043,531.00	3,821,444.00	-	-	1,852,513	1,852,513
Treasury Bills	-	-	784,470	784,470	-	-	722,850	722,850
Financial assets at ammortised cost								
Treasury Bills	-	-	5,681,541	5,681,541	-	-	4,659,377	4,659,377
Bonds	65,018.00	-	4,216,781.00	4,281,799.00	2,781,909	-	3,037,135	5,819,044
Commercial papers	-	2,296,402	-	2,296,402	-	1,594,546	-	1,594,546
Promissory notes	-	-	2,303,765	2,303,765	-	-	3,326,912	3,326,912
Investment notes	2,065,928	-	-	2,065,928	710,163	-	-	710,163
Cash and cash equivalent	-	4,447,787	-	4,447,787	-	5,487,626	-	5,487,626
Premium receivables	251,333	-	-	251,333	948,117	-	-	948,117
Other receivables	2,281,695	-	-	2,281,695	834,170	-	-	834,170
	5,441,887	6,744,189	16,030,088	28,216,164	5,274,359	7,082,172	13,598,787	25,955,318

By Geography

	2025	**2024**
In thousands of naira	Nigeria	Nigeria
Investment securities		
Financial assets at FVOCI	4,605,914	2,575,363
Financial assets at ammortised cost	16,629,435	16,110,042
Cash and cash equivalent	4,447,787	5,487,626
Premium receivables	251,333	948,117
Other receivables	2,281,695	834,170
	28,216,164	25,955,318

Notes to the financial statements-continued

Notes to the financial statements

(b) **Property risk**

Property risk are the potential financial loss due to inaccuracies in the assessment of the value of insured properties. This can occur when properties are undervalued or overvalued, leading to inadequate coverage or excessive premiums. Inaccurate valuations can result in significant financial implications during claims settlement.

Managing property risk in a non-life insurance company involves a systematic approach that includes identifying, assessing, mitigating, and monitoring risks. Here are the key processes and methods used to manage and measure property risk:

Processes for Managing Property Risk

(i) Risk Identification: Conduct thorough assessments to identify potential property risks, including natural disasters, theft, vandalism, and other hazards, Utilize historical data, industry reports, and expert consultations to identify emerging risks.

(ii) Risk Assessment: Evaluate the likelihood and potential impact of identified risks on insured properties, use qualitative and quantitative methods to assess risks, considering factors such as location, property type, and historical loss data.

(iii) Risk Mitigation: Develop and implement risk management strategies to reduce the likelihood and impact of property risks. This may include: Encouraging policyholders to adopt safety measures (e.g., security systems, fire alarms). providing guidance on property maintenance and disaster preparedness, offering risk management services or resources to clients.

(iv) Underwriting Practices: Establish robust underwriting guidelines that incorporate risk assessment findings. This includes setting appropriate premiums, coverage limits, and deductibles based on the assessed risk level.

(v) Claims Management: Implement efficient claims management processes to handle property damage claims promptly and accurately. This includes thorough investigations to prevent fraud and ensure fair settlements.

(vi) Monitoring and Review: Continuously monitor the effectiveness of risk management strategies and adjust them as necessary based on changes in the risk environment, regulatory requirements, or market conditions, conduct regular reviews of the risk management framework to ensure it remains relevant and effective.

Methods Used to Measure Property Risk

(i) Statistical Analysis: Use statistical methods to analyze historical loss data and identify trends in property claims. This helps in estimating future losses and setting appropriate reserves.

(ii) Risk Scoring Models: Develop risk scoring models that quantify the risk associated with individual properties based on various factors (e.g., location, construction type, occupancy). This helps in prioritizing risk management efforts.

(iii) Value-at-Risk (VaR) Analysis: Conduct VaR analysis to estimate the potential loss in value of property assets over a specified time frame, given normal market conditions. This helps in understanding the financial impact of property risks.

(c) Liquidity Risk

Liquidity risk is the risk that cash may not be available to pay obligations when due at a reasonable cost. The characteristic nature of our business requires the availability of adequate cash flow to meet our contractual obligations to policyholders (and other third parties) in the event of claim settlement.
This is the risk of loss arising due to insufficient liquid assets to meet cash flow requirements or to fulfil financial obligation once claims crystallize. In the case of catastrophic events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The Company's exposure to liquidity risk comprises of:

(i) Funding (Cash-flow) Liquidity Risk:

This is the risk of not meeting current and future cash flow and collateral needs, both expected and unexpected, without materially affecting daily operations or overall financial condition of the Company.

(ii) Market (Asset) Liquidity Risk:

This is the risk of loss which is occasioned by the incapacity to sell assets at or near their carrying value at the time needed.

The Company mitigates its exposure to liquidity risk through the following mechanisms:

- Liquidity policy, which sets out the assessment and determination of what constitutes the Company’s liquidity risk. Compliance with the policy is monitored and exposures and breaches are reported to the Assets and Liability Management Committee. The policy is regularly reviewed for pertinence ad for changes in the risk environment.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure sufficient funding available to meet insurance contracts obligations.
- Contingency funding plans are in place, which specify minimum proportions of funds to meet emergency calls as well as specifying events that would trigger such plans.
- The Company's catastrophe excess–of–loss reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.
- Below is a maturity profile summary of the Company’s undiscounted contractual obligations cash flows of financial assets matched with financial liabilities. For insurance contract liabilities and reinsurance assets, maturity profile estimates are based on timing of net cash flows from the recognized insurance liabilities.
- Unearned premiums and the reinsurers’ share of unearned premiums have been excluded from the analysis as they are not contractual obligations.
- In addition, the Company maintains a portfolio of highly marketable and diverse assets that can be easily liquidated in the event of an unforeseen interruption of cash flow.

Notes to the financial statements-continued

6.3 Financial risks - continued
(c) Liquidity risks - continued
Maturity Analysis (on Expected maturity basis)
The table below summarizes the expected utilization or settlement of financial assets and liabilities:

2025	**Carrying amount**	**1-3 months**	**3-6 months**	**6-12 months**	**1-3 years**	**3 to 5 years**	**Above 5 years**	**Total**
Assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and cash equivalents	4,433,568	4,447,787	-	-	-	-	-	4,447,787
Investment securities	21,296,599	4,861,919	2,063,929	10,714,265	2,980,912	2,200,168	1,749,144	24,570,336
Loan and receivables	558,245	-	-	632,483	-	-	-	632,483
Premium receivables	251,333	251,333	-	-	-	-	-	251,333
Reinsurance assets	4,143,338	-	-	4,143,338	-	-	-	4,143,338
Other receivables	2,803,876	-	-	3,047,018	-	-	-	3,047,018
Total Assets	**33,486,959**	**9,561,039**	**2,063,929**	**18,537,104**	**2,980,912**	**2,200,168**	**1,749,144**	**37,092,295**
Liabilities								
Insurance liabilities	18,277,740	12,241,270	-	-		6,036,470		18,277,740
Other technical liabilities	1,467,869		-	73,134	1,394,735	-		1,467,869
Other payables	1,076,736		-	1,076,736		-		1,076,736
Retirement benefit obligations	91,413		-	-		-		91,413
Total Liabilities	**20,913,758**		**-**	**1,149,870**		**6,036,470**		**20,913,758**
Net Liquidity gap*	**12,573,201**		**2,063,929**	**17,387,234**		**(3,836,302)**		**16,178,537**

2024	**Carrying amount**	**1-3 months**	**3-6 months**	**6-12 months**	**1-3 years**	**3 to 5 years**	**Above 5 years**	**Total**
Assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and cash equivalents	5,416,681	5,487,626	-	-	-	-	-	5,487,626
Investment securities	47,632,402	-	-	18,141,956	-	29,490,446	-	47,632,402
Loan and receivables	337,144	-	-	337,144	-	-	-	337,144
Premium receivables	948,117	948,117	-	-	-	-	-	948,117
Reinsurance assets	5,571,208	-	-	5,571,208	-	-	-	5,571,208
Other receivables	834,170	-	-	834,170	-	-	-	834,170
Total Assets	**60,739,722**	**6,435,743**	**-**	**24,884,478**	**-**	**29,490,446**	**-**	**60,810,667**
Liabilities								
Insurance liabilities	17,386,989	11,329,836	-	-	-	6,057,152	-	17,386,989
Other technical liabilities	102,544	-	-	102,544	1,116,319	-	-	1,218,863
Other payables	2,128,431	-	-	2,128,431	-	-	-	2,128,431
Retirement benefit obligations	93,950	-	-	-	-	-	-	93,950
Total Liabilities	**19,711,914**	**11,329,836**	**-**	**2,230,975**	**1,116,319**	**6,057,152**	**-**	**20,828,233**
Net Liquidity gap	**41,027,808**	**(4,894,093)**	**-**	**22,653,503**	**(1,116,319)**	**23,433,294**	**-**	**39,982,434**

Notes to the financial statements-continued

Notes to the financial statements

6.3 Financial risks - continued

(d) Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. The identification, management, control, measurement and reporting of market risk are aligned towards the sub-risk categories namely:

- Foreign exchange risk
- Interest-rate risk
- Equity price risk

The Company's market risk policy sets out the assessment and determination of what constitutes market risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company's Asset Liability Management Committee and Board through its Audit, Compliance and Risk Management Committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.

- Guidelines are set for asset allocation and portfolio limit structure, to ensure that assets back specific policyholders' liabilities and those assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.
- The Company stipulates diversification benchmarks by type of instrument and geographical area based on exposure to variations in interest rates, equity prices and foreign exchange.
- There is strict control over hedging activities.

(i) Currency (Foreign Exchange) Risk

Currency risk is the potential risk of loss from fluctuating foreign exchange rates as a result of the Company's exposure to foreign currency denominated transactions. It is also the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

The Company's principal transactions are carried out in Naira and its exposure to foreign exchange risk arises primarily with respect to transactions denominated in foreign currencies. The Company's financial assets are primarily denominated in local currency as its insurance contract liabilities and investment. This mitigates the foreign currency exchange rate risk for its operations. Thus, the main foreign exchange risk arises from translation of recognized assets and liabilities denominated in currencies other than those in which insurance and investment contract liabilities are expected to be settled.

The following exchange rates have been applied

In thousand of Naira	2025		2024	
	Closing rate	Average rate	Closing rate	Average rate
USD 1	1,435.26	1518.08	1535.82	1491.27
EUR 1	1687.29	1714.72	1594.89	1618.55
GBP 1	1,933.58	2000.26	1924.83	1903.28

Analysis of assets and liability by major currencies

The table below summarizes the Company's financial assets and liabilities by major currencies:

31 December 2025	**Euro**	**Pound Sterling**	**Naira**	**US Dollars**	**Total**
Assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and cash equivalents	134,364	979	3,002,967	1,309,477	4,447,787
Investment securities	-	-			-
Debt securities at FVTPL			4,716,522		4,716,522
Debt securities at Amortised cost	564,734	-	14,915,213	1,100,129	16,580,077
Debt securities at FVOCI	1,584,194	-	37,493,602	-	39,077,796
Premium receivables	-	-	251,333	-	251,333
Reinsurance assets	-	-	4,143,338		4,143,338
Total assets	**2,283,293**	**979**	**64,522,975**	**2,409,607**	**69,216,853**
Liabilities					
Insurance contract liabilities	-	-	18,277,740	-	18,277,740
Trade payables	-	-	733,736	-	733,736
Total liabilities	**-**	**-**	**19,011,476**	**-**	**19,011,476**

31 December 2024	**Euro**	**Pound Sterling**	**Naira**	**US Dollars**	**Total**
Assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Cash and cash equivalents	120,705	976	-	1,413,771	1,535,452
Investment securities	-	-	-	2,990,912	2,990,912
Premium receivables	-	-	278,764	864,638	1,143,402
Reinsurance assets	-	-	5,559,453	932,235	6,491,688
Total assets	**120,705**	**976**	**5,838,217**	**6,201,556**	**12,161,454**
Liabilities					
Insurance contract liabilities	-	-	17,386,988		-
Trade payables	-	-	1,507,248		-
Total	**-**	**-**	**18,894,236**	**-**	**-**

The Company has no significant concentration of foreign currency risk.

Notes to the financial statements-continued

0 0

Sensitivity analysis - foreign currency risk

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax and equity due to changes in the fair value of currency sensitive monetary assets and liabilities including insurance contract claim liabilities. The correlation of variables will have a significant effect in determining the ultimate impact on market risk, but to demonstrate the impact due to changes in variables, variables had to be changed on an individual basis. The movements in these variables are non–linear.

(ii) Interest rate risk

The Company is exposed to a considerable level of interest rate risk-especially on the Investment contracts (i.e. the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates). Similar to the last financial year, interest rate was fairly volatile. These changes could have a negative impact on the Net Interest Income, if not properly managed. The Company however, has all of its financial instruments in non-rate sensitive assets and liabilities. This greatly assists it in managing its exposure to interest rate risks.

Investment in fixed interest rate instruments exposes the Company to cash flow interest risk and fair value interest risk. This is because the Company’s investment approach is conservative with high investment in fixed income instruments. The Company does not have interest-rate based liabilities. However, the Company’s investment income moves with interest rate over the time.

The Company’s interest risk policy requires it to manage interest rate risk by maintaining an appropriate mix of fixed rate instruments. The policy also requires it to manage the maturities of interest bearing financial assets and interest bearing financial liabilities. Any gap between fixed and variable rate instruments and their maturities are effectively managed by the Company through derivative financial instruments. Interest on fixed interest rate instruments is priced at inception of the financial instrument and is fixed until maturity or terminated.

The interest rate profile of the Company's interest-bearing financial instruments as reported to the management of the Company is as follows.

December 31 2025	**Fixed**	**Non- interets bearing**	**Total**
in thousands of naira			
Cash and cash equivalents	2,273,543	2,174,244	4,447,787
Investment securities			
Finnacial assets at amortised cost			
Treasury bills	5,681,541	-	5,681,541
Bonds	4,281,799	-	4,281,799
Commercial papers	2,296,402	-	2,296,402
Loans and other receivables	558,245	-	558,245
Total	15,091,530	2,174,244	17,265,774

December 31 2024	**Fixed**	**Non- interets bearing**	**Total**
in thousands of naira			
Cash and cash equivalents	1,920,184	3,567,442	5,487,626
Investment securities			
Finnacial assets at amortised cost			
Treasury bills	4,659,377	-	4,659,377
Bonds	5,819,044	-	5,819,044
Commercial papers	1,594,546	-	1,594,546
Loans and other receivables	337,144	-	337,144
Total	14,330,295	3,567,442	17,897,737

Notes to the financial statements-continued

6.3 Financial risks - continued
Sensitivity analysis - interest rate risk

The table below details analysis of the impact of interest rate changes on reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets and liabilities, including the effect of fair value hedges) and equity (that reflects adjustments to profit before tax). The correlation of variables will have a significant effect in determining the ultimate impact on interest rate risk, but to demonstrate the impact due to changes in variables, variables had to be changed on an individual basis. It should be noted that movements in these variables are non–linear.

The method used for deriving sensitivity information and significant variables did not change from the previous period.

31 December 2025

Interest earning assets	Basis points	Impact on Profit before tax	Up to 1 Year	1 -3 Years	Total
		₦'000	₦'000	₦'000	₦'000
Short term deposit	+100	5,935	5,935	-	5,935
Other investments	+100	31,013	31,013	-	31,013
Bonds	+100	10,606	-	10,606	10,606
					-
Short term deposit	-100	(5,935)	(26,737)	-	(26,737)
Other investments	-100	(31,013)	(21,833)	-	(21,833)
Bonds	-100	(10,606)	-	(10,606)	(10,606)

31 December 2024

Interest earning assets	Basis points	Impact on Profit before tax	Up to 1 Year	1 -3 Years	Total
		₦'000	₦'000	₦'000	₦'000
Short term deposit	+100	20,692	20,692	-	20,692
Treasury Bill	+100	39,055	39,055	-	39,055
Bonds	+100	121,168	-	121,168	121,168
					-
Short term deposit	-100	(20,692)	(26,737)	-	(26,737)
Treasury bill	-100	(39,055)	(21,833)	-	(21,833)
Bonds	-100	(121,168)	-	(121,168)	(121,168)

An analysis of the Company's sensitivity to a 100bp increase or decrease in market interest rates at the reporting date, assuming that all other variables remain constant, is presented below.

31 December 2025	Change in interest rate	Impact on CSM	Impact on profit before tax	Impact on equity
Insurance contract liabilities	+100bp	-	87,896	87,896
Reinsurance contract assets	+100bp	-	(19,925)	(60,077)
Insurance contract liabilities	-100bp	-	(89,888)	(89,888)
Reinsurance contract assets	-100bp	-	20,376	61,498

31 December 2024	Change in interest rate	Impact on CSM	Impact on profit before tax	Impact on equity
Insurance contract liabilities	+100bp	-	87,476	65,607
Reinsurance contract assets	+100bp	-	(33,874)	(25,405)
Insurance contract liabilities	-100bp	-	(89,769)	(67,326)
Reinsurance contract assets	-100bp		55,007	41,255

Notes to the financial statements-continued

6.3 Financial risks - continued

(iii) Equity Price Risk

Equity price risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets whose values will fluctuate as a result of changes in market prices, principally quoted stocks and share securities.

The Company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each country, sector and market and careful and planned use of derivative financial instruments.

Sensitivity Analysis - equity price risk

The following table contains the fair value and related equity price risk sensitivity of the Company's listed and non-listed equity securities. The equity price risk sensitivity has been calculated based on what the Company views to be reasonably possible changes in the equity prices for the coming year. For listed equities a 20% change in the equity price has been used in the calculation of the sensitivity as at 31 December 2024 and 2025. For non-listed securities a 40% change in the equity prices has been used in the calculation of the sensitivity.

Sensitivity Analysis - equity price risk

	31 Dec 2025			31 Dec 2024		
Market Indices	**Fair Value**	**Impact on Profit before tax**	**Impact on Equity**	**Fair Value**	**Impact on Profit before tax**	**Impact on Equity**
	000	**000**	**000**	**000**	**000**	**000**
Fair value through profit or loss	4,716,522	943,304	1,886,609	2,102,495	420,499	840,998
Financial instrument at FVOCI - Quoted	6,374,235	1,274,847	4,461,965	3,968,999	793,800	2,778,299
Financial instrument at FVOCI - Unquoted	32,703,559	6,540,712	13,081,424	25,521,447	5,104,289	10,208,579
Fair value through profit or loss	(4,716,522)	(943,304)	(1,886,609)	(2,102,495)	(420,499)	(840,998)
Financial instrument at FVOCI - Quoted	(6,374,235)	(1,274,847)	(4,461,965)	(3,968,999)	(793,800)	(2,778,299)
Financial instrument at FVOCI - Unquoted	(32,703,559)	(6,540,712)	(13,081,424)	(25,521,447)	(5,104,289)	(10,208,579)

6.4 Fair Value

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market condition (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

Fair values are determined at prices quoted in active markets. In the current environment, such price information is typically not available for all instruments and the Company applies valuation techniques to measure such instruments. These valuation techniques make maximum use of market observable data but in some cases management estimate other than observable market inputs within the valuation model. There is no standard model and different assumptions would generate different results.

Fair values are subject to a control framework designed to ensure that input variables and output are assessed independent of the risk taker. These inputs and outputs are reviewed and approved by a valuation committee. The Company has minimal exposure to financial assets which are valued at other than quoted prices in an active market.

Fair value of equity financial instruments

Investments in equity financial instrument should be measured at fair value. The entity's investment in equity financial instrument are measured at fair value and are classified as a level 3 fair value hierarchy. As observable prices are not available for these securities, the entity has used valuation techniques to derive the fair value.

Level 1: The fair value of financial instruments traded in active markets (such as publicly traded derivatives, and equity securities) is based on quoted market prices at the end of the reporting period. The quoted market price used for financial assets held by the Company is the current bid price. These instruments are included in level 1.

Level 2: Inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using quoted market prices in active markets for similar instruments, quoted prices for identical or similar instruments in markets that are considered less than active, or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

Level 3: Inputs that are unobservable. This category includes all instruments for which the valuation technique includes unobservable inputs that have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Notes to the financial statements-continued

6.4 **Fair Value - continued**

Valuation techniques, assumptions and inputs used to determine fair value of level 3 instruments

Specific valuation techniques used to value financial instruments include:

- Discounted Cash Flow Method, where the forecast / projected free cash flows of the subject entity are discounted at the weighted cost of capital; and
- Price to book value approach.

Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premiums used in estimating discount rates, exchange rates, bond and equity prices and expected price volatilities and correlations.

i The table below shows financial assets measured at fair value:

	31 Dec 2025			31 Dec 2024		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Financial assets						
Debt/Equity instruments at fair value through profit or loss	4,716,522	-	-	2,102,495	-	-
Equity Instruments measured at FVOCI	-	-	34,471,880	-	-	26,915,082
Debt instruments measured at FVOCI	4,605,914	-	-	2,575,364	-	-
	9,322,436	**-**	**34,471,880**	**4,677,859**	**-**	**26,915,082**

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised. It does not include fair value information for cash and cash equivalent, receivables and payables, whose carrying amounts are a reasonable approximation of fair value. Where they are available, the fair values of financial instruments not measured at fair value are based on quoted prices in active markets. Where a quoted price is not available, fair value is estimated using valuation models, such as discounted cash flow techniques. Inputs into the valuation techniques include expected lifetime credit losses, interest rates, prepayment rates and primary origination or secondary market spreads.

	Level 3	
	31 Dec 2025	31 Dec 2024
	₦'000	₦'000
Equity Instruments measured at FVOCI - Unquoted Equity		
Opening balance	25,521,447	18,001,451
Total gains recognised in OCI	7,182,112	7,519,996
Transfers into level 3	-	-
Transfers out of level 3	-	-
	32,703,560	**25,521,447**

	Level 3	
	31 Dec 2025	31 Dec 2024
	₦'000	₦'000
Equity Instruments measured at FVOCI- Equity Mutual Funds		
Opening balance	1,393,635	1,451,719
Total gains/(losses) recognised in OCI	76,964	(58,084)
Transfers into level 3	-	-
	-	-
	1,470,598	**1,393,635**

ii The table below shows financial assets not measured at fair value:

31 December 2025

In thousands of Naira	Level 1	Level 2	Level 3	Total fair value	Total carrying amount
Assets	₦'000	₦'000	₦'000	₦'000	₦'000
Investment securities:					
Bonds	4,945,027	-	-	4,945,027	4,261,988
Treasury Bills	5,713,006	-	-	5,713,006	5,680,644
Commercial Paper	1,303,081	-	-	1,303,081	2,284,709
Investment notes	2,194,379.21	-	-	2,194,379	2,049,551
Promissory note	1,908,671.42	-	-	1,908,671	2,303,184
				16,064,164	16,580,077

Notes to the financial statements-continued

31 December 2024

Assets	**Level 1** ₦'000	**Level 2** ₦'000	**Level 3** ₦'000	**Total fair value** ₦'000	**Total carrying amount** ₦'000
Investment securities:					
Bonds	5,889,625	-	-	5,889,625	5,868,451
Treasury Bills	4,659,377	-	-	4,659,377	4,645,261
Commercial Paper	1,523,965	-	-	1,523,965	1,516,907
Investment notes	710,162.66	-	-	710,163	706,634
Promissory note	3,326,912.32	-	-	3,326,912	3,302,209
				16,110,042	16,039,461

For cash and cash equivalents, trade receivables, other receivables, trade payable and other payables the company has determined that the carrying amounts approximates their fair values. Because these financial assets and liabilities are short-term, low-risk, non-complex instruments that settle close to their recorded amount, their carrying values closely approximate their fair values.

7 Cash and cash equivalents

Cash and cash equivalents comprise:

		2025 ₦'000	**2024** ₦'000
Cash in hand		1,395	3,353
Bank balances		2,172,849	3,564,089
Short term placements (i)		2,273,543	1,920,184
Cash and cash equivalent per statement of cash flows		4,447,787	5,487,626
Less: Allowance for impairment	7.1	(14,219)	(70,945)
Cash and cash equivalents		4,433,568	5,416,681

(i) These are cash balances and short-term placements with banks and other financial institutions with tenor of 90 days or less. Cash & cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and have a maturity of three months or less from the date of acquisition.

Current	4,447,787	5,487,626
Non-current	-	-
	4,447,787	5,487,626

7.1 Movement in ECL allowance

		2025 000	**2024** 000
Opening balance		70,945	79,665
Writeback during the year	see note 33	(56,726)	(8,720)
Closing balance		14,219	70,945

8 Investment securities

The Company's financial assets are summarised by their nature as follows:

Fair Value Through Profit or Loss (Note 8.1)	4,716,522	2,102,495
Fair Value Through Other Comprehensive Income (Note 8.2)	39,077,796	29,490,446
Amortised Cost (Note 8.3)	16,580,077	16,039,461
	60,374,395	**47,632,402**

8.1 **Fair Value Through Profit or Loss (Note 8.1)**

Quoted Equity	3,696,515	1,897,830
Mutual Funds	365,813	204,665
FGN Bonds	654,194	-
	4,716,522	**2,102,495**
Attributable to Policyholders	1,516,291	204,665
Attributable to Shareholders	3,200,231	1,897,830
	4,716,522	**2,102,495**

Notes to the financial statements-continued

8 Financial assets- continued

8.2

Fair Value Through Other Comprehensive Income (Note 8.2)		
Unquoted Equity:		
Stanbic-IBTC Pension Managers Ltd.	*32,196,000*	*24,802,000*
Nigerian-Re	-	-
Energy & Allied Insurance Pool-NIA	*319,839*	*64,153*
WAICA-Re	*167,668*	*640,294*
Nigeria Liability Insurance Pool (NLIP)	*20,052*	*15,000*
Total	**32,703,559**	**25,521,447**
Collective Investment Schemes (classified as Equity):		
Infrastructure Fund	*1,200,736*	*1,063,020*
Halal Fund	*264,586*	*228,115*
Fixed Income Fund	-	-
Real Estate Investment Trust	*303,000*	*102,500*
Total	***1,768,321***	***1,393,635***
Debt Instruments:		
FGN & Sub-National Bonds	*3,043,531*	*1,852,513*
FGN Treasury Bills	*784,470*	722,850
Promissory notes	*777,913*	-
Total	***4,605,914***	***2,575,363***
Fair Value Through Other Comprehensive Income - Attributable to Shareholders	***39,077,794***	***29,490,445***
Fair Value Through Other Comprehensive Income - Attributable to Policyholders	**-**	**Nil**

8.3

Amortised Cost (Note 8.3)		
FGN & Sub-National Bonds	4,216,781	3,037,135
Corporate Bonds	65,018	2,781,909
FGN Promissory Notes	2,303,765	3,326,912
Investment Notes	2,065,928	710,163
FGN Treasury Bills	5,681,541	4,659,377
Commercial Papers	2,296,402	1,594,546
Total	**16,629,436**	**16,110,042**
Amortised Cost - Attributable to Policyholders	16,629,436	16,110,042
Attributable to Shareholders	**Nil**	**Nil**
Impairment on Investment securities at amortised cost	(49,358)	(70,581)
Carrying amount	**16,580,078**	**16,039,461**

Investment securities

The Company's investment securities comprise equity and debt instrument at fair value through profit or loss, equity and debt instrument at fair value through other comprehensive income and amortised cost.

		2025	**2024**
		₦'000	**₦'000**
Debt/Equity instruments at fair value through profit or loss	Note 8.1	4,716,522	2,102,495
Equity instruments at FVOCI	Note 8.2	34,471,880	26,915,082
Debt instruments measured at FVOCI	Note 8.2	4,605,914	2,575,364
Debt Instruments measured at amortised cost	Note 8.3	16,580,077	16,039,461
		60,374,393	47,632,402

Investment securities classification

31 Dec 2025	**Fair value through profit or loss**	**Fair Value through OCI**	**Amortised cost**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Listed	4,716,522	6,374,235	16,580,077	27,670,834
Unlisted	-	32,703,559	-	32,703,559
	4,716,522	39,077,794	16,580,077	60,374,393
Within one year	-	-	-	-
More than one year	**4,716,522**	39,077,794	16,580,077	60,374,393
	4,716,522	39,077,794	16,580,077	60,374,393
31 Dec 2024				
Listed	2,102,495	3,968,999	810,410	6,881,904
Unlisted	-	25,521,447	15,229,051	40,750,498
	2,102,495	**29,490,446**	**16,039,461**	**47,632,402**
Within one year	2,102,495	-	16,039,461	18,141,956
More than one year	-	29,490,446	-	29,490,446
	2,102,495	**29,490,446**	**16,039,461**	**47,632,402**

Notes to the financial statements-continued

		31 Dec 2025	31 Dec 2024
8.1	**Financial assets at fair value through profit or loss**	**₦'000**	**₦'000**
8.1.1	**Movement of the fair value through profit or loss ***		
	At 1 January	2,102,495	2,443,132
	Addition	2,088,983	352,747
	Disposal	(228,415)	(1,071,725)
	At 31 December	3,963,063	1,724,155
	Net fair value gain/(loss) on bonds at fair value through profit or loss	14,520	(56,687)
	Net fair value gain on equity instruments at fair value through profit or loss	738,939	435,027
		4,716,522	**2,102,495**

*The fair value of quoted financial instruments is determined by reference to published price quotations in an active market, these instruments are mandatorily measured at FVTPL because they do not meet the SPPI criterion and are held for trading. The resulting fair value changes have been recognized in profit or loss as N753,459.

		31 Dec 2025	31 Dec 2024
8.2	**Equity Instruments measured at fair value through other comprehensive income**	**₦'000**	**₦'000**
	Investment in unquoted equities	32,703,559	25,521,447
	Investment in equity mutual funds	1,768,321	1,393,635
	Total equity instrument instruments	34,471,880	26,915,082

a) The unquoted equities and equity mutual funds have been designated to be measured at fair value through other comprehensive income.

b) This presentation alternative has been adopted to reflect the Company’s investment strategy and to avoid volatility in profit or loss arising from short-term fair value fluctuations.

c) See note 8.2 above for the fair value of each of these equity instruments

d) Dividends for equity instruments at FVOCI recognised during the period is shown below:

	31 Dec 2025	31 Dec 2024
	₦'000	**₦'000**
Dividends related to FVOCI equity investments derecognised during the reporting period	-	-
Dividends related to FVOCI equity investments held at the end of the reporting period	**2,370,545**	**2,111,020**
Total dividends for equity instruments at FVOCI recognised during the period	2,370,545	2,111,020

e) There were no transfers of the cumulative gain or loss, and the entity did not derecognise investments in equity instruments measured at fair value through other comprehensive income during the reporting period.

		31 Dec 2025	31 Dec 2024
8.2.1	**Debt Instruments measured at fair value through other comprehensive income**		
	Debt instruments at fair value through other comprehensive income	4,605,914	2,575,364
	Total financial assets at fair value through other comprehensive income	39,077,794	29,490,446
	Reconciliation of movement in fair value through other comprehensive income		
	At 1 January	29,490,446	21,315,486
	Additions during the year	5,419,769	1,744,080
	Fair value gain - equity	7,259,076	7,519,996
	Fair value (loss)/ gain - bond	(76,594)	(74,214)
	Disposal of FVOCI Debt Instruments	(3,014,903)	(1,014,903)
	At 31 December	**39,077,794**	**29,490,446**
	Fair value changes through other comprehensive income		
	Fair value gain - equity	7,259,076	7,519,996
	Fair value (loss)/ gain - bond	(76,594)	(74,214)
		7,182,482	7,445,782

Notes to the financial statements-continued

Investment securities- continued

Reconciliation of impairment allowance on Bond investment at FVOCI

		Stage 1	
		2025	**2,024**
		₦'000	**₦'000**
Opening Balance		6,160	11,132
Charge/(writeback)	see note 33	9,574	(4,972)
Closing Balance		**15,734**	**6,160**

			31 Dec 2025	**31 Dec 2024**
8.3	**Amortised cost**		**₦'000**	**₦'000**
	Debt securities at amortised cost	8.3.1	16,629,435	16,110,043
	Impairment allowance on bonds		(49,358)	(70,581)
			16,580,077	16,039,462

8.3.1 Debt instruments at amortised cost

A reconciliation of changes in gross carrying amount and corresponding allowance for ECL by stage for debt instruments at amortised cost is as follows:

	31 Dec 2025	**31 Dec 2024**
	₦'000	**₦'000**
At 1 January	16,110,042	12,066,575
Additions	5,353,344	9,423,925
Interest received	(3,838,023)	(2,286,356)
Interest income	3,838,023	2,286,356
Redemption/repayment	(4,833,951)	(5,380,458)
	16,629,435	16,110,042
Less: Impairment loss	(49,358)	(70,581)
At 31 December	**16,580,077**	**16,039,461**

8.3.2 Debt instruments measured at amortised cost

		2025	**2024**
Opening balance		70,581	394,404
Charge/(writeback)	see note 33	(21,223)	(323,823)
Closing Balance		49,358	70,581

		31 Dec 2025	**31 Dec 2024**
9	**Loans and receivables**	**₦'000**	**₦'000**
	Loans and receivables	558,245	337,144
		558,245	337,144

	31 Dec 2025	**31 Dec 2024**
	₦'000	**₦'000**
Due from third parties	34,615	-
Loan to staff	524,558	342,580
Loan to policy holders	13,655	13,655
Ex-staff loans	59,655	59,655
	632,483	415,890
Less : Impairment allowance on loan	(74,238)	(78,746)
	558,245	337,144

Loans receivables are measured at amortised cost using the effective interest rate. The effective interest rate for the purpose of staff loan valuation is the applicable market lending rates at the time of availment.

Loans and receivables comprise amounts advanced, which are repayable in equal monthly instalments of principal and interest over the agreed tenor, at contracted interest rates.

Loans to policy holder has been fully impaired ₦13.655 million (2024: ₦13.655 million).

Due from third parties	**Gross Amount**	**Impairment**
	₦'000	**₦'000**
Opening balance	-	-
Addition during the year	34,615	-
	34,615	-
Loan to staff		
Opening balance	342,580	-
Interest income	31,184	
Additions during the year	307,147	5,436
Repayment during the year	(156,353)	-
	524,558	5,436

Notes to the financial statements-continued

Loan to policy holders	**Gross Amount ₦'000**	**Impairment ₦'000**
Opening balance	13,655	13,655
	13,655	13,655

Ex-staff loans	**Gross Amount ₦'000**	**Impairment ₦'000**
Opening balance	59,655	35,509
Additions during the year	-	24,146
Repayment during the year	-	-
	59,655	59,655

9.1 Loan receivables measurement

A reconciliation of changes in gross carrying amount and corresponding allowance for ECL by stage for loan receivables is as follows:

		Stage 3	
		2025	**2024**
Opening balance		78,746	105,350
Writeback during the year	see note 33	(4,508)	(26,604)
Closing balance		**74,238**	**78,746**

10 Reinsurance contract assets and Insurance contract liabilities

	2025		**2024**	
	Asset	**Liabilities**	**Asset**	**Liabilities**
Reinsurance contracts assets (Note 10.1)	4,143,338	-	5,571,208	-
Insurance contract liabilities (Note 10.2)	-	(18,277,740)	-	(17,386,988)
	4,143,338	(18,277,740)	5,571,208	(17,386,988)

10.1 Reinsurance contracts assets

			2025			**2024**	
	Note	**Asset**	**Liabilities**	**Net**	**Asset**	**Liabilities**	**Net**
		₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Accident	10.1(a)	1,413,031	-	1,413,031	1,380,578	-	1,380,578
Engineering	10.1(b)	469,380	-	469,380	493,580	-	493,580
Marine	10.1(c)	949,398	-	949,398	957,475	-	957,475
Motor	10.1(d)	307,318	-	307,318	384,327	-	384,327
Fire	10.1(e)	778,256	-	778,256	1,120,151	-	1,120,151
Oil & gas	10.1(f)	(261,758)	-	(261,758)	273,375	-	273,375
Aviation	10.1(g)	493,074	-	493,074	959,487	-	959,487
Bond	10.1(h)	(2,039)	-	(2,039)	1,584	-	1,584
Agriculture	10.1(i)	(3,323)	-	(3,323)	651	-	651
Total reinsurance contracts assets		**4,143,338**	**-**	**4,143,338**	**5,571,208**	**-**	**5,571,208**

10.2 Insurance contract liabilities

			2025			**2024**	
	Note	**Asset ₦'000**	**Liabilities ₦'000**	**Net ₦'000**	**Asset ₦'000**	**Liabilities ₦'000**	**Net ₦'000**
Accident	10.2(a)	-	(3,351,172)	(3,351,172)	-	(2,628,954)	(2,628,954)
Engineering	10.2(b)	-	(1,751,809)	(1,751,809)	-	(1,693,474)	(1,693,474)
Marine	10.2(c)	-	(2,358,989)	(2,358,989)	-	(2,014,881)	(2,014,881)
Motor	10.2(d)	-	(3,773,267)	(3,773,267)	-	(2,148,131)	(2,148,131)
Fire	10.2(e)	-	(2,809,248)	(2,809,248)	-	(2,870,780)	(2,870,780)
Oil & gas	10.2(f)	-	(3,147,793)	(3,147,793)	-	(3,607,411)	(3,607,411)
Aviation	10.2(g)	-	(1,063,148)	(1,063,148)	-	(2,399,525)	(2,399,525)
Bond	10.2(h)	-	(15,750)	(15,750)	-	(15,624)	(15,624)
Agriculture	10.2 (i)	-	(6,563)	(6,563)	-	(8,208)	(8,208)
Total insurance contract liabilities		**-**	**(18,277,740)**	**(18,277,740)**	**-**	**(17,386,988)**	**(17,386,988)**

Notes to the financial statements-continued

		31 Dec 2025	31 Dec 2024
10b	**Reinsurance contracts assets**	**₦'000**	**₦'000**
	Asset for remaining coverage		
	Non - loss component	2,726,592	1,969,084
	Loss component	-	138,293
		2,726,592	2,107,377
	Amount recoverable on Incurred Claims		
	Present value of future cash flow	4,424,331	4,619,299
	Risk Adjustment	383,375	377,269
	Deferred commission revenue	(513,113)	(364,389)
	Reinsurance contract liabilities	(2,877,847)	(1,168,348)
	Total reinsurance contracts assets	**4,143,338**	**5,571,208**

10c Insurance contract liabilities

	2025	2024
	₦'000	**₦'000**
Liabilities for remaining coverage		
Excluding loss component	5,648,191	5,766,494
Loss component	388,279	290,658
	6,036,470	6,057,152
Liability for Incurred Claims		
Estimates of present value of future cashflows	11,291,599	10,472,600
Risk Adjustment	949,671	857,236
	12,241,270	11,329,836
Total Insurance contract liabilities	18,277,740	17,386,989
Insurance contract liabilities (excluding insurance acquisition cash flow assets and other pre-recognition cash flow	17,448,643	18,574,071
Insurance acquisition cash flow assets	(829,097)	(1,187,083)
Insurance contract liabilities	18,277,740	17,386,988

The following table sets out the carrying amount of insurance and reinsurance contracts expected to be (recovered) settled more than 12 months after the reporting date

Insurance contract assets	-	
Insurance contract liabilities	(3,437,886)	(3,723,979)
Reinsurance contract assets	1,440,434	379,954
Reinsurance contract liabilities	-	-
	(1,997,453)	(3,344,025)

The following table sets out the carrying amount of insurance and reinsurance contracts expected to be (recovered) settled less than 12 months after the reporting date

Insurance contract assets	-	-
Insurance contract liabilities	14,839,854	14,277,109
Reinsurance contract assets	2,702,904	2,774,755
Reinsurance contract liabilities	-	-
	17,542,758	17,051,864

Notes to the financial statements-continued

10

2025

Comprehensive reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	574,639	-	4,619,300	377,269	5,571,208
Reinsurance contract liabilities as at beginning of period		-	-	-	-
Net reinsurance contract assets/(liabilities) as at beginning	574,639	-	4,619,300	377,269	5,571,208
Allocation of reinsurance premiums	(9,846,134)	-	-	-	(9,846,134)
Amount recoverable from reinsurers for Incurred claims	-	-	-	-	-
Changes to amounts recoverable for incurred claims	-	-	(1,661,633)	6,106	(1,655,527)
Recoveries on incurred claims and other expenses	-	-	2,411,334	-	2,411,334
Net income or expense from reinsurance contracts held	(9,846,134)	-	749,701	6,106	(9,090,327)
Reinsurance finance income	-	-	1,466,666	-	1,466,666
Total changes in the statement of comprehensive income	(9,846,134)	-	2,216,367	6,106	(7,623,661)
Cash flows	-	-	-	-	-
Premiums paid	11,140,532	-	-	-	11,140,532
Commission received	(2,533,397)		-	-	(2,533,397)
Amounts received	-	-	(2,411,345)	-	(2,411,345)
Total cash flows	8,607,135	-	(2,411,345)	-	6,195,790
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(664,360)**	**-**	**4,424,322**	**383,375**	**4,143,338**
Reinsurance contract liabilities as at end of period*	**-**				**-**
Net reinsurance contract assets/(liabilities) as at end	**(664,360)**	**-**	**4,424,322**	**383,375**	**4,143,338**

* Reinsurance contract liabilities relates to payables to the reinsurer as at 31 December 2025

2024

Comprehensive reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	304,129	-	4,012,927	528,707	4,845,763
Reinsurance contract liabilities as at beginning of period	(821,119)	-	-	-	(821,119)
Net reinsurance contract assets as at beginning	(516,990)	-	4,012,927	528,707	4,024,644
Allocation of reinsurance premiums	(8,613,401)	-	-	-	(8,613,401)
Amounts recovery for Incurred claims and other expenses	-	-	2,274,295	(151,438)	2,122,857
Changes to amounts recoverable for incurred claims	-	-	722,953	(151,438)	571,515
Recoveries on incurred claims and other expenses	-	-	1,551,342	-	1,551,342
Net income or expense from reinsurance contracts held	(8,613,401)	-	2,274,295	(151,438)	(6,490,544)
Reinsurance finance income	-	-	(116,578)	-	(116,578)
Total changes in the statement of comprehensive income	(8,613,401)	-	2,157,717	(151,438)	(6,607,122)
Cash flows	-	-	-	-	-
Premiums paid	9,705,028	-	-	-	9,705,028
Amounts received	-	-	(1,551,342)	-	(1,551,342)
Total cash flows	9,705,028	-	(1,551,342)	-	8,153,686
Other movements	-	-	-	-	-
Net reinsurance contract (liabilities)/assets as at end	**574,639**	**-**	**4,619,300**	**377,269**	**5,571,208**

10.1(a)
2025

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

Accident	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	128,298	-	1,122,016	130,264	1,380,578
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	128,298	-	1,122,016	130,264	1,380,578
Allocation of reinsurance premiums	(813,013)	-	-	-	(813,013)
Amount recoverable from reinsurers for Incurred claims	-	-	100,242	21,555	121,797
Changes to amounts recoverable for incurred claims	-	-	(244,437)	21,555	(222,882)
Recoveries on incurred claims and other expenses	-	-	344,679	-	344,679
Net income or expense from reinsurance contracts held	(813,013)	-	100,242	21,555	(691,216)
Reinsurance finance income	-	-	319,444	-	319,444
Total changes in the statement of comprehensive income	(813,013)	-	419,686	21,555	(371,772)
Cash flows	-	-	-	-	-
Premiums paid	748,904	-	-	-	748,904
Amounts received	-	-	(344,679)	-	(344,679)
Total cash flows	748,904	-	(344,679)	-	404,225
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**64,189**	**-**	**1,197,023**	**151,819**	**1,413,031**

2024

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	125,417	-	1,093,522	143,577	1,362,515
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	125,417	-	1,093,522	143,577	1,362,515
Allocation of reinsurance premiums	(587,049)	-	-	-	(587,049)
Amounts recovery for Incurred claims and other expenses	-	-	466,703	(13,313)	453,390
Changes to amounts recoverable for incurred claims		-	43,514	(13,313)	30,201
Recoveries on incurred claims and other expenses	-	-	423,189	-	423,189
Net income or expense from reinsurance contracts held	(587,050)	-	466,703	(13,313)	(133,660)
Reinsurance finance income	-	-	(15,021)	-	(15,021)
Total changes in the statement of comprehensive income	(587,050)	-	451,682	(13,313)	(148,681)
Cash flows	-	-	-	-	-
Premiums paid	589,932	-	-	-	589,932
Amounts received	-	-	(423,188)	-	(423,188)
Total cash flows	589,932	-	(423,188)	-	166,744
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**128,298**	**-**	**1,122,016**	**130,264**	**1,380,578**

10.1(b) **2025**

Engineering **Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims**

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	451,263	65,116	516,379
Reinsurance contract liabilities as at beginning of period	(22,799)	-	-	-	(22,799)
Net reinsurance contract assets/(liabilities) as at beginning	(22,799)	-	451,263	65,116	493,580
Allocation of reinsurance premiums	(850,930)	-	-	-	(850,930)
Amount recoverable from reinsurers for Incurred claims	-	-	106,097	(22,462)	83,635
Changes to amounts recoverable for incurred claims	-	-	(131,022)	(22,462)	(153,484)
Recoveries on incurred claims and other expenses	-	-	237,119	-	237,119
Net income or expense from reinsurance contracts held	(850,930)	-	106,097	(22,462)	(767,295)
Reinsurance finance income	-	-	163,348	-	163,348
Total changes in the statement of comprehensive income	(850,930)	-	269,445	(22,462)	(603,947)
Cash flows					
Premiums paid	816,866	-	-	-	816,866
Amounts received	-	-	(237,119)	-	(237,119)
Total cash flows	816,866	-	(237,119)	-	579,747
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**(56,863)**	**-**	**483,589**	**42,654**	**469,380**

2024

Engineering **Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims**

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	164,628	22,293	186,921
Reinsurance contract liabilities as at beginning of period	(112,766)	-	-	-	(112,766)
Net reinsurance contract assets as at beginning	(112,766)	-	164,628	22,293	74,155
Allocation of reinsurance premiums	(466,985)	-	-	-	(466,985)
Amounts recovery for Incurred claims and other expenses	-	-	334,644	42,823	377,467
Changes to amounts recoverable for incurred claims		-	298,695	42,823	341,518
Recoveries on incurred claims and other expenses	-	-	35,949	-	35,949
Net income or expense from reinsurance contracts held	(466,985)	-	334,644	42,823	(89,518)
Reinsurance finance income	-	-	(12,061)	-	(12,061)
Total changes in the statement of comprehensive income	(466,985)	-	322,583	42,823	(101,579)
Cash flows					
Premiums paid	556,953	-	-	-	556,953
Amounts received	-	-	(35,948)	-	(35,948)
Total cash flows	556,953	-	(35,948)	-	521,005
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**(22,799)**	**-**	**451,263**	**65,116**	**493,580**

10.1(c) **2025**

Marine

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	171,861	-	778,048	7,567	957,475
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	171,861	-	778,048	7,567	957,475
Changes in assets for remaining coverage	-	-	-	-	-
Changes in fees & commission for remainig coverage.	-	-	-	-	-
Reinsurance Premiums	-	-	-	-	-
Allocation of reinsurance premiums	(698,253)	-	-	-	(698,253)
Amount recoverable from reinsurers for Incurred claims	-	-	712,316	5,302	717,618
Changes to amounts recoverable for incurred claims	-	-	(88,597)	5,302	(83,295)
Recoveries on incurred claims and other expenses	-	-	800,913	-	800,913
Net income or expense from reinsurance contracts held	(698,253)	-	712,316	5,302	19,365
Reinsurance finance income	-	-	273,562	-	273,562
Total changes in the statement of comprehensive income	(698,253)	-	985,878	5,302	292,927
Cash flows	-	-	-	-	-
Premiums paid	499,909	-	-	-	499,909
Amounts received	-	-	(800,913)	-	(800,913)
Total cash flows	499,909	-	(800,913)	-	(301,004)
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(26,483)**	**-**	**963,013**	**12,869**	**949,398**

2024

Marine

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	123,407	-	426,648	55,818	605,873
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	123,407	-	426,648	55,818	605,873
Allocation of reinsurance premiums	(585,221)	-	-	-	(585,221)
Amounts recovery for Incurred claims and other expenses	-	-	518,262	(48,251)	470,011
Changes to amounts recoverable for incurred claims		-	377,772	(48,251)	329,521
Recoveries on incurred claims and other expenses	-	-	140,490	-	140,490
Net income or expense from reinsurance contracts held	(585,221)	-	518,262	(48,251)	(115,210)
Reinsurance finance income	-	-	(26,372)	-	(26,372)
Total changes in the statement of comprehensive income	(585,221)	-	491,890	(48,251)	(141,582)
Cash flows	-	-	-	-	-
Premiums paid	633,674	-	-	-	633,674
Amounts received	-	-	(140,490)	-	(140,490)
Total cash flows	633,674	-	(140,490)	-	493,184
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**171,861**	**-**	**778,048**	**7,567**	**957,475**

2025
10.1(d)
Motor

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	257,204	-	111,584	15,539	384,327
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	257,204	-	111,584	15,539	384,327
Allocation of reinsurance premiums	(230,689)	-	-	-	(230,689)
Amount recoverable from reinsurers for Incurred claims	-	-	150,164	8,440	158,604
Changes to amounts recoverable for incurred claims	-	-	48,144	8,440	56,584
Recoveries on incurred claims and other expenses	-	-	102,020	-	102,020
Net income or expense from reinsurance contracts held	(230,689)	-	150,164	8,440	(72,085)
Reinsurance finance income	-	-	48,569	-	(1,573)
Total changes in the statement of comprehensive income	(230,689)	-	198,733	8,440	(23,516)
Cash flows					
Premiums paid	48,527	-	-	-	48,527
Amounts received	-	-	(102,020)	-	(102,020)
Total cash flows	48,527	-	(102,020)	-	(53,493)
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**75,042**	**-**	**208,297**	**23,979**	**307,318**

2024
Motor

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	54,487	-	116,868	17,693	189,047
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	54,487	-	116,868	17,693	189,047
Allocation of reinsurance premiums	(169,556)	-	-	-	(169,556)
Amounts recovery for Incurred claims and other expenses	-	-	378,030	(2,154)	375,876
Changes to amounts recoverable for incurred claims		-	(3,711)	(2,154)	(5,865)
Recoveries on incurred claims and other expenses	-	-	381,741	-	381,741
Net income or expense from reinsurance contracts held	(169,556)	-	378,030	(2,154)	206,320
Reinsurance finance income	-	-	(1,573)	-	(1,573)
Total changes in the statement of comprehensive income	(169,556)	-	376,457	(2,154)	204,747
Cash flows					
Premiums paid	372,274	-	-	-	372,274
Amounts received	-	-	(381,741)	-	(381,741)
Total cash flows	372,274	-	(381,741)	-	(9,467)
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**257,204**	**-**	**111,584**	**15,539**	**384,327**

2025

10.1(e) **Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims**

Fire

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	1,092,491	81,116	1,120,151
Reinsurance contract liabilities as at beginning of period	(53,456)	-	-	-	(53,456)
Net reinsurance contract assets/(liabilities) as at beginning	(53,456)	-	1,092,491	81,116	1,120,151
Changes in assets for remaining coverage	(11,704)	-	-	-	(11,704)
Changes in fees & commission for remainig coverage.	12,519	-	-	-	12,519
Reinsurance Premiums	(1,605,010)	-	-	-	(1,605,010)
Allocation of reinsurance premiums	(1,604,195)	-	-	-	(1,604,195)
Changes to amounts recoverable for incurred claims	-	-	(465,352)	24,192	(441,160)
Recoveries on incurred claims and other expenses	-	-	377,779	-	377,779
Net income or expense from reinsurance contracts held	(1,123,734)	-	(87,573)	24,192	(1,187,115)
Reinsurance finance income	-	-	348,907	-	348,907
Total changes in the statement of comprehensive income	(1,123,734)	-	261,334	24,192	(838,208)
Cash flows	-	-	-	-	-
Premiums paid	1,354,553	-	-	-	1,354,553
Amounts received	-	-	(377,790)	-	(377,790)
Total cash flows	1,354,553	-	(377,790)	-	976,763
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**(303,098)**	**-**	**976,035**	**105,308**	**778,256**

2024

Fire **Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims**

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	1,820,590	237,844	2,058,434
Reinsurance contract liabilities as at beginning of period	(251,247)	-	-	-	(251,247)
Net reinsurance contract assets as at beginning	(251,247)	-	1,820,590	237,844	1,807,187
Allocation of reinsurance premiums	(1,123,734)	-	-	-	(1,123,734)
Amounts recovery for Incurred claims and other expenses	-	-	(260,250)	(156,728)	(416,978)
Changes to amounts recoverable for incurred claims		-	(703,929)	(156,728)	(860,657)
Recoveries on incurred claims and other expenses	-	-	443,679	-	443,679
Net income or expense from reinsurance contracts held	(1,123,734)	-	(260,250)	(156,728)	(1,540,712)
Reinsurance finance income	-	-	(24,172)	-	(24,172)
Total changes in the statement of comprehensive income	(1,123,734)	-	(284,422)	(156,728)	(1,564,884)
Cash flows	-	-	-	-	-
Premiums paid	1,321,525	-	-	-	1,321,525
Amounts received	-	-	(443,677)	-	(443,677)
Total cash flows	1,321,525	-	(443,677)	-	877,848
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**(53,456)**	**-**	**1,092,491**	**81,116**	**1,120,151**

10.1(f)
Oil & Gas

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	56,088	-	205,657	11,630	273,375
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at beginning	56,088	-	205,657	11,630	273,375
Allocation of reinsurance premiums	(5,502,489)	-	-	-	(5,502,489)
Amount recoverable from reinsurers for Incurred claims	-	-	(144,938)	(5,458)	(150,396)
Changes to amounts recoverable for incurred claims	-	-	(144,938)	(5,458)	(150,396)
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(5,502,489)	-	(144,938)	(5,458)	(5,652,885)
Reinsurance finance income	-	-	65,445	-	65,445
Total changes in the statement of comprehensive income	(5,502,489)	-	(79,493)	(5,458)	(5,587,440)
Cash flows					
Premiums paid	5,052,307	-	-	-	5,066,861
Amounts received	-	-	-	-	(126,293)
Total cash flows	5,052,307	-	-	-	5,052,307
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(394,094)**	**-**	**126,164**	**6,172**	**(261,758)**

2024
Oil & Gas

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	333,064	43,880	376,944
Reinsurance contract liabilities as at beginning of period	(307,090)	-	-	-	(307,090)
Net reinsurance contract assets/(liabilities) as at beginning	(307,090)	-	333,064	43,880	69,854
Allocation of reinsurance premiums	(4,703,684)	-	-	-	(4,703,684)
Amounts recovery for Incurred claims and other expenses	-	-	5,208	(32,250)	(27,042)
Changes to amounts recoverable for incurred claims		-	(121,086)	(32,250)	(153,336)
Recoveries on incurred claims and other expenses	-	-	126,294	-	126,294
Net income or expense from reinsurance contracts held	(4,703,684)	-	5,208	(32,250)	(4,730,725)
Reinsurance finance income	-	-	(6,322)	-	(6,322)
Total changes in the statement of comprehensive income	(4,703,684)	-	(1,114)	(32,250)	(4,737,047)
Cash flows					
Premiums paid	5,066,861	-	-	-	5,066,861
Amounts received	-	-	(126,293)	-	(126,293)
Total cash flows	5,066,861	-	(126,293)	-	4,940,568
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**56,088**	**-**	**205,657**	**11,630**	**273,375**

10.1(g)
Aviation

2025

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	36,162	-	857,429	65,895	959,487
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at beginning	36,162	-	857,429	65,895	959,487
Allocation of reinsurance premiums	(137,110)	-	-	-	(137,110)
Amount recoverable from reinsurers for Incurred claims	-	-	(85,941)	(25,341)	(111,282)
Changes to amounts recoverable for incurred claims	-	-	(634,765)	(25,341)	(660,106)
Recoveries on incurred claims and other expenses	-	-	548,824	-	548,824
Net income or expense from reinsurance contracts held	(137,110)	-	(85,941)	(25,341)	(248,392)
Reinsurance finance income	-	-	247,128	-	247,128
Total changes in the statement of comprehensive income	(137,110)	-	161,187	(25,341)	(1,264)
Cash flows	-	-	-	-	-
Premiums paid	83,676	-	-	-	83,676
Amounts received	-	-	(548,824)	-	(548,824)
Total cash flows	83,676	-	(548,824)	-	-
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(17,272)**	**-**	**469,792**	**40,554**	**493,074**

2024
Aviation

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	50,222	6,629	56,851
Reinsurance contract liabilities as at beginning of period	(149,579)	-	-	-	(149,579)
Net reinsurance contract assets/(liabilities) as at beginning	(149,579)	-	50,222	6,629	(92,728)
Allocation of reinsurance premiums	(968,033)	-	-	-	(968,033)
Amounts recovery for Incurred claims and other expenses	-	-	838,341	59,266	897,607
Changes to amounts recoverable for incurred claims		-	838,341	59,266	897,607
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(968,033)	-	838,341	59,266	(70,426)
Reinsurance finance income	-	-	(31,133)	-	(31,133)
Total changes in the statement of comprehensive income	(968,033)	-	807,208	59,266	(101,559)
Cash flows	-	-	-	-	-
Premiums paid	1,153,774	-	-	-	1,153,774
Amounts received	-	-	-	-	-
Total cash flows	1,153,774	-	-	-	1,153,774
Net reinsurance contract assets/(liabilities) as at end	36,162.25	**-**	**857,429**	**65,895**	**959,487**

10.1(h)
Bond

2025

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	1,584	-	-	-	1,584
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract (liabilities) as at beginning	1,584	-	-	-	1,584
Allocation of reinsurance premiums	(3,072)	-	-	-	(3,072)
Amount recoverable from reinsurers for Incurred claims	-	-	-	-	-
Changes to amounts recoverable for incurred claims	-	-	-	-	-
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(3,072)	-	-	-	(3,072)
Reinsurance finance income	-	-	-	-	-
Total changes in the statement of comprehensive income	(3,072)	-	-	-	(2,622)
Cash flows	-	-	-	-	-
Premiums paid	(551)	-	-	-	(551)
Amounts received	-	-	-	-	-
Total cash flows	(551)	-	-	-	(551)
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(2,039)**	**-**	**-**	**-**	**(2,039)**

2024
Bond

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	-	-	-
Reinsurance contract liabilities as at beginning of period	(436)	-	-	-	(436)
Net reinsurance contract assets as at beginning	(436)	-	-	-	(436)
Allocation of reinsurance premiums	(2,622)	-	-	-	(2,622)
Amounts recovery for Incurred claims and other expenses	-	-	-	-	-
Changes to amounts recoverable for incurred claims		-	-	-	-
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(2,622)	-	-	-	(2,622)
Reinsurance finance income	-	-	-	-	-
Total changes in the statement of comprehensive income	(2,622)	-	-	-	(2,622)
Cash flows	-	-	-	-	-
Premiums paid	4,643	-	-	-	4,643
Amounts received	-	-	-	-	-
Total cash flows	4,643	-	-	-	4,643
Other movements	-	-	-	-	-
Net reinsurance contract (liabilities) as at end	**1,584**	**-**	**-**	**-**	**1,584**

10.1(i) **2025**

Agriculture

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	-	-	820	140	960
Reinsurance contract liabilities as at beginning of period	(309)	-		-	(309)
Net reinsurance contract assets as at beginning	(309)	-	820	140	651
Allocation of reinsurance premiums	(6,383)	-	-	-	(6,383)
Amount recoverable from reinsurers for Incurred claims	-	-	(666)	(122)	(788)
Changes to amounts recoverable for incurred claims	-	-	(666)	(122)	(788)
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(6,383)	-	(666)	(122)	(7,171)
Reinsurance finance income	-	-	263	-	263
Total changes in the statement of comprehensive income	(6,383)	-	(403)	(122)	(6,908)
Cash flows	-	-	-	-	-
Premiums paid	2,934	-	-	-	5,390
Amounts received	-	-	-	-	-
Total cash flows	2,934	-	-	-	2,934
Other movements	-	-	-	-	-
Net reinsurance contract assets/(liabilities) as at end	**(3,758)**	**-**	**417**	**18**	**(3,323)**

2024

Agriculture

Reconciliation of reinsurance contract assets for remaining coverage and amount recoverable on incurred claims

	Asset for remaining coverage		Amount recoverable on Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Reinsurance contract assets as at beginning of period	818	-	7,386	973	9,177
Reinsurance contract liabilities as at beginning of period	-	-	-	-	-
Net reinsurance contract assets as at beginning	818	-	7,386	973	9,177
Allocation of reinsurance premiums	(6,517)	-	-	-	(6,517)
Amounts recovery for Incurred claims and other expenses	-	-	(6,641)	(833)	(7,474)
Changes to amounts recoverable for incurred claims		-	(6,641)	(833)	(7,474)
Recoveries on incurred claims and other expenses	-	-	-	-	-
Net income or expense from reinsurance contracts held	(6,517)	-	(6,641)	(833)	(13,991)
Reinsurance finance income	-	-	75	-	75
Total changes in the statement of comprehensive income	(6,517)	-	(6,566)	(833)	(13,916)
Cash flows	-	-	-	-	-
Premiums paid	5,390	-	-	-	5,390
Amounts received	-	-	-	-	-
Total cash flows	5,390	-	-	-	5,390
Other movements	-	-	-	-	-
Net reinsurance contract assets as at end	**(309)**	**-**	**820**	**140**	**651**

Notes to the financial statements-continued
10.2

Roll-forward of net asset or liability for insurance contracts issued showing the liability for remaining coverage and the liability for incurred claims.

The Company disaggregates information to provide disclosure in respect of major product lines separately. This disaggregation has been determined based on how the company is managed.

2025 — **Comprehensive reconciliation of the LFRC and the LFIC for insurance contracts**

	Liabilities for remaining coverage		Liability for Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**5,766,493**	**290,657**	**10,473,844**	**855,994**	**17,386,988**
Insurance revenue	(27,728,309)	97,622	-	-	(27,630,687)
Incurred claims expenses	-	-	5,946,535	-	5,946,535
Other insurance service expense	-	-	2,199,857	-	2,199,857
Amortisation of insurance acquisition cash flows	9,665,016	-	-	-	9,665,016
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(2,822,632)	93,678	(2,728,954)
Insurance service expenses	**9,665,016**	**-**	**5,323,760**	**93,678**	15,082,454
Insurance service result before reinsurance contract held	**(18,063,293)**	**97,622**	**5,323,760**	**93,678**	(12,548,233)
Insurance finance expenses	-	-	3,640,388	-	3,640,388
Total changes in the statement of comprehensive income	(18,063,293)	97,622	8,964,148	93,678	(8,907,845)
Cash flows	-	-	-	-	-
Premiums received	27,873,378	-	-	-	27,873,378
Claims paid	-	-	(5,946,533)	-	(5,946,533)
Other expenses paid (share of management expenses)	-	-	(2,199,857)	-	(2,199,857)
Insurance acquisition cash flows	(9,259,946)	-	-	-	(9,259,946)
Total cash flows	18,613,432	-	(8,146,390)	-	10,467,043
Other movements	**(668,445)**	**-**	**-**	**-**	**(668,445)**
Insurance contract liabilities as at end of period	**5,648,187**	**388,279**	**11,291,602**	**949,672**	**18,277,740**

2024 — **Comprehensive reconciliation of the LFRC and the LFIC for insurance contracts**

	Liabilities for remaining coverage		Liability for Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
Net insurance contract liabilities as at beginning	**3,981,244**	**14,475**	**10,024,351**	**1,320,718**	**15,340,788**
Insurance revenue	22,505,281	(276,182)	-	-	**22,229,099**
Incurred claims expenses	-	-	(4,578,686)	-	(4,578,686)
Other insurance service expense	-	-	(2,115,580)	-	(2,115,580)
Amortisation of insurance acquisition cash flows	(8,023,461)	-	-	-	(8,023,461)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(718,586)	464,725	(253,861)
Insurance service expenses	**(8,023,461)**	**-**	**(7,412,852)**	**464,725**	**(14,971,588)**
Insurance service result for insurance contract issued	**14,481,820**	**(276,182)**	**(7,412,852)**	**464,725**	**7,257,511**
Insurance finance expenses	-	-	269,094	-	269,094
Total changes in the statement of comprehensive income	14,481,820	(276,182)	(7,143,758)	464,725	7,526,605
Cash flows	-				
Premiums received	24,044,367	-	-	-	24,044,367
Claims paid	-	-	(4,578,686)	-	(4,578,686)
Other expenses paid	-	-	(2,115,580)	-	(2,115,580)
Insurance acquisition cash flows	(8,469,025)	-	-	-	(8,469,025)
Total cash flows	15,575,342	-	(6,694,266)	-	8,881,076
Other movements	**691,728**	**-**	**-**	**-**	**691,728**
Insurance contract liabilities as at end of period	**5,766,493**	**290,657**	**10,473,844**	**855,994**	**17,386,988**

	2025	2024
Assets for Insurance Acquisition Cashflow	₦'000	₦'000
Opening Balance	445,564	-
Amounts incurred during the year	9,259,946	8,469,025
Amounts derecognised and included in the measurement of insurance contract	(9,665,016)	(8,023,461)
Closing Balance	**40,494**	**445,564**

Notes to the financial statements-continued

The following table sets out when the company expects to derecognise assets for insurance acquisition cashflows after the reporting date

in thousands of Naira	**Non-life**
31 December 2025	
Less than one year	40,494
31 December 2024	
Less than one year	445,564

2025 **Reconciliation of the LFRC and the LFIC for insurance contracts - Accident**

10.2(a)

	Liabilities for remaining coverage		**Liability for Incurred Claims**		
	component	**component**	**cash flow**	**Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Net insurance contract liabilities as at beginning	410,989	-	1,987,247	230,718	2,628,954
Insurance revenue	2,568,920	(91,887)	-	-	2,477,033
Incurred claims expenses	-	-	(860,811)	-	(860,811)
Other insurance service expenses	-	-	(209,309)	-	(209,309)
Amortisation of insurance acquisition cash flows	(990,171)	-	-	-	(990,171)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(703,002)	88,134	(614,868)
Investment components	-	-	-	-	-
Insurance service expenses	**(990,171)**	**-**	**(1,773,122)**	**88,134**	**(2,675,159)**
Insurance service result before reinsurance contract held	1,578,749	(91,887)	(1,773,122)	88,134	(198,126)
Insurance finance expenses	-	-	751,871	-	751,871
Total changes in the statement of comprehensive income	1,578,749	(91,887)	(1,021,251)	88,134	553,745
Cash flows	-	-	-	-	-
Premiums received	2,843,411	-	-	-	2,843,411
Claims paid	-	-	(285,207)	-	(285,207)
Other expenses paid (share of management expenses)	-	-	(209,309)	-	(209,309)
Insurance acquisition cash flows	(993,496)	-	-	-	(993,496)
Total cash flows	1,849,915	-	(494,516)	-	1,355,399
Other movements	(255,704)	-	-	-	(255,704)
Insurance contract liabilities as at end of period	**426,451**	**91,887**	**2,513,982**	**318,852**	**3,351,172**

2024 **Reconciliation of the LFRC and the LFIC for insurance contracts - Accident**

	Liabilities for remaining coverage		**Liability for Incurred Claims**		
	Non - loss component	**Loss component**	**PV of future cash flow**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Net insurance contract liabilities as at beginning	**311,546**	**14,476**	**2,058,248**	**354,148**	**2,738,418**
Insurance revenue	1,883,716	14,476	-	-	**1,898,192**
Incurred claims expenses	-	-	(784,903)	-	(784,903)
Other insurance service expenses	-	-	(171,166)	-	(171,166)
Amortisation of insurance acquisition cash flows	(757,209)	-	-	-	(757,209)
Changes to liabilities for incurred claims	-	-	44,644	123,430	168,074
Insurance service expenses	**(757,209)**	**-**	**(911,425)**	**123,430**	**(1,545,204)**
Insurance service result	**1,126,507**	**14,476**	**(911,425)**	123,430	352,988
Insurance finance expenses	-	-	26,357	-	26,357
Total changes in the statement of comprehensive income	1,126,507	14,476	(885,068)	123,430	379,345
Cash flows	-	-	-	-	-
Premiums received	1,996,809	-	-	-	1,996,809
Claims paid	-	-	(784,903)	-	(784,903)
Other expenses paid	-	-	(171,166)	-	(171,166)
Insurance acquisition cash flows	(775,377)	-	-	-	(775,377)
Total cash flows	**1,221,432**	**-**	**(956,069)**	**-**	265,364
Other movements	4,518	-	-	-	4,518
Net insurance contract liabilities as at end	**410,989**	**-**	**1,987,247**	**230,718**	**2,628,954**

2025

10.2(b) **Reconciliation of the LFRC and the LFIC for insurance contracts - Engineering**

	Liabilities for remaining coverage		Liability for Incurred claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	489,768	31,352	1,024,517	147,837	1,693,474
Insurance revenue	1,940,165	(108,008)	-	-	1,832,157
Incurred claims expenses	-	0	(448,904)	-	(448,904)
Other insurance service expenses	-	-	(153,767)	-	(153,767)
Amortisation of insurance acquisition cash flows	(669,817)	-	-	-	(669,817)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	28,603	(50,998)	(22,395)
Investment components	-	-	-	-	-
Insurance service expenses	**(669,817)**	**-**	**(574,068)**	**(50,998)**	**(1,294,883)**
Insurance service result before reinsurance contract held	1,270,347	(108,008)	(574,068)	(50,998)	537,274
Insurance finance expenses	-	-	370,859	-	370,859
Total changes in the statement of comprehensive income	1,270,347	(108,008)	(203,209)	(50,998)	908,133
Cash flows	-	-	-	-	-
Premiums received	2,155,348	-	-	-	2,155,348
Claims paid	-	-	(48,904)	-	(48,904)
Other expenses paid (share of management expenses)	-	-	(80,911)	-	(80,911)
Insurance acquisition cash flows	(638,663)	-	-	-	(638,663)
Total cash flows	1,516,685	-	(129,815)	-	1,386,870
Other movements	(255,702)	-	-	-	(255,702)
Insurance contract liabilities as at end of period	**480,403**	**76,656**	**1,097,911**	**96,839**	**1,751,809**

2024

10.2(b) **Reconciliation of the LFRC and the LFIC for insurance contracts - Engineering**

	Liabilities for remaining coverage		Liability for Incurred Claims		Total
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**251,819**	**-**	**301,909**	**63,675**	**617,403**
Insurance revenue	1,253,152	(31,352)	-	-	1,221,800
Incurred claims expenses	-	-	(132,551)	-	(132,551)
Other insurance service expenses	-	-	(132,623)	-	(132,623)
Amortisation of insurance acquisition cash flows	(474,726)	-	-	-	(474,726)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(749,952)	(84,162)	(834,114)
Insurance service expenses	**(474,726)**	**-**	**(1,015,126)**	**(84,162)**	**(1,574,015)**
Insurance service result before reinsurance contract held	778,426	(31,352)	(1,015,126)	(84,162)	(352,215)
Insurance finance expenses	-	-	27,344	-	27,344
Total changes in the statement of comprehensive income	**778,426**	**(31,352)**	**(987,782)**	**(84,162)**	**(324,871)**
Cash flows					
Premiums received	1,546,307	-	-	-	1,546,307
Claims paid	-	-	(132,551)	-	(132,551)
other expenses paid	-	-	(132,623)	-	(132,623)
Insurance acquisition cash flows	(534,301)	-	-	-	(534,301)
Total cash flows	1,012,006	-	(265,174)	-	746,832
Other movements	**4,369**	**-**	**-**	**-**	4,369
Insurance contract liabilities as at end of period	**489,768**	**31,352**	**1,024,517**	**147,837**	**1,693,474**

2025

10.2(c) **Reconciliation of the LFRC and the LFIC for insurance contracts - Marine**

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	402,111	-	1,597,234	15,536	2,014,881
Insurance revenue	1,853,639	(9,900)	-	-	1,843,739
Incurred claims expenses	-	-	(342,594)	-	(342,594)
Other insurance service expenses	-	-	(143,780)	-	(143,780)
Amortisation of insurance acquisition cash flows	(672,484)	-	-	-	(672,484)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(401,479)	10,885	(390,594)
Insurance service expenses	**(672,484)**	**-**	**(887,853)**	**10,885**	**(1,549,453)**
Insurance service result before reinsurance contract held	1,181,155	(9,900)	(887,853)	10,885	294,286
Insurance finance expenses	-	-	561,589	-	561,589
Total changes in the statement of comprehensive income	1,181,155	(9,900)	(326,264)	10,885	855,875
Cash flows	-	-	-	-	-
Premiums received	2,031,635	-	-	-	2,031,635
Claims paid	-	-	(342,594)	-	(342,594)
Other expenses paid (share of management expenses)	-	-	(143,780)	-	(143,780)
Insurance acquisition cash flows	(651,166)	-	-	-	(651,166)
Total cash flows	1,380,469	-	(486,374)	-	894,094
Other movements	(255,702)	-	539,821	-	284,119
Insurance contract liabilities as at end of period	**345,723**	**9,900**	**1,976,945**	**26,421**	**2,358,989**

2024

10.2(c) **Reconciliation of the LFRC and the LFIC for insurance contracts - Marine**

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**229,353**	**-**	**1,094,400**	**39,112**	**1,362,865**
Insurance revenue	1,609,003	-	-	-	1,609,003
Incurred claims expenses	-	-	(643,092)	-	(643,092)
Other insurance service expenses	-	-	(155,523)	-	(155,523)
Amortisation of insurance acquisition cash flows	(608,560)	-	-	-	(608,560)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(557,403)	23,576	(533,827)
Insurance service expenses	**(608,560)**	-	**(1,356,018)**	**23,576**	**(1,941,002)**
Insurance service result before reinsurance contract held	1,000,443	-	(1,356,018)	23,576	(331,999)
Insurance finance expenses	-	-	54,569	-	54,569
Total changes in the statement of comprehensive income	1,000,443	-	(1,301,449)	23,576	(277,430)
Cash flows					
Premiums received	1,817,309	-	-	-	1,817,309
Claims paid	-	-	(643,092)	-	(643,092)
other expenses paid	-	-	(155,523)	-	(155,523)
Insurance acquisition cash flows	(645,228)	-	-	-	(645,228)
Total cash flows	1,172,081	-	(798,615)	-	373,466
Other movements	**1,120**	-	**-**	**-**	1,120
Insurance contract liabilities as at end of period	**402,111**	-	**1,597,234**	**15,536**	**2,014,881**

2025
10.2(d)

Reconciliation of the LFRC and the LFIC for insurance contracts - Motor

	Liabilities for remaining coverage		Liability for Incurred Claims		
	component	component	cash flow	Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	1,323,043	-	724,236	100,852	2,148,131
Insurance revenue	7,280,478	(138,528)	-	-	7,141,950
Incurred claims expenses	-	0	(2,037,344)	-	(2,037,344)
Other insurance service expenses	-	-	(660,091)	-	(660,091)
Amortisation of insurance acquisition cash flows	(2,792,010)	-	-	-	(2,792,010)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(737,265)	54,776	(682,489)
Investment components	-	-	-	-	-
Insurance service expenses	**(2,792,010)**	**(138,528)**	**(3,434,700)**	**54,776**	**(6,310,462)**
Insurance service result before reinsurance contract held	4,488,468	(138,528)	(3,434,700)	54,776	970,016
Insurance finance expenses	-	-	315,234	-	315,234
Total changes in the statement of comprehensive income	4,488,468	(138,528)	(3,119,466)	54,776	**1,285,250**
Cash flows	-	-	-	-	-
Premiums received	8,172,031	-	-	-	4,956,242
Claims paid	-	-	(2,037,344)	-	(1,222,288)
Other expenses paid (share of management expenses)	-	-	(454,410)	-	(428,291)
Insurance acquisition cash flows	(2,879,443)	-	-	-	(1,592,555)
Total cash flows	5,292,588	-	(2,491,754)	-	2,800,834
Other movements		-	-	-	-
Net insurance contract liabilities as at end	**2,127,163**	**138,528**	**1,351,948**	**155,628**	**3,773,267**

2024

Reconciliation of the LFRC and the LFIC for insurance contracts - Motor

	Liabilities for remaining coverage		Liability for Incurred Claims		
	component	component	cash flow	Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	1,383,324	-	871,588	141,145	**2,396,057**
Insurance revenue	5,073,032	-	-	-	5,073,032
Incurred claims expenses	-	-	(1,222,288)	-	(1,222,288)
Other insurance service expenses	-	-	(428,291)	-	(428,291)
Amortisation of insurance acquisition cash flows	(1,597,583)	-	-	-	(1,597,583)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	137,053	40,293	177,346
Insurance service expenses	**(1,597,583)**	-	**(1,513,526)**	**40,293**	**(3,070,816)**
Insurance service result for insurance contract issued	**3,475,449**	-	**(1,513,526)**	**40,293**	**2,002,216**
Insurance finance expenses	-	-	10,299	-	10,299
Total changes in the statement of comprehensive income	3,475,449	-	(1,503,227)	40,293	2,012,515
Cash flows			-		
Premiums received	4,956,242	-	-	-	4,956,242
Claims paid	-	-	(1,222,288)	-	(1,222,288)
other expenses paid	-	-	(428,291)	-	(428,291)
Insurance acquisition cash flows	(1,592,555)	-	-	-	(1,592,555)
Total cash flows	3,363,687	-	(1,650,579)	-	1,713,108
Other movements	51,481	-	-	-	51,481
Insurance contract liabilities as at end of period	**1,323,043**	-	**724,236**	**100,852**	**2,148,131**

2025

10.2(e)

Reconciliation of the LFRC and the LFIC for insurance contracts - Fire

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**791,233**	**-**	**1,935,814**	**757,833**	**3,484,880**
Insurance revenue	4,509,403	(8,602)	-	-	4,500,801
Incurred claims expenses	-	0	(947,474)	-	(947,474)
Other insurance service expenses	-	-	(368,292)	-	(368,292)
Amortisation of insurance acquisition cash flows	(1,631,982)	-	-	-	(1,631,982)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	120,600	42,867	163,467
Investment components	-	-	-	-	-
Insurance service expenses	**(1,631,982)**	**(8,602)**	**(1,195,166)**	**42,867**	**(2,792,883)**
Insurance service result before reinsurance contract held	2,877,421	(8,602)	(1,195,166)	42,867	1,716,520
Insurance finance expenses	-	-	618,238	-	618,238
Total changes in the statement of comprehensive income	2,877,421	(8,602)	(576,928)	42,867	2,334,758
Cash flows	-	-	-	-	-
Premiums received	4,843,423	-	-	-	4,843,423
Claims paid	-	-	(416,214)	-	(416,214)
Other expenses paid (share of management expenses)	-	-	(368,292)	-	(368,292)
Insurance acquisition cash flows	(1,649,156)	-	-	-	(1,649,156)
Total cash flows	3,194,267	-	(784,506)	-	2,409,761
Effect of opening balance	(286,222)	62,705	1,247	(614,099)	(836,369)
Net insurance contract liabilities as at end	821,857	71,307	1,729,483	186,601	2,809,248

2024

Reconciliation of the LFRC and the LFIC for insurance contracts - Fire

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**706,308**	**-**	**3,089,302**	**450,783**	**4,246,394**
Insurance revenue	3,727,608	-	-	-	3,727,608
Incurred claims expenses	-	-	(963,035)	-	(963,035)
Other insurance service expenses	-	-	(328,081)	-	(328,081)
Amortisation of insurance acquisition cash flows	(1,253,799)	-	-	-	(1,253,799)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	1,111,076	307,050	1,418,126
Insurance service expenses	**(1,253,799)**	-	**(180,040)**	**307,050**	**(1,126,788)**
Insurance service result for insurance contract issued	2,473,809	-		307,050	2,780,859
Insurance finance expenses	-	-	42,411	-	42,411
Total changes in the statement of comprehensive income	2,473,809	-	(137,629)	307,050	2,823,270
Cash flows	-	-	-	-	-
Premiums received	3,836,035	-	-	-	3,836,035
Claims paid	-	-	(963,036)	-	(963,036)
other expenses paid	-	-	(328,081)	-	(328,081)
Insurance acquisition cash flows	(1,277,301)	-	-	-	(1,277,301)
Total cash flows	**2,558,734**	-	**(1,291,117)**	**-**	**1,267,617**
Other movements	**-**	-	**-**	**-**	**-**
Insurance contract liabilities as at end of period	**791,233**	**-**	**1,935,814**	**757,833**	**3,484,880**

2025

10.2(f) **Reconciliation of the LFRC and the LFIC for insurance contracts - Oil and gas**

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**2,120,062**	**-**	**1,407,736**	**79,612**	**3,607,411**
Insurance revenue	9,155,999	-	-	-	9,155,999
Incurred claims expenses	-	-	(108,552)	-	(108,552)
Other insurance service expenses	-	-	(652,646)	-	(652,646)
Amortisation of insurance acquisition cash flows	(2,801,163)	-	-	-	(2,801,163)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(224,975)	249	(224,726)
Investment components	-	-	-	-	-
Insurance service expenses	**(2,801,163)**	**-**	**(986,173)**	**249**	**(3,787,087)**
Insurance service result before reinsurance contract held	6,354,836	-	(986,173)	249	5,368,911
Insurance finance expenses	-	-	504,325	-	504,325
Total changes in the statement of comprehensive income	6,354,836	-	(481,848)	249	5,873,236
Cash flows					
Premiums received	8,081,636	-	-	-	8,081,636
Claims paid	-	-	(108,552)	-	(108,552)
Other expenses paid (share of management expenses)	-	-	(148,819)	-	(148,819)
Insurance acquisition cash flows	(2,411,145)	-	-	-	(2,411,145)
Total cash flows	5,670,491	-	(257,371)	-	5,413,120
Other movements		-	-	-	-
Insurance contract liabilities as at end of period	**1,435,718**	**-**	**1,632,213**	**79,861**	**3,147,793**

2024

Reconciliation of the LFRC and the LFIC for insurance contracts - Oil and gas

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**1,008,346**	**-**	**2,279,727**	**242,049**	**3,530,123**
Insurance revenue	7,596,986	-	-	-	7,596,986
Incurred claims expenses	-	-	(471,257)	-	(471,257)
Other insurance service expenses	-	-	(768,760)	-	(768,760)
Amortisation of insurance acquisition cash flows	(2,811,253)	-	-	-	(2,811,253)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	828,782	162,437	991,219
Insurance service expenses	**(2,811,253)**	**-**	**(411,235)**	**162,437**	**(3,060,051)**
Insurance service result for insurance contract issued	**4,785,733**	**-**	**(411,235)**	**162,437**	**4,536,935**
Insurance finance expenses	-	-	43,210	-	43,210
Total changes in the statement of comprehensive income	4,785,733	-	(368,025)	162,437	4,580,145
Cash flows					
Premiums received	8,382,168	-	-	-	8,382,168
Claims paid	-	-	(471,256)	-	(471,256)
other expenses paid	-	-	(768,760)	-	(768,760)
Insurance acquisition cash flows	(3,091,162)	-	-	-	(3,091,162)
Total cash flows	5,291,006	-	(1,240,016)	-	4,050,990
Other movements	**606,443**	**-**	**-**	**-**	606,443
Insurance contract liabilities as at end of period	**2,120,062**	**-**	**1,407,736**	**79,612**	**3,607,411**

2025

10.2(g)

Reconciliation of the LFRC and the LFIC for insurance contracts - Aviation

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	216,756	259,306	1,786,191	137,272	2,399,525
Insurance revenue	393,497	259,306	-	-	652,803
Incurred claims expenses	-	0	(1,200,856)	-	(1,200,856)
Other insurance service expenses	-	-	(9,884)	-	(9,884)
Amortisation of insurance acquisition cash flows	(98,459)	-	-	-	(98,459)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	913,104	(52,790)	860,314
Investment components	-	-	-	-	-
Insurance service expenses	**(98,459)**	**259,306**	**(297,636)**	**(52,790)**	**(189,578)**
Insurance service result before reinsurance contract held	295,038	259,306	(297,636)	(52,790)	203,919
Insurance finance expenses	-	-	514,815	-	514,815
Total changes in the statement of comprehensive income	295,038	259,306	217,179	(52,790)	718,734
Cash flows	-	-	-	-	-
Premiums received	117,210	-	-	-	117,210
Claims paid	-	-	(580,462)	-	(580,462)
Other expenses paid (share of management expenses)	-	-	(9,884)	-	(9,884)
Insurance acquisition cash flows	(38,928)	-	-	-	(38,928)
Total cash flows	78,282	-	(590,346)	-	(512,063)
Other movements		-	-	-	-
Insurance contract liabilities as at end of period	**-**	**-**	**978,666**	**84,482**	**1,063,148**

2024

Reconciliation of the LFRC and the LFIC for insurance contracts - Aviation

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**79,279**	**-**	**314,384**	**27,935**	**421,598**
Insurance revenue	1,323,907	(259,306)	-	-	1,064,601
Incurred claims expenses	-	-	(361,560)	-	(361,560)
Other insurance service expenses	-	-	(127,974)	-	(127,974)
Amortisation of insurance acquisition cash flows	(506,244)	-	-	-	(506,244)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(1,537,225)	(109,336)	(1,646,561)
Insurance service expenses	**(506,244)**	**-**	**(2,026,759)**	**(109,336)**	**(2,642,340)**
Insurance service result for insurance contract issued	**817,663**	**(259,306)**	**(2,026,759)**	**(109,336)**	**(1,577,739)**
Insurance finance expenses	-	-	65,418	-	65,418
Total changes in the statement of comprehensive income	817,663	(259,306)	(1,961,341)	(109,336)	**(1,512,321)**
Cash flows					
Premiums received	1,494,510	-	-	-	1,494,510
Claims paid	-	-	(361,560)	-	(361,560)
other expenses paid	-	-	(127,974)	-	(127,974)
Insurance acquisition cash flows	(541,176)	-	-	-	(541,176)
Total cash flows	953,334	-	(489,534)	-	463,800
Other movements	**1,806**	**-**	**-**	**-**	1,806
Insurance contract liabilities as at end of period	**216,756**	**259,306**	**1,786,191**	**137,272**	**2,399,525**

2025

10.2(h)

Reconciliation of the LFRC and the LFIC for insurance contracts - Bond

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	Loss component	PV of future cash flow	Risk Adjustment	Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	7,172	-	8,251	200	15,624
Insurance revenue	6,958	-	-	-	6,958
Incurred claims expenses	-	-	-	-	-
Other insurance service expenses	-	-	(463)	-	(463)
Amortisation of insurance acquisition cash flows	(2,637)	-	-	-	(2,637)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(1,782)	759	(1,023)
Investment components	-	-	-	-	-
Insurance service expenses	**(2,637)**	**-**	**(2,245)**	**759**	**(4,123)**
Insurance service result	4,321	-	(2,245)	759	2,835
Insurance finance expenses	-	-	3,016	-	3,016
Total changes in the statement of comprehensive income	4,321	-	771	759	5,851
Cash flows	-	-	-	-	-
Premiums received	501	-	-	-	501
Claims paid	-	-	-	-	-
Other expenses paid (share of management expenses)	-	-	(463)	-	(463)
Insurance acquisition cash flows	2,924	-	-	-	2,924
Total cash flows	3,425	-	(463)	-	2,962
Other movements	(1,243)	-	2,740	-	1,497
Insurance contract liabilities as at end of period	5,033	-	9,757	959	15,750

2024

Reconciliation of the LFRC and the LFIC for insurance contracts - Bond

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component		PV of future cash flow		Total
	₦'000	₦'000	₦'000	₦'000	₦'000
Net insurance contract liabilities as at beginning	**9,178**	**-**	**2,413**	**322**	**11,913**
Insurance revenue	18,538	-	-	-	18,538
Incurred claims expenses	-	-	-	-	-
Other insurance service expenses	-	-	(1,242)	-	(1,242)
Amortisation of insurance acquisition cash flows	(5,727)	-	-	-	(5,727)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	(6,691)	122	(6,569)
Insurance service expenses	**(6,970)**	-	**(6,691)**	**122**	**(13,538)**
Insurance service result for insurance contract issued	**11,568**	**-**	**(6,691)**	**122**	**5,000**
Insurance finance expenses	-	-	(390)	-	**(390)**
Total changes in the statement of comprehensive income	11,568	-	(7,081)	122	**4,610**
Cash flows	-	-	-	-	**-**
Premiums received	14,525	-	-	-	**14,525**
Claims paid	-	-	-	-	-
other expenses paid	-	-	(1,242)	-	(1,242)
Insurance acquisition cash flows	(4,962)	-	-	-	(4,962)
Total cash flows	9,563	-	(1,242)	-	8,320
Other movements	**-**	**-**	**-**	**-**	**-**
Insurance contract liabilities as at end of period	**7,172**	**-**	**8,251**	**200**	**15,624**

2025

10.2 (i) **Reconciliation of the LFRC and the LFIC for insurance contracts - Agriculture**

	Liabilities for remaining coverage		Liability for Incurred Claims		
	component	**component**	**cash flow**	**Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Net insurance contract liabilities as at beginning	6,602	-	1,373	233	8,208
Insurance revenue	19,248	-	-	-	19,248
Incurred claims expenses	-	-	-	-	-
Other insurance service expenses	-	-	(1,626)	-	(1,626)
Amortisation of insurance acquisition cash flows	(6,276)	-	-	-	(6,276)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	1,086	(205)	881
Investment components	-	-	-	-	-
Insurance service expenses	**(6,276)**	**-**	**(540)**	**(205)**	**(7,021)**
Insurance service result before reinsurance contract held	12,971	-	(540)	(205)	12,227
Insurance finance expenses	-	-	441	-	441
Total changes in the statement of comprehensive income	12,971	-	(99)	(205)	12,668
Cash flows	-	-	-	-	-
Premiums received	13,079	-	-	-	13,079
Claims paid	-	-	-	-	-
Other expenses paid (share of management expenses)	-	-	(775)	-	(775)
Insurance acquisition cash flows	(871)	-	-	-	(871)
Total cash flows	12,208	-	(775)	-	11,433
Other movements		-	-	-	-
Net insurance contract liabilities as at end	**5,839**	**-**	**697**	**28**	**6,563**

2024 **Reconciliation of the LFRC and the LFIC for insurance contracts - Agriculture**

	Liabilities for remaining coverage		Liability for Incurred Claims		
	Non - loss component	**Loss component**	**PV of future cash flow**	**Risk Adjustment**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Net insurance contract liabilities as at beginning	**2,090**	**-**	**12,379**	**1,549**	**16,018**
Insurance revenue	19,339	-	-	-	19,339
Incurred claims expenses	-	-	-	-	-
Other insurance service expenses	-	-	(1,920)	-	(1,920)
Amortisation of insurance acquisition cash flows	(8,360)	-	-	-	(8,360)
Losses on onerous contracts and reversals of those losses	-	-	-	-	-
Changes to liabilities for incurred claims	-	-	11,130	1,316	12,446
Insurance service expenses	**(8,360)**	**-**	**9,210**	**1,316**	**2,165**
Insurance service result for insurance contract issued	**10,979**	**-**	**9,210**	**1,316**	**21,504**
Insurance finance expenses	-	-	(124)	-	**(124)**
Total changes in the statement of comprehensive income	10,979	-	9,086	1,316	**21,380**
Cash flows					
Premiums received	22,454	-	-	-	22,454
Claims paid	-	-	-	-	-
other expenses paid	-	-	(1,920)	-	(1,920)
Insurance acquisition cash flows	(6,963)	-	-	-	(6,963)
Total cash flows	15,491	-	(1,920)	-	13,571
Other movements	**-**	**-**	-	**-**	-
Insurance contract liabilities as at end of period	**6,602**	**-**	**1,373**	**233**	**8,208**

Notes to the financial statements - continued

11 The Age Analysis of Liability for Incurred Claims (excluding IBNR) as at 31 December 2025 is as follows

Age Analysis

	2025		2024	
	No of Claimants	**Amount (N'000)**	**No of Claimants**	**Amount (N'000)**
0-90 days	485	969,737	535	1,682,788
91-180 days	376	1,247,889	377	1,264,989
181 - 270 days	346	529,646	350	513,407
270 - 365 days	299	600,431	338	369,779
Above 365 days	4727	5,082,594	3829	4,051,077
Total	**6233**	**8,430,296**	**5429**	**7,882,041**

By reasons as follows:

2025

	0 - 90 days		**91 - 180 days**		**181 - 270 days**		**271- 365 days**		**above 365 days**		**Total**	
	Qty	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**
1 Discharged Voucher signed and returned to policy holders		-										
2 Discharge Vouchers not yet signed									6	100,784	6	100,784
3 Claims reported but incomplete documentation	484	958,137	373	1,215,889	346	529,646	294	501,623	4,700	4,859,968	6,197	8,065,262
4 Claims reported but being adjusted	1	11,600	2	7,000	-	-	2	88,515	12	35,935	17	143,050
5 Claims repudiated			1	25,000							1	25,000
6 Awaiting adjusters final report							1	2,792	2	80,325	3	83,117
7 Litigation awarded											-	-
8 Awaiting Lead Insurer’s instruction											-	-
9 Third party liability outstanding							1	7,129	1	1,000	2	8,129
10 Adjusters fee payable							1	372	6	4,581	7	4,953
11 Insured instructed has advices reopening		-									-	-
Total	485	969,737	376	1,247,889	346	529,646	299	600,431	4,721	4,981,810	6,227	8,430,296

2024	**0 - 90 days**		**91 - 180 days**		**181 - 270 days**		**271- 365 days**		**above 365 days**		**Total**	
	Qty	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**	**Qty**	**N'000**
1 Discharged Voucher signed and returned to policy holders		-							1	45,053	1	45,053
2 Discharge Vouchers not yet signed		-							2	970	2	970
3 Claims reported but incomplete documentation	534	1,576,226	377	1,264,989	350	513,407	338	369,779	3,812	3,994,349	5,411	7,718,751
4 Claims reported but being adjusted		-							12	9,305	12	9,305
5 Claims repudiated		-									-	-
6 Awaiting adjusters final report	1	106,562									1	106,562
7 Litigation awarded		-									-	-
8 Awaiting Lead Insurer’s instruction		-									-	-
9 Third party liability outstanding		-							1	1,000	1	1,000
10 Adjusters fee payable		-							1	400	1	400
11 Insured instructed has advices reopening		-									-	-
Total	535	1,682,788	377	1,264,989	350	513,407	338	369,779	3,829	4,051,077	5,429	7,882,041

Notes to the financial statements

For the year ended 31 December 2025

11 Premium receivables

	2025	2024
	N'000	**N'000**
Premium receivables from brokers	251,333	948,117
Less: ECL allowance	-	-
	251,333	948,117

Analysis of debtors in days

31-Dec-25	No of policies	Amount ₦'000
Days		
Within 14 days	74	104,829
Within 30 days	58	146,504
	132	**251,333**

31-Dec-24	No of policies	Amount ₦'000
Days		
Within 14 days	30	893,262
Within 30 days	37	54,855
	67	**948,117**

Movement in premium receivables

Financial assets

	2025	2024
	N'000	**N'000**
Opening Premium receivables	948,117	278,764
Gross written premium	27,252,019	24,736,095
Premiums received from policyholder	(27,873,378)	(24,044,368)
Premium received in advance	(75,425)	(22,374)
Closing Premium receivables	251,333	948,117

12 Other receivables and prepayments

Financial assets

	2025	2024
	N'000	**N'000**
Deposits with stock broker	-	111,662
Sundry receivables (see note i below)	2,281,695	834,170
	2,281,695	945,832

i) Breakdown of Sundry Receivables

		2025	2024
Investment of unclaimed dividends		180,916	68,505
Cash advance		5,224	2,450
Subrogation claims recovery		827,990	185,055
Receivables on matured investments (see note a below)		1,256,607	565,781
NIIP third party portal wallet		10,958	12,378
		2,281,695	834,170
Non financial assets			
Prepaid rent	(b)	8,437	13,425
Other prepaid expenses	(c)	212,192	190,124
Prepaid staff benefits	(d)	332,004	141,749
WHT receivable		212,690	150,185
		765,323	495,483
Total		3,047,018	1,441,315
Less: ECL allowance (see (e) below)		(243,142)	(177,556)
		2,803,876	1,263,759
Current		2,803,876	1,263,759
Non-current		-	
		2,803,876	1,263,759

Notes to the financial statements

For the year ended 31 December 2025

(a) Included in the breakdown of sundry receivables is the balance of receivables on matured investments (N 700m represents placements matured on 29 December 2025, and received subsequently, while N 556m represents balances and accrued interest on investments that are due but not yet received, this has been assessed for impairment.)

(b) Prepaid rent amount represents advanced payments for the rental of office spaces in branches across the country. The contractual lease term for each of the office spaces are 12 months (which is the period the firm has enforceable right of occupancy for the office spaces) and are renewable on an annual basis. The firm applies the 'short-term lease' recognition exemption for these leases.

(c) Other prepaid expenses include expenses incurred by the Company whose payments were made in advance but services have not been fully rendered within specific period intervals.

(d) Prepaid staff benefits represents amounts prepaid to staff of the Company with respect to rent advance, furniture grant , staff fleet premium advance, car loan encashment and management housing grant.

(e) ECL allowance

		2025	2024
		₦'000	₦'000
Opening balance		177,556	2,602
Write back		-	(2,602)
Impairment charge	see note 33	65,586	177,556
		243,142	**177,556**

13 Investment properties

	2025	2024
	₦'000	₦'000
At 1 January	340,000	220,000
Fair value gain on investment properties	-	120,000
At 31 December	340,000	340,000

(i) Rental income of N8.8million (2024: 3.5 million) was recognised during the year.

	Title documents	Value at cost	Value as at 2024	Fair value gain/loss	Value as at 2025	Asset pledged / free
		₦'000	₦'000	₦'000	₦'000	
1	9c Shekinah Green Estate, Apo District, Federal Capital Territory, Abuja	80,000	170,000	-	170,000	Free
2	11c Shekinah Green Estate, Apo District, Federal Capital Territory, Abuja	80,000	170,000	-	170,000	Free

The Company possesses Deeds of Conveyance for the investment properties 1 and 2 above.

Measurement of fair values

Fair value hierarchy of the investment properties are as follows:

	Quoted prices in active market	Significant observable inputs	Significant unobservable inputs	Total
	Level 1	Level 2	Level 3	
Date of valuation - 31 December 2025	₦'000	₦'000	₦'000	₦'000
Investment properties	-	-	340,000	340,000.0
Date of valuation - 31 December 2024				
Investment properties	-	-	340,000	340,000.0

The current use of the company's investment properties (i.e., for rental income generation) represents their highest and best use as required under IFRS 13 Fair Value Measurement. Accordingly, there is no difference between the assets' current use and their highest and best use.

Notes to the financial statements

For the year ended 31 December 2025

14 Investment properties - continued

Valuation technique and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of investment property as at 31 December 2025, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Fair Value Measurement Sensitivity to Unobservable Inputs
The fair values are determined by applying the direct market evidence comparative method of valuation to derive the open market value. This valuation model reflects the current price on actual transaction for similar properties in the neighborhood in recent time. References were made to prices of land and comparable properties in the neighborhood. The data obtained were analysed and adjustment was made to reflect differences in site area and the actual location, quality of construction and off-site facilities. The property is resident is the following address No. 11C Shekinah Green Estate, Apo District, Abuja. - No. 9C Shekinah Green Estate, Apo District, Abuja.	-Rentals for similar property - N6,000,000 -N8,000,000 -Rate of development in the area -Quality of the building and repairs. -Influx of people and/or businesses to the area - Price of similar property Abuja - N160,000,000 - N180,000,000	- The estimated fair value would increase by 5% (₦17 million) if the estimated rental growth increases by 5%. '- The estimated fair value would increase by 3% (₦10.2 million) if the rate of development in the area improves by 5%. '- The estimated fair value would increase by 4% (₦13.6 million) if the quality of the building improves by 5%. '- The estimated fair value would increase by 6% (₦20.4 million) if there is a 5% increase in population influx/demand in the area. '- Conversely, a decrease in these inputs would result in a corresponding decrease in fair value.

The valuation was done by Andy Bassey & Associate Estate Surveyors & Valuers with firm FRC number FRC/2012/0000000000487. The valuation report was signed by Andem Bassey (FNIVS, RSV) with FRC number FRC/2012/NIESV/00000000363.

15 Intangible assets

	2025	2024
	₦'000	₦'000
Cost		
Beginning of year	116,505	106,937
Additions during the year	-	9,568
End of year	116,505	116,505
Accumulated amortization:		
Beginning of year	82,597	73,836
Charge during the year	8,842	8,761
End of year	91,439	82,597
Carrying amounts		
Balance end of year	25,066	33,908

The intangible assets include computer software acquired for use in the Company's operation. The assets are usually amortized over their useful life most which do not exceed four (4) years. Useful life are reviewed at each financial year and adjusted if appropriate.

(i) The Company had no capital commitments as at 31 December 2025 (2024: Nil).
(ii) There were no capitalized borrowing costs related to the acquisition of intangible assets during the year (2024: Nil).
(iii) There are no restrictions on the Company's title to its intangible assets
(iv) All intangible assets are non-current.
(v) There are no impairment losses for the year (2024:Nil).
(vi) There were no disposals in the year (2024:nil)
(vii) There were no write offs during the year (2024: nil)

Notes to the financial statements

For the year ended 31 December 2025

16 Property and equipment

31 December 2025

Cost	Land	Building	Motor vehicles	Furniture & furniture	Office equipment	Capital (work in progress)	Total
	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000	N' 000
Balance at 1 January 2025	1,439,150	926,123	1,943,386	189,696	478,131	92,170	5,068,656
Additions	-	7,117	41,565	33,809	140,294	2,939	225,724
Disposal (vi)	-	-	(54,270)	(5,200)	(4,871)	-	(64,341)
Write off (vii)	-	-	-	(22,784)	(63,466)	-	(86,250)
Balance at 31 December 2025	1,439,150	933,240	1,930,681	195,521	550,088	95,109	5,143,789
Accumulated depreciation							
Balance at 1 January 2024	-	116,733	1,119,948	115,381	290,392	-	1,642,454
Charge for the year (see note 37)	-	19,260	344,285	27,282	82,696	-	473,523
Disposal (vi)	-	-	(54,270)	(4,900)	(3,242)	-	(62,412)
Write off (vii)				(22,784)	(63,466)		(86,250)
Balance at 31 December 2025	-	135,993	1,409,963	114,979	306,380	-	1,967,315
Net book value							
At 31 December 2025	1,439,150	797,247	520,718	80,542	243,708	95,109	3,176,474

Notes to the financial statements

For the year ended 31 December 2025

31 December 2024

	Land	**Building**	**Motor vehicles**	**Furniture & furniture**	**Office equipment**	**Capital (work in progress)**	**Total**
	N' 000	**N' 000**	**N' 000**	**N' 000**	**N' 000**	**N' 000**	**N' 000**
Cost							
Balance at 1 January 2024	1,439,150	581,182	1,988,558	167,999	320,938	275,881	4,773,707
Additions	-	1,063	67,228	78,381	159,596	160,167	466,435
Reclassification	-	343,878	-	1,240	(1,240)	(343,878)	-
Derecognition	-	-		(54,946)	-	-	(54,946)
Disposal	-	-	(112,400)	(2,978)	(1,163)	-	(116,541)
Write off	-	-	-	-	-	-	-
Balance at 31 December 2024	1,439,150	926,123	1,943,386	189,696	478,131	92,170	5,068,655
Accumulated depreciation							
Balance at 1 January 2024	-	103,957	824,687	157,201	235,613	-	1,321,458
Charge for the year (see note 37)	-	12,776	382,519	14,572	57,096	-	466,963
Reclassification	-			1,240	(1,240)	-	-
Derecognition	-			(54,946)		-	(54,946)
Disposal	-	-	(87,258)	(2,686)	(1,077)	-	(91,021)
Write off	-	-	-	-	-	-	-
Balance at 31 December 2024	-	116,733	1,119,948	115,381	290,392	-	1,642,454
Net book value							
At 31 December 2024	1,439,150	809,390	823,438	74,315	187,739	92,170	3,426,201

(i) The Company had no capital commitments as at 31 December 2025 (2024: Nil).

(ii) There were no capitalized borrowing costs related to the acquisition of property and equipment during the year (2024: Nil).

(iii) There are no restrictions on the Company's title to its property and equipment.

(iv) All property and equipment items are non-current.

(v) There are no impairment losses for the year (2024:Nil).

(vi) Disposal relates to sale of furniture, motor vehicle and office equipment. Proceeds from disposal was N14.158 million (2024:N55.643 million)

(vii) There was a write off relating to assets fully depreciated of N86.25million. These were approved by the Board (nil: 2024)

Notes to the financial statements-continued

16.1 Property and equipment

The fair value hierarchy of the property and equipment according IFRS 13 is shown below:

Class of PPE	31 December 2025			31 December 2024		
	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Land	-	-	1,439,150	-	-	1,439,150
Building	-	-	933,240	-	-	926,123
	-	**-**	**2,372,390**	**-**	**-**	**2,365,273**

In December 2023, the Company's land and buildings were revalued. The Company engaged the services of an independent valuer, Andy Bassey & Associate Estate Surveyors & Valuers (FRC/2012/0000000000487) and the report was signed by Andem Bassey (FNIVS, RSV) with (FRC/2012/NIESV/00000000363). The Company revalues its land and buildings every three years as stated in its accounting policy.

a) There were no capitalized borrowing costs related to the acquisition of property and equipment during the year.

b) In the opinion of the directors, the market value of the Company's property and equipment is not less than the value shown in the financial statements as at year end.

c) The Company had no capital commitments as at the reporting date (December 2024: nil).

d) There was no item of property and equipment that has been pledged as security for borrowings as at the year ended 31 December 2025 (December 2024: nil).

e) An impairment assessment was conducted and no impairment indicator was identified.

f) The Company revalued the items of property and equipment in 2023.

Below table shows the details of the property and equipment carried at revalued amount:

Fair value hierarchy of the property and equipments are as follows:

Date of valuation - 31 December 2023	Quoted prices in active market Level 1 ₦'000	Significant observable inputs Level 2 ₦'000	Significant unobservable inputs Level 3 ₦'000	Total ₦'000
Land and building	-	-	2,372,390	2,372,390

Valuation technique and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of property, plant and equipment as at 31 December 2023, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
The fair values are determined by applying the direct market evidence comparative method of valuation to derive the open market value. This valuation model reflects the current price on actual transaction for similar properties in the neighborhood in recent time. References were made to prices of land and comparable properties in the neighborhood. The data obtained were analysed and adjustment was made to reflect differences in site area and the actual location, quality of construction and off-site facilities. The properties are in the following addresses -No. 11C Shekinah Green Estate, Apo District, Abuja. - Linkage Plaza, Plot 20, Block 94, Lekki Scheme 1, Lekki-Epe Expressway, Eti-Osa L.G.A., Lagos State. (Office building complex on three floors. A Development land and other ancillary structures) - Linkage House, No. 11A, Coker Road, Ilupeju, Lagos State. - Central Business District, Swali-Attisa, Yenogoa L.G.A., Bayelsa State (Plot of land) - Plot 1 Trans Amadi Layout, along Port Harcourt – Aba Express Road, Port Harcourt, Rivers State. (Land).	-Rentals for similar property - N4,500,000 - N5,000,000 '-Rate of development in the area - N10,000,000 - N15,000,000 per annum 'Construction costs of similar office buildings - N350,000 - N400,000 per square meters '-Influx of people and/or businesses to the area '- Price of plot of land in the neighborhood Bayelsa - 15,000,000 '- Price of similar property Abuja - 100,000,000 -120,000,000	The estimated fair value would increase (decrease) if the rate of development in the area increases (decreases), quality of the building increases (decreases), influx of people and/or business to the area increases (decreases).

The valuation was done by Andy Bassey & Associate Estate Surveyors & Valuers with firm FRC number FRC/2012/0000000000487. The effective date of valuation was at 31st December 2023. The valuation report was signed by Andem Bassey (FNIVS, RSV) with FRC number FRC/2012/NIESV/00000000363.

Notes to the financial statements-continued

Name of property	Date of acquisition	Title document	Location	Carrying amount	Steps taken for perfection of document
Land and Building In Lekki express way	20-Nov-05	Deed of Assignment	Plot 20, Block 94, Lekki express way	1,338,976	Lagos State Governor Consent obtained on 26/09/2016
Land and Building at Ilupeju	12-Mar-02	Deed of Assignment	11A, Coker road, ilupeju, Lagos State	252,883	The company had applied to register the deed of assignment with the Lagos State Lands Registry
Land in Yenagoa	30-Apr-12	Letter of allocation by Bayelsa State Government	Central business district Swali, Yenagoa, Bayelsa State	72,150	The company had applied to register the allocation letter with the Bayelsa State Lands Registry
Linkage Millennium Tower, Port Harcourt	26-Sep-03	Deed of Assignment	Amadi layout along Port Harcourt/ Aba Express road	228,000	The company had applied to register the deed of assignment with the Rivers State Ministry of Lands
				1,892,009	

f) Land and building: historical costs

The Company has adopted the carrying value of land and buildings as at 1 January 2012 as the deemed cost of the assets. This represents the cost of the assets when the Company first adopted IFRS. If land and building were stated on the historical cost basis, the carrying amounts as at 31 December 2025 would be as follows:

	Land	Buildings
	₦'000	**₦'000**
Cost	1,439,150	933,240
Accumulated depreciation	-	(135,993)
Carrying amount	**1,439,150**	**797,247**

2024

	Land	Buildings
	₦'000	**₦'000**
Cost	1,439,150	926,123
Accumulated depreciation	-	(116,733)
Carrying amount	1,439,150	809,389

Notes to the financial statements

For the year ended 31 December 2025

17 Right-of-use assets

The Company has rent contracts on properties in Uyo, Calabar and Yenagoa branches used in carrying out business operations and their lease payments have been paid in advance.

	2025	2024
Building	**N'000**	**N'000**
Balance, beginning of year	37,487	35,387
Additions/remeasurements during the year	29,700	2,100
Balance, end of year	67,187	37,487
Depreciation		
Balance, beginning of year	29,607	21,878
Charge for the year (See note 37)	14,780	7,729
Balance, end of year	44,387	29,607
Net book value	22,800	7,880
Non-current	22,800	7,880

18 Statutory deposit

(a) This represents amounts deposited with the Central Bank of Nigeria (CBN) pursuant to Section 5.3(c) of the NIIRA 2025, Act. The balance in the account as at year end was:

	2025	2024
	N'000	**N'000**
Statutory deposit	770,000	700,000

The statutory deposit represents amounts deposited with the Central Bank of Nigeria (CBN) pursuant to Section 5.3(c) of the NIIRA 2025. The amount is not available for the day-to-day funding operations of the Company. It is therefore regarded as restricted cash. The deposit does not have a fixed maturity date and is not repayable on demand, as it can only be accessed subject to regulatory approval (e.g., upon cessation of operations). While the deposit earns interest, such interest is at the discretion of the CBN and not contractually guaranteed.

19 Other technical liabilities

	2025	2024
	N'000	**N'000**
Commission payables to brokers	517,949	470,864
Premium received in advance	75,425	22,374
Other payables to agents and brokers (a)	73,134	102,544
Sundry deposits*	801,361	623,081
	1,467,869	1,218,863

*Sundry Deposits represents customer or intermediary payments received by the insurer for which the payer, policy number, or purpose cannot be immediately identified (i.e missing remittance advice, no policy reference on the cheque, unclear narration).

(a) Other payables to agents and brokers represents business acquisition costs payable to agents and brokers as at 31 December 2025 (2024: ₦103 million)

Non-financial liabilities	2025	2024
	N'000	**N'000**
Premium received in advance	75,425	22,374
	75,425	22,374

Financial liabilities	2025	2024
	N'000	**N'000**
Commission payables to brokers	517,949	470,864
Other payables to agents and brokers (a)	73,134	102,544
Sundry deposits	801,361	623,081
	1,392,444	1,196,489

Movement in other technical liabilities

	2025	2024
	N'000	**N'000**
At 1 January	1,218,863	1,270,491
Additions	1,339,475	-
Payments made in the year	(1,090,479)	(51,628)
	1,467,859	1,218,863

Notes to the financial statements

For the year ended 31 December 2025

20 Other payables

		2025	2024
		N'000	N'000
Due to auditors		32,250	26,724
NAICOM levy		272,520	247,361
Expenses payable	20(a)	288,169	1,165,756
Other payables	20.1	140,797	67,407
		733,736	1,507,248
Provision for litigation	20(b)	343,000	343,000
		1,076,736	1,850,248
Current		733,736	1,507,248
Non-current		343,000	343,000
		1,076,736	1,850,248

(a) Expenses payable represents expenses incurred during the year by the Company but for which bills/invoices have not been received from vendors as at 31 December 2025.

(b) Provision for litigation represents estimated outflow for a court case against the Company in 2025 financial year. The case is being handled by Hybrid Solicitors with FRC number FRC/2021/00000013862; and solicitor's response was duly signed by Adepate Demilade with FRC number FRC/2021/002/00000022694. The total estimated liability as at December 2025 is N343million (2024: N343million). The case is currently being appealed at the Court of Appeal. Accordingly, key uncertainties relate to the timing of resolution, the final outcome of the appeal, and the potential financial impact, including any additional legal costs or settlement amounts. Management has exercised judgment in estimating the provision, taking into account legal advice and the current status of proceedings; however, the ultimate outcome may differ from the amount recognised in the financial statements.

20.1 Other payables

	2025	2024
National housing fund (NHF)	1,027	1,295
Pension for life agents/company	603	603
Withholding tax payables	6,906	-
Sundry payables	132,261	65,509
Total Other payables	140,797	67,407

Sundry payables relates to Vat payable, payroll tax, and legal fee tax.

21 Defined benefit obligations

The Company operates a defined benefit plan for qualifying employees on services rendered. With effect from 1 January 2014, employees who have served at least 5 years are entitled to a gratuity on a defined defined benefit scale which is graduated. The new benefit formula applies to benefit accruing from services rendered in the prior and future years. The Company commenced funding of plan in 2017.

Actuarial valuation of the defined benefit obligation was carried out by O&A Hedge Actuarial Consulting with FRC number FRC/2019/00000012909. The valuation report was signed by Layemo B. Abraham with FRC number FRC/2016/NAS/00000015764.

	Defined benefit liability		Fair value of plan assets		Defined benefit liability/(asset)	
	31 Dec 2025	31 Dec 2024	31 Dec 2025	31 Dec 2024	31 Dec 2025	31 Dec 2024
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
At 1 January	252,013	283,210	(158,063)	(115,080)	93,950	168,130
Current service cost	68,628	58,448	-	-	68,628	58,448
Interest cost	54,482	55,261	(38,273)	(28,879)	16,209	26,382
Contribution by employer	-	-	(67,000)	(87,500)	(67,000)	(87,500)
Benefits paid by employer	(15,079)	(92,072)	15,079	92,072	-	-
Remeasurement gain	-	-	47,967	(18,676)	47,967	(18,676)
Actuarial loss/(gain) on liability arising from:					-	
Change in actual experience - Demographic and Others	(121,913)	24,112	-	-	(121,913)	24,112
Actuarial (Gain)/Loss- Change in Assumptions	22,059	(15,679)	-	-	22,059	(15,679)
Actuarial (Gain)/Loss- Experience Adjustment	31,515	(61,266)	-	-	31,515	(61,266)
At 31 December	**291,705**	**252,013**	**(200,290)**	**(158,063)**	**91,413**	**93,950**
						91,415

21 Defined benefit obligations - continued

	2025	2024
The amounts recognised in profit or loss	**₦'000**	**₦'000**
Current service cost	68,628	58,448
Interest cost	54,482	55,261
Expected return on asset	(38,273)	(28,879)
Total, included in staff costs	84,837	84,829

Sensitivity analysis

The result of the valuation are highly sensitive to the underlying assumptions. The variability of the liability cost is expected to be higher for this small scheme size as seen in the table below.

2025	Base result	1%	-1%
Discount rate (1% movement)	**₦'000**	**₦'000**	**₦'000**
Defined benefit obligation	291,704	275,002	310,287
Change in relation to base result		-5.7%	6.40%
Salary Increase rate (1% movement)			
Defined benefit obligation	291,704	310,257	274,752
Change in relation to base result		6.40%	-5.80%
Mortality rate (10% movement)			
Defined benefit obligation	291,704	292,025	291,411
Change in relation to base result		0.11%	-0.10%

2024	Base result	1%	-1%
Discount rate (1% movement)	**₦'000**	**₦'000**	**₦'000**
Defined benefit obligation	252,013	237,578	261,600
Change in relation to base result		-5.70%	3.80%
Salary Increase rate (1% movement)			
Defined benefit obligation	252,013	268,018	237,387
Change in relation to base result		6.40%	-5.80%
Mortality rate (10% movement)			
Defined benefit obligation	252,013	252,287	251,761
Change in relation to base result		0.11%	-0.10%

Actual experience resulting into a change in any of the key assumptions might change the value of the liability disclosed as shown in the “Sensitivity Table” above

For example, in a standard defined benefit scheme pension arrangement, adding or deducting 1% from the discount rate assumption could result in a 14-16% change in the value of liability for the actives with a term of, say, 20 years to retirement. The weighted average term to retirement for the Linkage Assurance Gratuity Scheme is around 11.29 years.

The Sensitivity Table above illustrates the effect of:
The discount rate assumption on the defined benefit obligation if there was an increase or decrease of 1% to discount rate. This could result in decrease or increase of about 4 to 6%respectively.

The salary increase assumption on the defined benefit obligation, if there was an increase or decrease of 1% to the rate of salary increase. In this case, we might expect a change of about 6-7% in the defined benefit obligation. Sensitivity of the defined gratuity benefit obligation considers the mortality assumption by allowing for impact of 1year age rating up or down.

Higher than expected mortality level while keeping the past service at their present level might be expected to bring forward the amount that would eventually be paid on expensive future gratuity benefits, producing a decrease to the base defined gratuity benefit obligation (-0.11%).

Whereas a reduced level of mortality or an improvement would mean more survivors to qualify for higher future gratuity benefit payments (+0.10%). If only death gratuity had been considered in isolation, we would expect a higher cost in death gratuity payments with higher mortality vice versa and this might change the conclusion here in on the effect of change in mortality.

Gratuity Benefit Scale :

Length of Service	**Benefit Payable**
Less than 5 years	Nil
5 years	25% of guaranteed annual total emolument
6 years	30% of guaranteed annual total emolument
7 years	35% of guaranteed annual total emolument
8 years	40% of guaranteed annual total emolument
9 years	50% of guaranteed annual total emolument
10 years & above	75% of guaranteed annual total emolument

Notes to the financial statements

For the year ended 31 December 2025

Defined benefit obligations - continued

The summary of the expected benefit or contributions to defined benefit is illustrated below.

	2025	2024
	₦'000	₦'000
Within next 12 months (next annual reporting period)	87,409	38,650
Between 2 and 5 years	777,465	448,545
Between 5 and 10 years	1,861,368	645,713
Above 10 years	14,940	5,703,639
Total expected payments	2,741,182	6,836,547

22 Current tax liabilities

The movement in this account during the year was as follows:

	2025	2024
	N'000	N'000
Balance, beginning of year	245,563	174,585
Charge for the year -		-
Company income tax	236,762	-
Education tax	83,606	30,074
National Information Technology Development Agency (NITDA) levy	40,324	52,821
Nigeria Police Trust Fund levy	-	266
Total charge for the year (see note 22.1)	360,692	83,161
Minimum tax		147,994
Payments during the year	(162,752)	(160,177)
WHT credit note utilised	(147,657)	-
Balance, end of year	295,846	245,563

22.1 Tax expense

	2025	2024
	₦'000	₦'000
Income tax	236,762	-
Tertiary education tax	83,606	30,074
Information technology levy	40,324	52,821
Police trust fund levy	-	266
Stamp duty	-	-
Current tax charge	360,692	83,161
Minimum tax	-	147,994
Current tax	360,692	231,155
Deferred tax charge/(credit)	545,620	(500,701)
	906,312	(269,546)
Minimum tax	-	147,994
Total tax	906,312	(417,541)
Tax recognised in the profit or loss	**906,312**	**(269,546)**

Notes to the financial statements

For the year ended 31 December 2025

Minimum Tax has been presented separately from Income tax to align with the Company's policy.

	2025	Rate	2024	Rate
	N' 000	N' 000	N' 000	N' 000
Profit before tax	4,032,423		5,282,084	
Tax using the statutory corporation tax rate	1,209,727	30%	1,584,625	30%
Information technology levy	40,324	1%	52,821	1%
Tertiary education tax	83,606	2%	30,074	1%
Disallowable expenses	1,153,889	29%	117,305	2%
Tax-exempt income	(1,581,234)	-39%	(1,789,153)	-34%
Loss utilized during the year	-	0%	(437,814)	-8%
Police trust fund levy	-	0%	266	0%
Balancing charge	-	0%	24,335	0%
	906,312		(417,541)	

22.3 Deferred tax (assets)/liabilities

	2025	2024
	N'000	N'000
Balance, beginning of year	(2,036,859)	725,089
Recognized in profit or loss (see note 22.1)	(545,620)	-
Recognized in Other comprehensive income	(6,420,760)	(2,761,948)
Balance, end of year	(9,003,239)	(2,036,859)
Non-current	(9,003,239)	(2,036,859)
Deferred tax assets	625,315	-
Deferred tax liabilities	(9,628,554)	(2,036,859)
Net Deferred (assets)/liabilities	(9,003,239)	(2,036,859)

(a) Analysis of deferred tax (assets)/liabilities as at year end is as follows

	2025	2024
	N'000	N'000
Property and equipment	78,941	725,089
Temporary difference on asset	-	275,535
Allowance for impairment	101,524	107,543
Unrealised exchange difference	(74,882)	(654,319)
FVOCI unrealised gain on investment securities	(8,958,320)	(2,521,711)
Defined benefit obligation	-	46,853
Defined benefit obligation- gratuity Actuarial Gain	-	(15,849)
Unrealised fair value gain on investment securities	(150,501)	
	(9,003,239)	(2,036,859)

31 December 2025

Movement in Deferred tax balances

N'000	Net balance at 1 January	Recognised in P/L	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	725,089.00	(646,147.92)		78,941.08	78,941.08	-
FV Gain	-	(150,501.35)		(150,501.35)	-	(150,501.35)
Temporary difference on asset	275,535.00	(275,535.00)		-	-	-
Allowance for impairment	107,543.00	(6,019.49)		101,523.51	101,523.51	-
Unrealised exchange difference	(654,319.00)	579,437.33		(74,881.67)	-	(74,881.67)
Defined benefit obligation	46,853.00	(46,853.00)		-	-	-
OTHER OCI on financial assets	(2,521,711.00)		(6,436,609.48)	(8,958,320.48)	-	(8,958,320.48)
Defined benefit obligation- gratuity Actuarial Gain	(15,849.00)		15,849.00	-	-	-
Net Tax assets/(liabilities)	**(2,036,859.00)**	**(545,619.43)**	**(6,420,760.48)**	**(9,003,238.91)**	**180,464.59**	**(9,183,703.50)**

31 December 2024

Movement in Deferred tax balances

N'000	Net balance at 1 January	Recognised in P/L	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	(267,755.00)		992844	725,089.00	725,089.00	-
Tax losses	1,294,612.00	(1,294,612.00)		-		
FV Gain on FVTPL financial assets	(3,442,070.00)	3,442,070.00		-	-	-
Temporary difference on asset	113,306.00	162,229.00		275,535.00	275,535.00	-
Allowance for impairment	30,201.00	77,342.00		107,543.00	107,543.00	-
Unrealised exchange difference	-	(654,319.00)		(654,319.00)	-	(654,319.00)
Defined benefit obligation	-	46,853.00		46,853.00	46,853.00	-
FV Gain on FVOCI financial assets	(2,029,959.00)		(491,752.00)	(2,521,711.00)	-	(2,521,711.00)
Defined benefit obligation- gratuity Actuarial Gain	(15,458.00)		(391.00)	(15,849.00)	-	(15,849.00)
Net Tax assets/(liabilities)	**(4,317,123.00)**	**1,779,563.00**	**500,701.00**	**(2,036,859.00)**	**1,155,020.00**	**(3,191,879.00)**

Notes to the financial statements
For the year ended 31 December 2025

23 Share capital:

Issued and fully paid	**2025 N'000**	**2024 N'000**
Authorized - ordinary shares of 50k each (18,480,000,000 units)		
Balance beginning of year	7,700,000	7,000,000
Issue of bonus shares	1,540,000	700,000
Balance, end of year	9,240,000	7,700,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at the meetings of the Company.

During the period, Linkage Assurance Plc issued bonus shares following approval at its Annual General Meeting. The Company capitalised part of its retained earnings amounting to ₦1.54 billion and issued 3,080,000,000 ordinary shares of 50 kobo each on the basis of one (1) new ordinary share for every five (5) existing ordinary shares held, resulting in an increase in the Company's issued share capital from ₦7.7 billion to ₦9.24 billion.

24 Share Premium

	2025 N'000	**2024 N'000**
At the beginning of the year	547,433	560,294
Cost incurred related to issuance of bonus shares (i)	(49,969)	(12,861)
At the end of the period	497,464	547,433

Share premium represents the excess paid by the Company's shareholders over the nominal value for their shares (2024:₦547,433,000).

(i) Cost incurred related to the issuance of bonus shares comprises the filing fee, bank charges and professional fees.

25 Contigency reserves

	2025 N'000	**2024 N'000**
Balance, beginning of year	5,562,642	4,452,316
Transfer from retained earnings (see note 26)	-	1,110,326
Balance, end of year	5,562,642	5,562,642

The Nigerian Insurance Industry Reform Act, 2025 (NIIRA 2025) does not include any provision requiring insurance companies to recognize statutory contingency reserves. Accordingly, no additional contingency reserve has been made for the year ended 31 December 2025.□

26 Retained earnings

The movement in this account during the year is as follows:

	2025 N'000	**2024 N'000**
Balance, beginning of year	4,558,293	1,516,988
Profit for the year	3,126,111	5,551,631
Issue of bonus shares (see note 23)	(1,540,000)	(700,000)
Transfer to Contigency reserves (see note 25)	-	(1,110,326)
Actual dividened paid during the year	-	(700,000)
Balance, end of year	6,144,404	4,558,293

Proposed Dividend

The Directors did not recommend the payment of any dividend for the financial year ended 31 December 2025 (2024:N1.54 billion bonus share dividend).

Notes to the financial statements
For the year ended 31 December 2025

27 Other reserves

Other reserves include fair value, asset revaluation and re-measurement reserves. The fair value reserve comprises the cumulative net change in the fair value of the Company's other comphensive investments while the re-measurement reserve comprises the actuarial gains and losses on defined benefits post employment plan. These are presented below:

27.1 Assets revaluation reserves

	2025	2024
	N'000	N'000
At the beginning of the year	1,721,291	1,721,291
Revaluation gain/(loss) on property and equipment	-	-
At the end of the period	1,721,291	1,721,291

The asset revaluation reserves comprises cumulative net revaluation change on revalued property and equipment. The last revaluation of land and buildings was done in December 2023.

27.2 Fair value reserves

The movement in fair value reserves is as follows:

	2025	2024
	N'000	N'000
Balance, beginning of year	22,695,399	17,777,487
Fair value (loss)/gain on unquoted equities	7,259,076	4,971,762
Fair value gain on bonds at FVOCI	(67,021)	(53,850)
Reclassification of cumulative fair value loss on disposal of FVOCI debt instruments (i)	(26,387)	-
Related tax	(6,420,759)	-
Balance, end of year	23,440,308	22,695,399

(i) The transfer relates to fair value movement on derecognized debts instruments held at OCI to FVTPL

Fair value reserves represent the revaluation (mark to market) surplus/deficits on equity and debt securities measured at FVOCI.

27.3 Re-measurement reserve

	2025	2024
	N'000	N'000
Balance as at 1 January	59,771	4,111
Defined benefits actuarial gain	20,372	52,833
Remeasurement gain	-	18,676
Deferred Tax impact	-	(15,849)
Balance as at the end of the period	80,143	59,771

Notes to the financial statements
For the year ended 31 December 2025

28 Insurance revenue

	2025	2024
	N'000	N'000
Contracts measured under the PAA	27,630,687	22,229,099

i Insurance revenue per business class

	2025	2024
	N'000	N'000
Fire	4,500,801	3,727,608
Accident	2,477,033	1,898,192
Motor	7,141,950	5,073,032
Marine	1,843,739	1,609,003
Aviation	652,803	1,064,601
Bond	6,958	18,538
Engineering	1,832,157	1,221,800
Oil & Gas	9,155,999	7,596,986
Agriculture	19,248	19,339
Total Insurance revenue	27,630,687	22,229,099

29 Insurance service expenses

	2025	2024
	N'000	N'000
Incurred claims expenses	5,946,535	4,578,686
Other incurred insurance service expenses	2,199,857	2,115,580
Amortisation of insurance acquisition cash flows	9,665,016	8,023,461
Changes that relate to past service - adjustment to the liabilities for incurred claims	(2,728,954)	253,861
Insurance service expenses	15,082,454	14,971,588

Breakdown of insurance service expense per business class is as follows:

	2025	2024
	N'000	N'000
Fire	2,166,059	1,126,788
Accident	1,923,288	1,545,204
Motor	5,856,700	3,070,816
Marine	987,864	1,941,002
Aviation	(65,931)	2,642,340
Bond	1,107	13,538
Engineering	924,024	1,574,015
Oil & Gas	3,282,762	3,060,051
Agric	6,580	-2165.4
	15,082,454	14,971,588

Notes to the financial statements
For the year ended 31 December 2025

30 Net income/(expense) from reinsurance contracts held

	2025	2024
	N'000	N'000
Net reinsurance expense	9,707,848	8,613,401
Recoveries of incurred claims and other insurance service expenses	(617,521)	(571,515)
Recoveries on changes in assets for incurred claims	-	(1,551,342)
Total net income/ (expenses) from reinsurance contracts held	(9,090,327)	(6,490,544)

*All reinsurance contracts are measured using the premium allocation approach

Amounts recoverable for reinsurers for incurred claims	2025	2024
	N'000	N'000
Changes in assets recoverable for incurred claims	(188,863)	454,937
Interest accreted	(1,466,666)	116,579
Recovery received	2,411,334	1,551,342
	755,805	2,122,858

31 Interest revenue calculated using the effective interest rate method

	2025	2024
	N'000	N'000
Interest revenue on financial assets (amortised cost and FVOCI) (see (a) below)	4,161,911	3,010,581
Interest revenue on placement	593,513	556,846
	4,755,424	3,567,427

31(a) Interest revenue calculated using the effective interest rate method(continued)

Interest revenue on financial assets held at amortised cost and FVOCI is broken down below:

	2025	2024
	N'000	N'000
Interest income on placement	593,513	556,846
Interest revenue on treasury bills	1,100,052	814,657
Interest revenue on bonds	779,413	914,853
Interest revenue from Federal Government Promissory note	270,607	-
Interest from investment notes	442,261	-
Interest from commercial papers	620,993	-
Interest income from loans	31,184	-
Other investment income	363,835	1,281,071
Interest revenue from Federal Government Promissory note FVOCI	139,723	-
Interest revenue on treasury bills FVOCI	132,682	-
Interest revenue on bonds FVOCI	281,161	-
	4,755,424	3,567,427

32 Other Investment Income

	2025	2024
	N'000	N'000
Dividend income (i)	2,555,284	2,236,441
Gain on disposal of investment	583,405	317,560
	3,138,689	2,554,001

(i) Dividend income includes dividends earned from investment in unquoted equities, and is recognised net of applicable withholding tax. The dividend earned on the equity investment held in Stanbic IBTC Pension Managers during the year accounted for a significant portion of the total dividend earned in the period

Notes to the financial statements
For the year ended 31 December 2025

33 Impairment losses on financial assets

		2025	2024
		N'000	**N'000**
Impairment write back on cash and cash equivalent	see note 7.1	56,726	8,720
Impairment write back on bonds at amortised cost	see note 8.3.2	21,223	323,823
Impairment charge on bonds at FVOCI	see note 8.2.1	(9,574)	6,160
Impairment charge on other receivables	see note 12.e	(65,586)	(177,556)
Impairment write back on loan receivables	see note 9.1	4,508	(29,582)
Total impairment (loss)/ writeback on investments held at amortised cost		**7,297**	**131,566**

34 Net finance income from insurance contracts held

	2025	2024
	N'000	**N'000**
Insurance finance income for the insurance contract held	3,640,388	(269,094)
Insurance finance expense for the reinsurance contract held	(1,466,666)	116,578
	2,173,722	(152,516)

35 Other income

	2025	2024
	N'000	**N'000**
Sundry income (see (i) below)	55,005	64,073
Gain on disposal of property and equipment	14,158	55,643
Fair value change on Investment properties	-	120,000
Interest income on staff loan	29,759	-
Rental income	8,800	3,500
	107,722	243,216
Foreign exchange (loss)/gain (see (ii) below)	(778,534)	2,604,476
	(670,812)	2,847,692

(i) Sundry income relates to interest on current accounts and interest on staff loans.

(ii) Foreign exchange (loss)/gain

	2025	2024
	N'000	**N'000**
Unrealised exchange loss	(178,689)	1,982,784
Realised exchange loss	(599,845)	621,692
	(778,534)	2,604,476

36(a) Net gain on financial assets measured at FVTPL

	2025	2024
	N'000	**N'000**
Fair value change on debt securities	14,520	(56,687)
Fair value gains on equity investments	738,939	435,027
	753,459	378,340

36(b) Net gain on financial assets measured at FVOCI

	2025	2024
	N'000	**N'000**
Realised fair value gain on FVOCI instrument	26,387	-
	26,387	-

Notes to the financial statements
For the year ended 31 December 2025

37 Other operating expenses

	31-Dec-25		31-Dec-24	
	Insurance Service Expenses	Operating Expenses	Insurance Service Expenses	Operating Expenses
	N'000	N'000	N'000	N'000
Staff Cost	500,740	751,109	820,758	1,231,138
Director Emolument	87,181	130,772	84,375	126,563
Pension contribution	11,904	17,857	11,658	17,487
Retirement benefit	32,955	49,433	55,760	83,640
Other staff benefit	8,380	12,570	-	-
Outsourcing cost	205,964	308,947	175,374	263,060
Advertising & publicity	21,616	32,424	14,404	21,605
Marketing expenses	14,660	21,990	12,952	19,427
Medical	29,568	44,352	23,592	35,387
Staff training and development	158,523	237,784	142,636	213,954
Corporate expenses	1,128,365	-	774,072	-
AGM expenses	-	63,214		35,975
Bank Charges	-	93,434		124,564
Computer consumables	-	2,830		1,158
Depreciation of PPE	-	473,523		466,963
Amortisation of intangible assets	-	8,842		8,761
Amortisation of ROU	-	14,780		7,729
Diesel and fuel	-	261,893		273,864
Entertainment	-	8,335		8,717
Fines and Penalties	-	79,522		4,316
Industrial training fund	-	(12,512)		13,826
Insurance expenses	-	131,982		106,214
Insurance supervision fees	-	294,154		279,066
Legal and secretarial expenses	-	9,215		45,739
Retail agents expenses	-	100,199		58,993
Lighting and heating	-	55,864		31,730
Maintenance expenses	-	267,456		150,526
Newspaper and Periodicals	-	1,418		567
Postage and telephone	-	47,426		35,481
Consultancy expenses	-	539,040		313,189
Rent and rates	-	44,991		38,666
Stationaries	-	31,643		23,115
Subscriptions, contributions & donations	-	61,159		39,021
Transport and business travels	-	23,911		23,906
Withholding tax and VAT	-	327,303		307,444
Audit fee	-	32,250		36,185
Rebranding expenses	-	269,629		228,752
Asset derecognition	-	-		-
Others	-	423,467		439,696
	2,199,857	5,262,205	2,115,580	5,116,425

Notes to the financial statements
For the year ended 31 December 2025

37 Other operating expenses (continued)

(b) Personnel expenses

	2025	2024
	N'000	N'000
Wages, salaries and other allowances	1,251,849	2,051,896
Other staff related cost	103,338	139,400
Pension cost	29,761	29,145
Medical expenses	73,920	58,979
Staff training & development	396,307	356,590
	1,855,175	2,636,010

(c) Directors and employees

Directors

The remuneration paid to the directors of the Company were :

Fees and allowances

Fees and other emoluments (excluding pension contributions) disclosed above include amounts paid to :

	2025	2024
	N'000	N'000
Directors emoluments	217,953	210,938

(d) Employees	2025	2024
	Number	Number
The average number of persons employed (excluding directors) in the Company during the year was	154	171

	2025	2024
	N'000	N'000
Wages & salaries	1,251,849	2,051,896
Other staff related costs	103,338	139,400
Pension costs	29,761	29,145
	1,384,948	2,220,441

38 Earnings per share

Basic earnings per share is calculated by dividing the profit attributable to shareholders by the number of the shares.
During the year, the entity's ordinary shares increased as a result of bonus shares issued in prior year, therefore the EPS calculations for the current year and its comparative (2024) shall be presented based on the new number of shares in accordance with the guidance of IAS 33.64.

	2025	2024
	N'000	N'000
Profit attributable to shareholders	3,126,111	5,551,631
Issued shares at the beginning of the year	7,700,000	7,000,000
Effect of bonus shares issued	1,540,000	2,240,000
Weighted-average number of shares as at year end	9,240,000	9,240,000
Basic/Diluted earnings per share (in kobo)	17k	30k

The EPS for the comparative period (2024) has been restated solely due to the bonus issue in 2025. This restatement has no impact on profit after tax, total equity, or the Company's cash flows, but results in revised EPS amounts to reflect the increased number of shares. This presentation is consistent with the requirements of IAS 33 paragraph 64 on retrospective adjustments, which mandates that bonus issues be treated as if they occurred at the start of the earlier comparative period presented.

Notes to the financial statements - continued

39.0 Recovery and recoverable from reinsurers

	2025	2024
	₦'000	₦'000
Cash received from reinsurers on recoveries for claims paid	2,237,272	1,463,862
Cash received from salvage recoveries	174,073	87,480
	2,411,345	1,551,342

40.0 Cash Premium Paid to Reinsurers

	2025	2024
	₦'000	₦'000
Reinsurance premium cost (Note 29)	10,956,201	9,794,692
Facultative outwards	1,893,830	1,341,364
Movement in reinsurance payables	(1,709,499)	-
Movement in treaty premium surplus	-	366,463
	11,140,532	11,502,519

41.0 Commission paid

	2025	2024
	₦'000	₦'000
Commission payable to brokers at 1 January	470,864	435,902
Commission cost	3,930,478	4,237,732
Business acquisition cost	5,376,553	4,231,293
Commission payable to brokers at 31 December	(517,949)	(470,864)
Other payables to agents and brokers	73,134	102,544
	9,333,080	8,536,607

42 Cash paid to suppliers

in thousand naira	2025	2024
Opening accruals and payables	(1,850,248)	1,076,736
Closing prepayments and other receivables	765,323	
Total Operating expenses	7,462,062	7,232,005
Closing accruals and payables	1,076,736	67,407
Opening prepayments and other receivables	(495,483)	
	7,453,873	8,376,148
Less personnel expenses	1,268,115	1,765,707
	6,185,758	6,610,441

43.0 Commission received

	2025	2024
	₦'000	₦'000
Movement	-	-
Commission income earned during the year	2,518,308	1,657,037
Profit Comm. & Comm. Adjustment	(1,566)	-
Lead underwriting commission	16,655	140,455
Commission income received during the year	2,533,397	1,797,492

Interest received	2025	2024
	₦'000	₦'000
Interest income earned during the year	4,755,424	3,567,427

Notes to the financial statements - continued

43.1 Movement in investment securities

			2025	2024
			₦'000	₦'000
i	**Addition**			
	Fair value through P/L	8.1.1	2,088,983	352,747
	Fair value through OCI	8.2.1	5,419,769	1,744,080
	Amortised cost	8.3.1	5,353,344	9,423,925
			12,862,096	11,520,752
				-
ii	**Disposal**			
	Fair value through P/L	8.1.1	(228,415)	(1,071,725)
	Fair value through OCI	8.2.1	(3,014,903)	(1,014,903)
	Amortised cost	8.3.1	(4,833,951)	(5,380,458)
			(8,077,269)	(7,467,086)

		2025	2024
44	**Purchase of property and equipment**	₦'000	₦'000
	Addition for the year per movement schedule	225,724	466,435
	Cash flow on addition to property and equipment	225,724	466,435

		2025	2024
44.1	**Sale of property and equipment**		
	In thousands of Naira	₦'000	₦'000
	Costs of assets disposed	64,341	116,541
	Accumulated depreciation on assets disposed	(62,412)	(91,021)
	Gain on disposal	14,158	55,643
	Proceeds on sale of disposed asset	16,087	81,163

		2025	2024
45	**Cash payment to and on behalf of employees (excluding maintenance expenses)**		
		₦'000	₦'000
	Staff cost	751,109	1,231,138
	Director emolument	130,772	126,563
	Pension contribution	17,857	17,487
	Retirement benefits	15,079	92,072
	Contract staff cost	308,947	263,060
	Medical	44,352	35,387
		1,268,115	1,765,707

Maintenance expenses has been excluded in the above note and it is shown separately in the cashflow to make the financial statements more relevant to the user.

46 Related party disclosures

The Company is an independent entity with no parent company, no subsidiaries, and no other group relationships. Accordingly, there is no ultimate controlling party. Related party relationships are limited to key management personnel (directors), whose compensation is disclosed separately. Transactions are entered into by the Company during the year with related parties. Unless specifically disclosed, these transactions occurred under terms that are no less favourable than those with third parties.

46.1 Sale of insurance contracts

During the year, the Company had contracts with the following Directors (and close relations). (2024: N2.5 milion)

Name	2025	2024
	₦'000	₦'000
Chief Joshua Bernard Fumudoh	7,832	4,376
Mr. Daniel Braie	1,972	1,014
Mr. Okanlawon Adelagun	1,276	-
	11,080	**5,390**

Notes to the financial statements - continued

46.2 Compensation of key management personnel

Key management personnel refers to those persons having authority and responsibility for planning, directing and controlling the activities of Linkage Assurance Plc. It comprises both executive and non-executive directors. The remuneration of directors during the year was as follows:

a. Directors

Remuneration paid to the company's directors (excluding pension contribution)	2025	2024
Short-term employee benefits:	**₦'000**	**₦'000**
Fees and allowances	217,953	210,938
Long-term employee benefits:		
Post employment pension benefits	-	-
	217,953	**210,938**
b. Amount paid to the chairman	**35,776**	**67,745**
c. Amount paid to the highest paid director	**35,776**	**67,745**

Compensation of key management personnel - continued

The number of directors who received fees and other emoluments (excluding pension contributions and certain benefit) in the following ranges was:

	Number 2025	**Number 2024**
Below ₦1,000,000	1	1
₦1,000,001 - ₦4,000,000	3	3
₦4,000,001 - ₦7,000,000	-	0
₦7,000,001 and above	9	8
	13	12

d. Employees

The average number of persons employed by the Linkage Assurance during the period was as follows:

	Number 2025	**Number 2024**
Executive directors	2	2
Management (Managers & above)	30	25
Non-management	117	119
	149	**146**

e. Compensation for the above staff:

The average number of persons employed by the Linkage Assurance during the period was as follows:

	2025	**2024**
	₦'000	**₦'000**
Executive directors	48,541	48,541
Other staff (excluding executive directors)	639,007	668,977
	687,548	**717,518**

Notes to the financial statements - continued

f. The number of employees of Linkage Assurance, other than Directors, who received emoluments in the following ranges (excluding pension contributions and certain benefits) were:

Emolument range	Number 2025	Number 2024
₦500,000 - ₦1,000,000	8	13
₦1,000,001 - ₦1,500,000	5	11
₦1,500,001 - ₦2,000,000	5	7
₦2,000,001 - ₦2,500,000	39	52
₦2,500,001 - ₦3,000,000	17	5
₦3,000,001 - Above	80	83
	154	**171**

47 Contravention

The Company was fined ₦69.1 million by NAICOM during the year (2024: ₦4.3 million).

Details	Regulator/ Beneficiary	₦'000
National Insurance Commission (NAICOM) penalties for transacting business with a foreign reinsurer without a valid licence, for transacting with Grow Insurance Brokers without a valid licence and for violations identified during the 2023 RBS AML/CFT/CPF onsite examination. A provision has been raised for this penalty.	NAICOM	69,114

48 Events after the reporting date

- Subsequent to the reporting date, the Company received an unfavourable judgment in respect of the case of IRS Airlines v Linkage Assurance Plc & Others, relating to a disputed aviation insurance claim following the loss of an aircraft in 2017. The Company’s exposure, based on its 2% participation in the risk, is estimated to be between approximately USD 30,000 and USD 100,000.

49 Contingent liabilities

- The Company is involved in pending litigations with claims of ₦343million (31 December 2024: ₦343million). Based on legal advice, the Directors are of the opinion that no liability will eventuate therefrom.

'- The Company is a co-defendant in a legal action involving an alleged breach of a marine insurance policy following a marine loss. The total claim amounts to USD 1,244,933.89, of which the Company’s exposure represents 10% (USD 124,493.39) based on its participation in the risk. The lead underwriter, Zenith General Insurance Company Limited, has appointed solicitors to defend the claim on behalf of the co-insurers, and the matter is currently awaiting a hearing date.

50 Commitments

The Company had no capital commitments at the reporting date.

51 Non audit services

During the year, the Company's auditor, KPMG Professional Services, were paid for the following services (2024:Nil for Limited Assurance services on ICFR)

Service	Description	N'000
ICFR	KPMG Professional Services was engaged by the Company to provide limited assurance service on the Internal Control over financial reporting.	7,500

Other National Disclosures

Value Added Statement

For the year ended 31 December 2025

	2025 ₦'000	%	2024 ₦'000	%
Insurance revenue	27,630,687		22,229,099	
	-		-	
Bought in materials and services - local	(31,687,119)		(18,335,778)	
	-		-	
Non-trading items	8,010,444		9,479,026	
	-		-	
Value added	**3,954,012**		13,372,347	
			-	
Distribution:			-	
			-	
Employees and directors (staff cost)	1,251,849	30	2,051,896	15
Government (taxes)	(906,312)	-24	(269,546)	1
Asset replacement (depreciation/amortisation)	482,365	13	475,724	-
Contingency reserve	-	0	5,562,642	42
Expansion (retained on the business)	3,126,111	81	5,551,631	42
Value added	**3,954,012**	100	13,372,347	100

Financial summary

	2025	2024	2023	Restated 2022	2021
Assets	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**N'000**
Cash and cash equivalents	4,433,568	5,416,681	5,507,393	4,188,442	3,476,697
Investment securities	60,374,395	47,632,402	35,825,193	25,982,584	27,584,351
Loans and receivables	558,245	337,144	382,113	249,121	-
Premium receivables	251,333	948,117	278,764	199,857	81,468
Reinsurance contract assets	4,143,338	5,571,208	4,024,644	4,903,079	4,639,643
Deferred acquisition cost	-	-	-	-	432,828
Other receivables and prepayments	2,803,876	1,263,759	890,333	779,997	308,434
Investment property	340,000	340,000	220,000	160,000	157,500
Property and equipment	3,176,474	3,426,201	3,452,249	1,584,679	1,467,178
Intangible assets	25,066	33,908	33,101	20,844	36,866
Statutory deposits	770,000	700,000	700,000	700,000	500,000
Right of use assets	22,800	7,880	13,509	21,744	25,221
Total Assets	76,899,095	65,677,300	51,327,300	38,790,347	38,710,185
Liabilities					
Insurance contract liabilities	18,277,740	17,386,988	15,340,788	13,191,889	11,635,256
Other technical liabilities	1,467,869	1,218,863	1,270,491	1,022,333	765,141
Defined benefit Obligations	91,413	93,950	-	-	-
Provision and other payables	1,076,736	1,850,248	1,508,949	826,572	1,143,445
Current income tax liabilities	295,846	245,563	174,585	157,845	60,257
Deferred tax liabilities	9,003,239	2,036,859	-	-	-
Total liabilities	30,212,843	22,832,470	18,294,813	15,198,639	13,604,099
Net assets	46,686,252	42,844,830	33,032,487	23,591,708	25,106,086
Equity					
Ordinary share capital	9,240,000	7,700,000	7,000,000	7,000,000	7,000,000
Share premium	497,464	547,433	560,294	560,294	560,294
Contigency reserves	5,562,642	5,562,642	4,452,316	3,395,997	2,882,618
Retained earnings	6,144,404	4,558,293	1,516,989	(2,708,286)	(3,517,299)
Fair value reserves	23,440,308	22,695,399	17,777,487	14,459,291	17,346,660
Re-measurement reserve	80,143	59,771	4,111	55,639	5,040
Assets revaluation reserve	1,721,291	1,721,291	1,721,291	828,773	828,773
Total equity	46,686,252	42,844,830	33,032,487	23,591,708	25,106,086

Financial summary

Statement of profit or loss and other comprehensive Income

				Restated	**Restated**
	2025	**2024**	**2023**	**2022**	**2021**
	₦'000	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Insurance Revenue	27,630,687	22,229,099	14,835,202	12,506,552	11,161,499
Net insurance result	3,457,906	766,967	261,595	(1,201,436)	(2,584,189)
Profit before taxation	4,032,423	5,282,084	5,463,747	1,874,983	(3,878,914)
Minimum tax	-	(147,994)	-	-	-
Income tax	(906,312)	417,541	(182,153)	(129,292)	(111,724)
Profit after taxation	3,126,111	5,551,631	5,281,594	1,745,691	(3,990,638)
Transfer to contingency reserve	-	1,110,326	4,225,275	-	334,845
Transfer to retained earnings	3,126,111	6,661,957	9,506,869	1,745,691	(3,655,793)
Earnings per share (basic)	17k	30k	37.7k	12.5k	-29k